MAHAWELI COCONUT PLANTATIONS PLC





ANNUAL REPORT 2025/26



From Roots to Value

"Growing a Diversified Future"

From Roots to Value

"Growing a Diversified Future"





At Mahaweli Coconut Plantations PLC (MCPPLC), our roots reflect a legacy built on plantation expertise, strong agricultural foundations, and a commitment to creating lasting value. Over the years, we have evolved beyond traditional Coconut cultivation by unlocking new opportunities and transforming our resources into a diversified portfolio of products and solutions.

Every harvest represents potential. Through strategic resource management, value addition, and operational excellence, we continue to enhance the value derived from our plantation from Coconut-based products such as Copra, Coco Peat, Coir, Coco Chips and Husk To Timber, Cinnamon, Areca Nuts, and other plantation outputs.

Our growth is supported by a strong governance framework, disciplined Financial management, and strategic operational practices that enable sustainable performance and long-term resilience. Equally important are the dedication and expertise of our employees, whose commitment drives productivity and continuous improvement across our plantation.

As we move forward, we remain committed to balancing growth with responsibility nurturing our plantation, empowering our People, and creating value for our Shareholders, Communities, and the Environment.

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Vision

To be the leader in the sustainable coconut farming in Sri Lanka, delivering excellence and innovation for a healthier, greener future.

Mission

Our mission is to cultivate high-quality coconuts by leveraging sustainable agricultural practices, fostering innovation and maintaining a strong commitment to the environment and local communities. We strive to deliver nutrient rich coconuts and high quality by-products while generating long-term value for our stakeholders and contributing positively to the coconut industry.

Tracing Our Roots

Incorporation and Listing

MCPPLC is a Limited Liability Company domiciled in Sri Lanka, incorporated on 29th October 1996, under the Companies Act No. 17 of 1982. It was re-registered on 6th February 2008, under the Companies Act No. 7 of 2007. The Company was listed on the Diri Savi Board of the Colombo Stock Exchange (CSE) on 3rd June 2019, and was the first purely Coconut Plantation Company to be listed on the CSE.

Founding Vision

In the mid-1990s, a group of entrepreneurs involved in the desiccated coconut processing industry foresaw a potential shortage of coconuts due to the lack of a national strategy for plantation development. Their proactive approach led to productive discussions with policymakers, culminating in the establishment of a Company to undertake a large-scale plantation project on uncultivated land in the Mahaweli zone. The project used uncultivated leasehold land of 551.38 hectares in Pimburettewa Aralaganwila, in Polonnaruwa District, with the lease term ending in November 2028.

Initially conceived as a public-private joint venture, the project evolved into a Limited Liability Company with government support. Capital was raised from a special levy collected from desiccated coconut manufacturers, forming the share capital of MCPPLC. These manufacturers became shareholders in proportion to their export volumes.

Founding Objectives

The Company's objectives include:

- Acquiring land and buildings on lease or other modes from the Mahaweli Authority.
- Taking overall rights, powers, privileges, and interests related to properties.
- Cultivating and producing coconut, coir, coco chips, coco peat and other agricultural products.
- Conducting research and development projects.
- Breeding and farming livestock and other organisms.
- Managing and exploiting land, water, wind, and solar resources.
- Marketing and selling the Company's products.

Current Business Activities

MCPPLC currently harvests an annual crop ranging from 3.5 to 4.5 Mn coconuts, which are sold to Sri Lankan Companies for the production of desiccated coconut, coconut cream, coconut milk, and coconut water for export markets. In addition to coconuts, the Company also sells teak trees, which are planted primarily as windbreakers on the plantations.

The fiber substrate initiatives at MCPPLC have shown significant progress during the 2025/26 Financial year. With the global fiber market experiencing growing demand, both revenue and sales volume have increased. Accordingly, revenue from this project rose by 55%, reaching Rs. 22.3 Mn in 2025/26.

Following the success of the experimental cinnamon plantation, during the Financial Year the Company expanded its efforts by cultivating 3,600 cinnamon plants.

Challenges and Innovations

One of the key challenges faced by the Company is ensuring an adequate and reliable water supply for its plantations, as the Mahaweli lands are situated in the dry zone, where rainfall is limited and irregular. To address this challenge, MCPPLC has made significant investments in developing and enhancing irrigation systems to ensure the sustainable supply of water required for healthy coconut cultivation.

As a pioneering initiative within Sri Lanka's coconut industry, MCPPLC successfully addressed water scarcity challenges through the introduction of a drip irrigation system. Following assessments conducted by irrigation experts, drip irrigation was implemented across major plantation areas, marking the first application of this technology in the country's coconut sector. In addition, the Company continues to adopt sustainable moisture conservation practices, including the use of husk pits placed between coconut trees to improve soil moisture retention. MCPPLC has also continued its investment in solar-powered water systems to maintain consistent water availability while promoting energy efficiency. Continuous improvements and modifications to the irrigation infrastructure are undertaken to further enhance water management and optimize resource utilization.

Coconut pests and diseases continue to remain significant challenges to Sri Lanka's coconut industry, with the potential to adversely impact productivity and cause substantial crop losses.

Recognition

In November 2019, MCPPLC was honored with second place for the Best Mahaweli Entrepreneur in the Agriculture Sector, Large Category, at the inaugural Mahaweli Entrepreneur's Presidential Awards Ceremony. This award recognized the Company's dedication, efforts, and hard work towards advancing coconut cultivation in Sri Lanka. Further highlighting its industry leadership, in 2020/21, MCPPLC's coconut estate was selected by the Coconut Research Institute to supply coconut seed nuts, supporting national efforts to improve coconut yields across the country. In addition, MCPPLC is the largest supplier of coconuts to the Coconut Cultivation Board for its seedling Program, and also contributing to national initiatives to improve coconut yields across the country.

Tracing Our Roots (Contd.)

In 2024, MCPPLC received the Bronze Award for Financial Reporting Excellence under the Plantation Sector at the TAGS Awards, organized by the Institute of Chartered Accountants of Sri Lanka, in the category for group turnover up to LKR 5 Bn. Additionally, the Company earned a Certificate for Corporate Governance Disclosure under the Non-Financial Services category and maintained compliance certificates in 2022, 2023, 2024, and 2025.





The Company was recognized at the TAGS Awards 2025, organized by the Institute of Chartered Accountants of Sri Lanka, receiving the Certificate for Corporate Governance Disclosure in the Non-Financial Services category and the Certificate of Compliance for its Annual Report 2024/25 under Plantation Sector.

1996

Founded Mahaweli Coconut Plantations Limited



1998

Planting of Coconut Commenced



2000

BOI Registration



2005

Commencement of Harvesting



2014

Ginger Plantation



2022

Commenced Fiber Substrate Project



2023

Started to Harvest Teak Trees





Landmarks of Success

2016

Cinnamon Plantation - Pilot Project



2017

Purchase of Head Office Building



2019

Registered in Colombo Stock Exchange



2020

Selected by CRI to Supply Coconut Seedlings



2021

Commenced Constructing a Building for the Fiber Substrate Project



2024

Won Bronze Award for Financial Reporting Excellence at the TAGS Awards.



2025

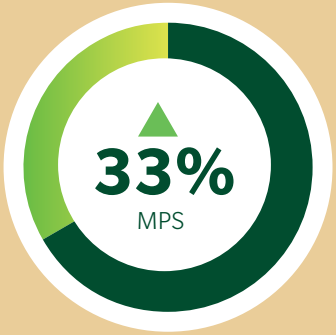
Reported an All-Time High Revenue of Rs. 456 Mn



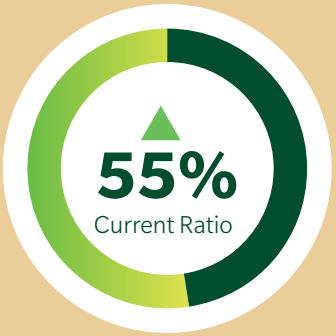
Key Financial Highlights

		2025/26	2024/25	% Change
Earnings Highlights				
Revenue	Rs.	456,884,847	415,692,479	10%
Gross Profit (GP)	Rs.	165,841,606	201,898,642	-18%
Profit from Operations	Rs.	132,614,673	175,539,004	-24%
Profit before Tax (PBT)	Rs.	164,061,305	201,434,619	-19%
Tax Expense	Rs.	(43,089,880)	(61,044,411)	-29%
Profit/(Loss) after Tax (PAT)	Rs.	120,971,425	140,390,208	-14%
Dividends	Rs.	(104,988,345)	(69,992,230)	50%
Retained Earnings	Rs.	484,064,556	470,888,011	3%
Financial Position Highlights				
Total Assets	Rs.	1,073,305,120	1,110,561,284	-3%
Total Debt (Lease Liabilities)	Rs.	18,009,740	24,881,387	-28%
Total Shareholders Fund	Rs.	885,101,827	871,925,282	2%
No. of Shares in Issue	Nos.	34,996,115	34,996,115	-
Cash Flows Highlights				
Operating Activities	Rs.	89,148,516	182,698,072	-51%
Investing Activities	Rs.	7,468,285	(90,938,912)	-108%
Financing Activities	Rs.	(114,251,248)	(76,579,023)	49%
Total Net Cash Flow for the Year	Rs.	(17,634,448)	15,180,137	-216%
Cash & Cash Equivalents at the End	Rs.	60,219,916	77,854,364	-23%
Key Indicators per Ordinary Shares				
Earnings per Share (EPS)	Rs.	3.46	4.01	-14%
Net Assets per Share	Rs.	25.29	24.91	2%
Dividend per Share (DPS)	Rs.	3.00	2.00	50%
Closing Market Price per Share (MPS)	Rs.	49.30	37.20	33%
Key Ratios				
Gross Profit Margin (GPM)	%	36.30	48.57	-25%
Operating Profit Margin (OPM)	%	29.03	42.23	-31%
Net Profit Margin	%	26.48	33.77	-22%
Interest Cover	Times	55.46	46.57	19%
Return on Equity (ROE)	%	13.92	16.10	-14%
Return on Assets	%	11.27	12.64	-11%
Dividend Cover	Times	1.15	2.01	-43%
Debt/Equity (Book Value)	%	2.03	2.85	-29%
Equity/Asset	%	80.94	77.04	5%
Debt/Asset	%	1.68	2.24	-25%
Dividend Payout Ratio	%	86.79	49.86	74%
Current Ratio	Times	8.38	5.41	55%
Quick Asset Ratio	Times	7.41	4.74	56%









Chairman's Message



"We remained focused on plantation health, operational efficiency and sustainable growth. Continued improvements in soil and water management, nutrient management and the adoption of modern technologies are strengthening productivity, resource efficiency and climate resilience. The Company remains committed to modernization, cost discipline, good governance and creating long-term value for its stakeholders."

Dear Valued Shareholders,
It is with pleasure that I present the Chairman's Message for the year ended 31st March 2026.

The year was challenging for the plantation sector due to climatic variability, rising input costs, resource constraints, and changing market conditions. Despite this, the Company remained focused on maintaining plantation health, improving efficiency, and delivering sustainable value to stakeholders.

Dividend
The Board is pleased to recommend a dividend of Rs. 3/- per share, subject to Shareholder's approval at the AGM on 30th September 2026.

Climate Change and Crop Outlook
Climate variability, particularly "El Nino" effects, has impacted rainfall and soil moisture, and is expected to reduce yields. Accordingly, the 2026/27 crop is expected to be lower. The Company continues to strengthen climate-resilient practices through improved soil and water management and conservation initiatives.

Water Tax and Irrigation Costs
The proposed water tax may increase costs and affect profitability. The Company is engaging with authorities to mitigate its impact. Dependence on diesel-powered irrigation continues to raise operating costs, and we are exploring more efficient and sustainable alternatives.

Fertilizer Availability
Limited availability of Muriate of Potash (MOP) has affected the sector. The Company is strengthening nutrient management through improved soil and leaf analysis, efficient fertilizer use, alternative potassium sources, and increased organic matter application to support soil health.

Technology Adoption
We are progressively adopting GPS mapping, satellite imagery, drone monitoring, remote sensing, and digital plantation systems. These will improve precision management, optimize inputs, enhance yields, and strengthen climate resilience.

Future Prospects
The substrate project has not yet met expected profitability due to reduced post-COVID demand from China. However, we remain optimistic about recovery and its future contribution. While challenges persist, they also present opportunities for modernization and improved efficiency.

Compliance and Risk Management
The Board maintains strong oversight of strategy, risk management, and governance. Monthly meetings support timely decision-making and performance review. The Company remains committed to full regulatory and governance compliance.

Conclusion
Despite a difficult operating environment, we are confident in improving performance through cost discipline, productivity gains, and technology adoption. Our focus remains on safeguarding plantations, managing costs, and ensuring sustainable growth.

I thank my fellow Directors for their guidance, Mr. J.F. Fernandopulle for his leadership, and our management and staff for their dedication. I also extend appreciation to our shareholders and stakeholders for their continued trust. We remain committed to building a stronger, more resilient future for MCPPLC.

Mr. S.D.W. Asitha Gunasekera
Chairman
25th August 2026

Managing Director's/CEO's Message

"Despite a challenging operating environment, the Company maintained strong operational performance, supported by resilient coconut demand, improved yields and continued progress across its diversified agricultural activities. With ongoing investments in irrigation, plantation development and operational efficiency, the Company remains focused on strengthening its foundation and delivering sustainable value to shareholders."



Dear Valued Shareholders,

I am pleased to present the performance of the company for the year ended 31st March 2026. Coconuts continued to increase the foreign exchange earnings from USD 864 Mn in 2024 to USD 1,233 Mn in 2025. The favorable weather condition in the Coconut Triangle ensured that the annual yield in the country increased from 2,790 Mn in 2024 to 3,040 Mn in 2025.

In-spite of the favorable weather condition in the Coconut Triangle, the prolonged drought that prevailed in the dry zone from May to October had its effect on our Coconut Plantation. The total rainfall from May to October last year was 178 mm. This year it's worse with only 109mm rain in May and no rain whatsoever up to 31st August since 18th May. The impending "El Nino" condition, if prevails could have unfavorable effects on the Coconut Plantations in the country.

In the current year our profit before tax dropped from Rs. 201.4 Mn to 164 Mn. The damages caused by "Ditwah Cyclone" together with the additional security measures that had to be implemented in view of the higher coconut prices were the main causes for the drop in the net profit. The profit after tax in the current year was Rs. 120.9 Mn in comparison to the Rs. 140.3 Mn in 2024/25.

Coconuts

The Annual Coconut yield was 3,761,981 nuts which was almost similar to 2024/25. This was in-spite of losing trees due to elephant damage, drought and "Ditwah Cyclone". In fact, our yield of 51 nuts per tree was higher than the output in the Coconut triangle which was around 43-45 nuts/tree.

The coconut prices remained high in the first 3 quarters and dropped in the last quarter. Our average price of Rs. 128.52 in the current year was higher than Rs. 112.22 in the previous year.

Unlike in previous years we applied the full quantity of fertilizer requirement per tree. Our ambitious fertilizer programme was affected by adverse weather conditions and the Government's decision to ban fertilizer issues by private companies in March 2026. In-spite of ideal weather conditions in March/April we couldn't get even the fertilizer we had ordered and paid for. As a result of this we were able to apply fertilizer to 45,044 trees which was around 60% of the total number of trees.

We are now the largest supplier of seed nuts to the Coconut Cultivation Board. Our seed nuts are considered to be of good quality that they purchase them without any selection of trees as is the case elsewhere.

Teak

Teak valuation increased from 233 Mn to 234 Mn this year. The modest increase is due to the sale of 100 trees, the fall in teak prices together and the loss of 311 trees due to "Ditwah Cyclone". We lost few trees due to elephant attacks and lightning as well.

Other Crops

The Cinnamon plantation is increased annually based on the supply of plants by the Agriculture Department. We have now commenced harvesting from the trees planted in 2021/22.

We are continuing with our Paddy, Cashew, Areca-nut and Pepper Plantation in a small scale.

Managing Director's/CEO's Message (Contd.)

Coco Peat Project

The results of the Coco Peat Project has been below expectations. The weakness in the fiber market together with distance from the Coconut Triangle has fetched lower prices for our products. During the year we made a profit of 584,316/- against Rs. 153,922/- in the previous year.

Water Issue

This Company commenced this project outside the Coconut Triangle in the dry zone on the assurance that water will be supplied to sustain the Coconut Plantation. Without such an assurance this project would never have been started by the DC manufactures. Coconut is a very important food item in the Sri Lankan consumer being second only to rice. Further Sri Lanka is not self-sufficient in Coconut having to import substitute edible oils for consumption and facing pressure from the industry to import Coconut kernel to fulfil their raw material requirements. Realizing the value of Coconut, the Government has embarked on a very ambitious programme to plant Coconuts in the Northern Province. Therefore, it is only right to encourage the Coconut plantation such as ours and treat it with the same importance as paddy.

However, in-spite of the above fact, the Mahaweli Authority has informed us that they would be imposing a water tax based on our consumption. Water tax on essential agricultural produce cannot be considered a very wise decision and this would have an adverse effect on us.

Our company pays a high annual lease rent and also incur heavy expenditure on operation and maintenance of the irrigation system. The cost of the water charge cannot be estimated in the absence of a proper yard stick. While every endeavor would be made to ensure water is used sparingly, it also must ensure the health of the Coconut trees are maintained without any adverse effects.

Our representations to the Mahaweli Authority to treat Coconut cultivation on par with Paddy cultivation and exempt us from water tax has not yielded any positive results.

It must be noted that the loss of foreign exchange to the country due to the effect of the water tax would be greater than the income generated for the Mahaweli Authority.

We would continue with our representations and hope sanity would prevail at least in the near future.

Prospects and Looking Forward

The world at large and small countries such as Sri Lanka presently is facing the effects of the Middle East crisis with high fuel prices. This has increased the shipping cost of exports and also the fertilizer prices. The situation in the Middle East has somewhat improved but the unpredictability prevails.

In-spite of these setbacks, Sri Lanka has so far up to 30th June 2026 exported Coconut Products to the value of USD Mn 613 which is higher than USD 531 Mn in the corresponding period last year.

Considering the depression of market situation in the Middle East and higher cost of Insurance and Shipping its creditable to have achieved this level of export earnings during the first half of 2026. This is an indication that the demand for the Coconut in the export market will prevail even under difficult conditions and would improve tremendously in the event of a settlement of the Middle East Situation.

In view of the water charges and possible "El Nino" effects the Company is in the process of constructing deep wells and further improving the irrigation system. The security situation is enhanced by improving the fences around the estate. The wild elephant problem continues to affect us and we look forward to more constructive efforts from the Wildlife Department.

Dividends

In keeping with our policy of issuing highest possible dividend to the shareholders, this year too the Board of Directors have recommended a dividend of Rs 3/- per share utilizing almost 90% of profit after tax.

Appreciation and Acknowledgements

I would like to thank the Chairman and the Directors who supported and cooperated with me during the year. I also extend my heartfelt appreciation to our entire MCPPLC team both at Head Office and the Plantations.

Lastly, I would like to thank the share-holders for their trust and confidence in the Board of Directors and the management team. With the co-operation of all we look forward to another year of progress and success.



Mr. J. F. Fernandopulle
Managing Director/CEO

25th August 2026

Organizational Structure

Introduction

Our organizational structure is designed to deliver strong governance, operational efficiency and strategic alignment across all areas of the business. Under the leadership of the Managing Director/CEO, the Company's operations are structured across three core divisions: Finance, Human Resources & Administration, and Sales & Operations. Each division is led by experienced professionals who are supported by skilled teams, ensuring seamless coordination, accountability and a commitment to performance excellence.

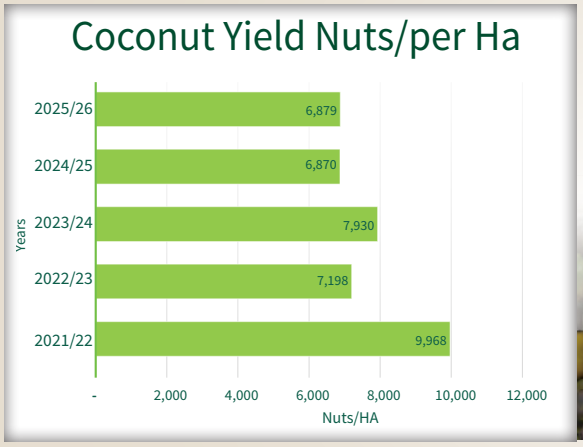
Plantation operations, the backbone of our business, are managed by a Plantation Manager, supported by Deputy and Assistant Managers, Field Officers and their teams, alongside dedicated clerical staff and a committed workforce. This well-defined hierarchy is particularly suited for our plantation operations, enabling effective supervision of field activities, strengthening communication between management and operational teams and fostering a culture of responsibility and continuous improvement.

Through this structure, we are well-positioned to respond to operational challenges, drive sustainable growth and create long-term value for all stakeholders.



Plantation Sector/ Insights

Plantation Sector Highlights

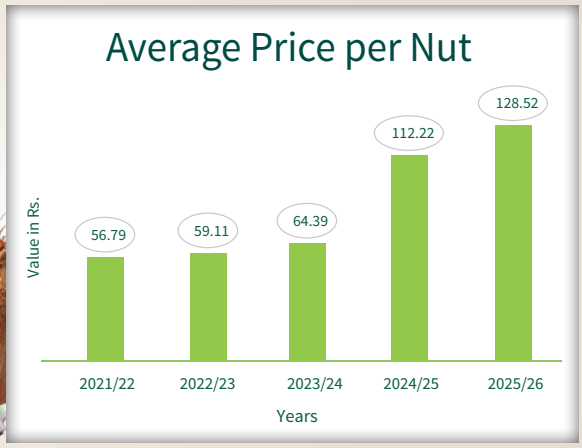


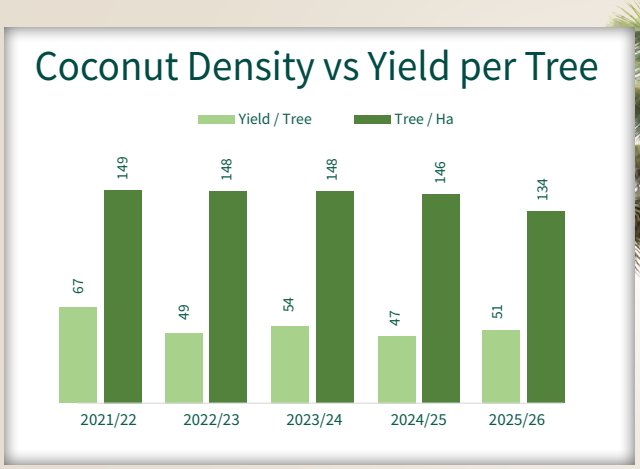
6,879Nuts/Ha
in 2025/26
(▲ 0.13%)



Rs. 128.52 /Nut
in 2025/26
(▲ + 14.53%)









134 Tree/ Ha & 51 Nuts/ Tree

in 2025/26
(▲ 9.20% Yield per Tree)

Plantation Sector/ Insights (Contd.)

Field wise Crop Performance

Field No. 01

Field Name	Dharmasena Farm
Hectares	24
No. of Tree	3,471
Crop	250,663
Yield per Palm	72
Yield per Hectare	10,244
No. of Palms per Hectare	142

Field No. 02

Field Name	Goat Farm
Hectares	30
No. of Tree	4,352
Crop	317,817
Yield per Palm	73
Yield per Hectare	10,683
No. of Palms per Hectare	146

Field No. 03

Field Name	Horticulture- A & B
Hectares	37
No. of Tree	4,574
Crop	293,350
Yield per Palm	64
Yield per Hectare	7,958
No. of Palms per Hectare	124

Field No. 04

Field Name	Block 4 & Block 2
Hectares	60
No. of Tree	7,821
Crop	385,415
Yield per Palm	49
Yield per Hectare	6,447
No. of Palms per Hectare	131

Field No. 05

Field Name	Block - 05
Hectares	34
No. of Tree	4,213
Crop	288,928
Yield per Palm	69
Yield per Hectare	8,589
No. of Palms per Hectare	125

Field No. 06

Field Name	Block - 83
Hectares	25
No. of Tree	3,580
Crop	243,498
Yield per Palm	68
Yield per Hectare	9,682
No. of Palms per Hectare	142

Field No. 07

Field Name	Block-01
Hectares	36
No. of Tree	5,225
Crop	307,739
Yield per Palm	59
Yield per Hectare	8,496
No. of Palms per Hectare	144

Field No. 08

Field Name	Block - 85
Hectares	54
No. of Tree	6,138
Crop	303,741
Yield per Palm	49
Yield per Hectare	5,625
No. of Palms per Hectare	114







Field No. 09

Field Name	Kotawewa - 01
Hectares	36
No. of Tree	3,898
Crop	203,927
Yield per Palm	52
Yield per Hectare	5,665
No. of Palms per Hectare	108

Field No. 10

Field Name	Kotawewa - 02
Hectares	40
No. of Tree	5,091
Crop	269,879
Yield per Palm	53
Yield per Hectare	6,747
No. of Palms per Hectare	127

Field No. 11

Field Name	Kotawewa - 03
Hectares	51
No. of Tree	4,645
Crop	181,745
Yield per Palm	39
Yield per Hectare	3,564
No. of Palms per Hectare	91

Field No. 12

Field Name	Weerana - 01
Hectares	40
No. of Tree	6,313
Crop	246,468
Yield per Palm	39
Yield per Hectare	6,162
No. of Palms per Hectare	158

Field No. 13

Field Name	Weerana - 02
Hectares	40
No. of Tree	7,546
Crop	243,086
Yield per Palm	32
Yield per Hectare	6,077
No. of Palms per Hectare	189

Field No. 14

Field Name	Weerana - 03
Hectares	40
No. of Tree	6,434
Crop	225,725
Yield per Palm	35
Yield per Hectare	5,643
No. of Palms per Hectare	161



Plantation Sector/ Insights (Contd.)

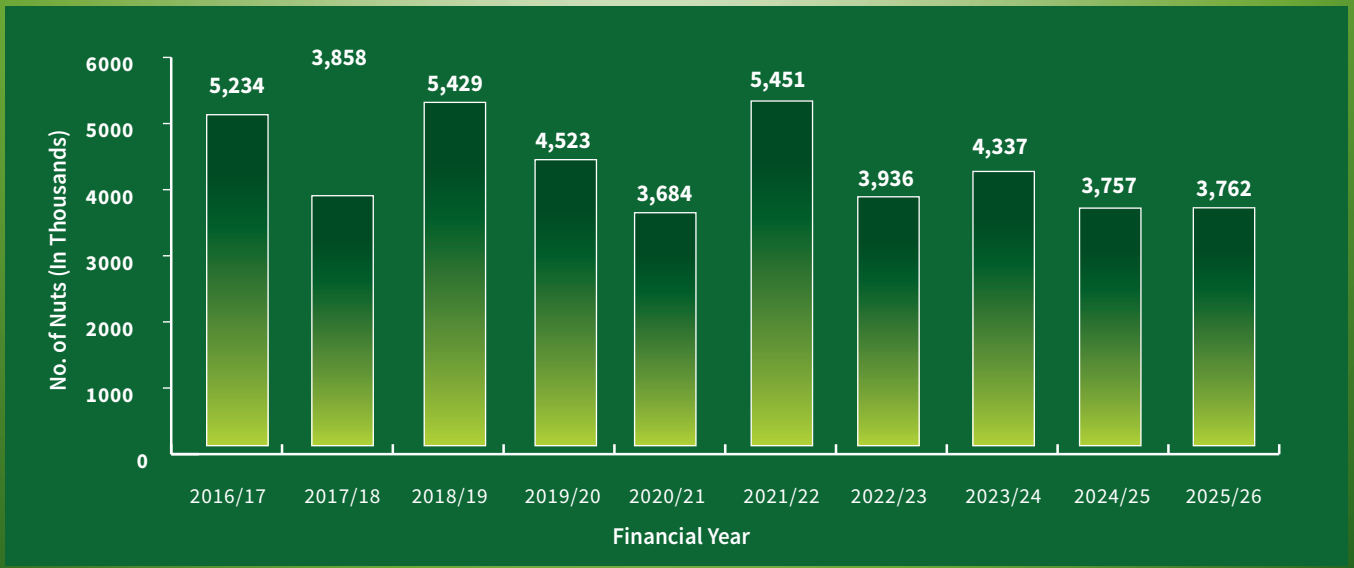
Coconut Crop Performance Over Last 10 Years







Field No.	Field Name	2016/17	2017/18	2018/19	2019/20	2020/21	2021/22	2022/23	2023/24	2024/25	2025/26	Total
1	Dharmasena Farm	348,338	303,847	322,320	303,708	292,901	298,365	234,547	288,322	257,949	250,663	2,900,960
2	Goat Farm	452,649	395,626	403,290	371,047	331,166	414,760	317,617	358,991	317,340	317,817	3,680,303
3	Horticulture-A & B	425,384	318,070	411,497	380,218	263,468	422,759	323,324	303,208	251,138	293,350	3,392,416
4	Block 4 & Block 2	659,053	527,799	732,584	535,485	487,593	713,891	460,776	531,330	350,066	385,415	5,383,992
5	Block-05	377,673	327,929	440,089	373,106	341,434	384,858	256,610	342,936	266,299	288,928	3,399,862
6	Block-83	357,419	297,083	331,318	280,252	238,884	343,253	280,705	272,397	205,218	243,498	2,850,027
7	Block-01	380,815	395,630	449,016	388,342	354,287	392,004	345,951	379,160	283,000	307,739	3,675,944
8	Block-85	514,203	483,012	496,542	423,195	363,656	464,057	361,297	404,078	248,352	303,741	4,062,133
9	Kotawewa-01	264,951	144,881	220,517	212,337	105,289	294,054	189,629	184,969	193,768	203,927	2,014,322
10	Kotawewa-02	280,549	160,847	287,065	272,337	162,986	335,980	186,815	271,128	208,662	269,879	2,436,248
11	Kotawewa-03	276,422	157,865	259,177	228,788	146,814	305,737	191,414	225,050	159,739	181,745	2,132,751
12	Weerana-01	266,503	96,051	319,482	241,082	196,968	352,156	230,858	279,914	302,578	246,468	2,532,060
13	Weerana-02	329,544	132,976	386,472	282,294	188,129	411,553	285,300	257,163	352,662	243,086	2,869,179
14	Weerana-03	300,083	116,109	369,781	231,009	210,748	317,931	271,523	238,229	360,118	225,725	2,641,257
	Total	**5,233,586**	**3,857,725**	**5,429,150**	**4,523,200**	**3,684,323**	**5,451,358**	**3,936,366**	**4,336,875**	**3,756,889**	**3,761,981**	**43,971,453**



Plantation Sector/ Insights (Contd.)

Discussion on Crop Performance

Sri Lanka's coconut industry showed signs of recovery during 2025 following the significant production decline experienced in the previous year. According to the Central Bank of Sri Lanka, national coconut production reached approximately 3,040 Mn nuts by the end of 2025, representing a 9% increase compared with 2024. Production strengthened during the latter part of the year, with December 2025 recording a 49.6% year-on-year increase, reflecting a gradual recovery from the exceptionally low production levels experienced in the previous year.

Despite this improvement, national production remained below Sri Lanka's estimated annual requirement of approximately 3,600 Mn nuts, resulting in continued supply constraints and relatively elevated market prices throughout the year. The industry continued to operate under challenging conditions, including climate variability, ageing plantations, pest and disease pressures, and rising cultivation costs.

Weather conditions remained a key determinant of crop performance during the year. While several coconut-growing regions experienced prolonged dry weather, Cyclonic Storm Ditwah affected Sri Lanka towards the end of November 2025, bringing heavy rainfall, strong winds, and localized flooding to parts of the country. These weather events disrupted agricultural activities in several regions and underscored the increasing vulnerability of the plantation sector to climate-related extremes.

The evolving production environment highlights the importance of sustained investment in plantation management, irrigation infrastructure, replanting programs, and improved agronomic practices to enhance productivity and strengthen the long-term resilience of Sri Lanka's coconut industry.

During the 2025/26 Financial year, MCPPLC harvested 3.76 Mn coconuts, recording a marginal improvement over the previous Financial year, although production remained 13.26% lower than the 2023/24 harvest. The reduction in crop over the past two years is primarily attributable to the fertilizer shortage that followed the fertilizer policy changes introduced in 2021. During this period, the subsidized price of a 50 kg bag of fertilizer increased significantly from approximately Rs. 1,500 to Rs. 19,500, limiting affordability and application across the plantation. Consequently, only around 70% of the palms received fertilizer, and application rates averaged approximately 60% of the recommended requirement. Reduced fertilizer application over successive years has contributed to deficiencies in essential macronutrients such as nitrogen, phosphorus and potassium, together with important micronutrients including magnesium and boron, all of which are critical for sustaining healthy palm growth and optimum yields.

By the 2025/26 Financial year, fertilizer prices had eased to approximately Rs. 10,000 to Rs.10,500 per 50 kg bag, enabling the Company to plan fertilization across the entire plantation. However, the program could not be completed as scheduled due to adverse weather conditions, including a prolonged dry period from May to October 2025, followed by heavy rainfall during November and December 2025, which restricted field operations. Although measures were taken to minimize delays arising from labour constraints, the Company fertilized 45,044 palms, representing 60% of the total plantation, which was 29% lower than the previous year. Furthermore, due to the ongoing conflict in the Middle East, the fertilizer supply was disrupted, resulting in approximately 10,000 trees not being fertilized.

Notwithstanding these challenges, fertilizer application represents only one aspect of successful coconut cultivation. MCPPLC continues to implement a range of integrated agronomic and operational practices that support sustainable production and help maintain crop performance under varying climatic conditions.

a). Soil Management

Soil quality remains fundamental to coconut productivity. Although coconut palms perform best in well-drained soils with a pH of 5.5 to 6.5, MCPPLC's plantation soils record pH levels of 6.75 to 7.25, requiring careful nutrient management. In collaboration with CIC Agri Business, the Company conducts regular soil analyses and implements fertilizer programs based on professional recommendations to maintain soil fertility and support sustainable productivity.

b). Irrigation and Soil Moisture Conservation

Effective water management is essential under dry zone conditions. MCPPLC continues to expand its irrigation infrastructure through solar-powered water pumping systems, reducing dependence on fuel while improving operational efficiency. The Company is also exploring additional groundwater resources through hydrogeological and geophysical investigations to strengthen irrigation capacity and improve water availability during prolonged dry periods.

c). Climate and Weather

Coconut palms perform best under temperatures of 20°C to 32°C with annual rainfall of 1,500 to 2,500 mm. As the first Company to establish commercial coconut cultivation in Sri Lanka's dry zone, MCPPLC continues to apply targeted irrigation and water management practices. During 2025/26, the plantation received approximately 1,872 mm of rainfall, which, together with supplementary irrigation, supported crop development.

Plantation Sector/ Insights (Contd.)

Discussion on Crop Performance (Contd.)

d). Pest and Disease Management

MCPPLC maintains continuous monitoring programs to control major pests, including rhinoceros beetles, red palm weevils, and coconut mites, while monitoring diseases such as bud rot, leaf blight, and root wilt. These activities are carried out in close collaboration with the Coconut Research Institute to ensure effective and timely management.

e). Harvesting and Field Maintenance

Routine pruning, field cleaning, and palm maintenance help improve palm health while reducing pest and disease incidence. A structured harvesting program ensures coconuts are collected at the appropriate maturity, preserving crop quality and minimizing field losses.

f). Plantation Management

MCPPLC follows a structured plantation management program comprising six harvesting cycles annually, supported by regular field inspections and systematic operational record-keeping. These practices enable early identification of plantation issues, timely corrective action, and continuous improvement in productivity.

Through the consistent application of these integrated agronomic practices, MCPPLC continues to enhance plantation productivity, minimize production losses, and strengthen the long-term sustainability of its coconut cultivation operations despite increasingly challenging operating conditions.











Plantation Sector/ Insights (Contd.)

Pest and Disease Monitoring/ Integrated Control Measures

Maintaining healthy and productive coconut plantations remains a key operational priority for MCPPLC. The Company continues to implement an Integrated Pest and Disease Management (IPDM) program to manage major pest threats, particularly the Red Palm Weevil and caterpillar infestations. This integrated approach combines chemical and biological control methods while emphasizing employee safety, operational efficiency, and environmental sustainability.

The Red Palm Weevil remains a significant threat to mature coconut palms. To minimize its impact, field supervisors and estate personnel conduct regular plantation inspections to identify early signs of infestation, including damaged tissues, sap exudation, and wilting fronds. Once an infestation is confirmed, a targeted treatment protocol is implemented by injecting 40 ml of Monocrotophos into the affected palm after carefully drilling into healthy tissue. The opening is then sealed with clay or a suitable sealing compound to prevent reinfestation. As Monocrotophos is a restricted agrochemical, it is handled only by trained personnel equipped with appropriate personal protective equipment.

The Company also continues to strengthen its biological pest management program through the in-house rearing and release of Bracon hebetor, a beneficial parasitoid used to control caterpillar populations. Larvae are reared under controlled laboratory conditions before being parasitized by female Bracon wasps. After pupation, the adult wasps are released into affected fields during peak infestation periods. This initiative reduces dependence on chemical pesticides and external suppliers while supporting biodiversity conservation. The production process involves no hazardous chemicals, providing a safe working environment for laboratory personnel.

MCPPLC's IPDM strategy supports sustainable plantation management by reducing chemical dependency while maintaining crop health and productivity. The Company also conducts regular training programs to strengthen employees' skills in pest identification, early intervention, and safe agrochemical handling. Pest management activities are carried out in accordance with established Company procedures and are regularly monitored to ensure compliance with internal policies and regulatory requirements.

Through this integrated approach, the Company continues to enhance plantation resilience, protect soil health, minimize impacts on non-target species, and reinforce its commitment to sustainable agriculture and responsible Environmental, Social, and Governance (ESG) practices.





Our Value Creation Ecosystem

Value Creation Model

Our value creation model describes how we generate and distributes value to our stakeholders through our business process.

Input

FINANCIAL CAPITAL
Our Financial resources are sufficient to achieve our future ambitions and the same are vital for the growth of the organization.
Shareholder's Fund - Rs. 885.10 Mn
Lease Liability - Rs. 18.01 Mn

BIOLOGICAL & MANUFACTURED CAPITAL
All the income are generated directly by our biological assets. Plant and machineries are used to transform raw materials in to finished goods.
Bearer Biological Assets - Rs. 65.01 Mn
Consumable Biological Assets - Rs. 234.08 Mn
Machinery & Equipment - Rs. 62.79 Mn

HUMAN CAPITAL
Human capital represents our team of well experienced staff from the top management to bottom level.
Total Employees - 198

SOCIAL AND RELATIONSHIP CAPITAL
We have cultivated robust relationship with our customers and communities we operate in.

INTELLECTUAL CAPITAL
Tacit knowledge of our employees is important to increase our capacity and risk management.

NATURAL CAPITAL
Land, water, energy and sunlight are the main natural resources that we are using for our cultivation and manufacturing processes.
Water charges - Rs. 157,700
Electricity charges - Rs. 2.6 Mn
Solar Energy Investment - Rs. 2.18 Mn









Outcomes and Value Distribution

FINANCIAL CAPITAL

Financially we are still in a strong position and continue to offer maximum benefits to the stakeholders.

Retained Earnings - Rs. 484.06 Mn
Profit after Tax - Rs. 120.97 Mn
Earnings Per Share - Rs. 3.46
Market Value Per Share - Rs. 49.30
Dividend Distributed to Shareholders - Rs. 104.99 Mn

BIOLOGICAL & MANUFACTURED CAPITAL

Efficiency of maintenance, cultivation, fertilization and harvesting results in good yield.
Yield per Tree - 51 Nuts
Sale of Coconut & Copra - Rs. 434.51 Mn
Sale of Coco Peat, Coco Chips & Coir - Rs. 22.38 Mn

HUMAN CAPITAL

Part of the created value has been delivered through our employees to improve their well-beings.
Employee Remuneration - Rs. 109.14 Mn
New Recruits in 2025/26 - 10
Employee Retention Rate - 97%
Female Representation Rate - 49%

SOCIAL & RELATIONSHIP CAPITAL

Robust collaboration with suppliers and customers.
Payment of Government Taxes - Rs. 88.22 Mn
Total Donation - Rs. 161,059

INTELLECTUAL CAPITAL

Employees Knowledge and Experience have been increased during the Financial Year.

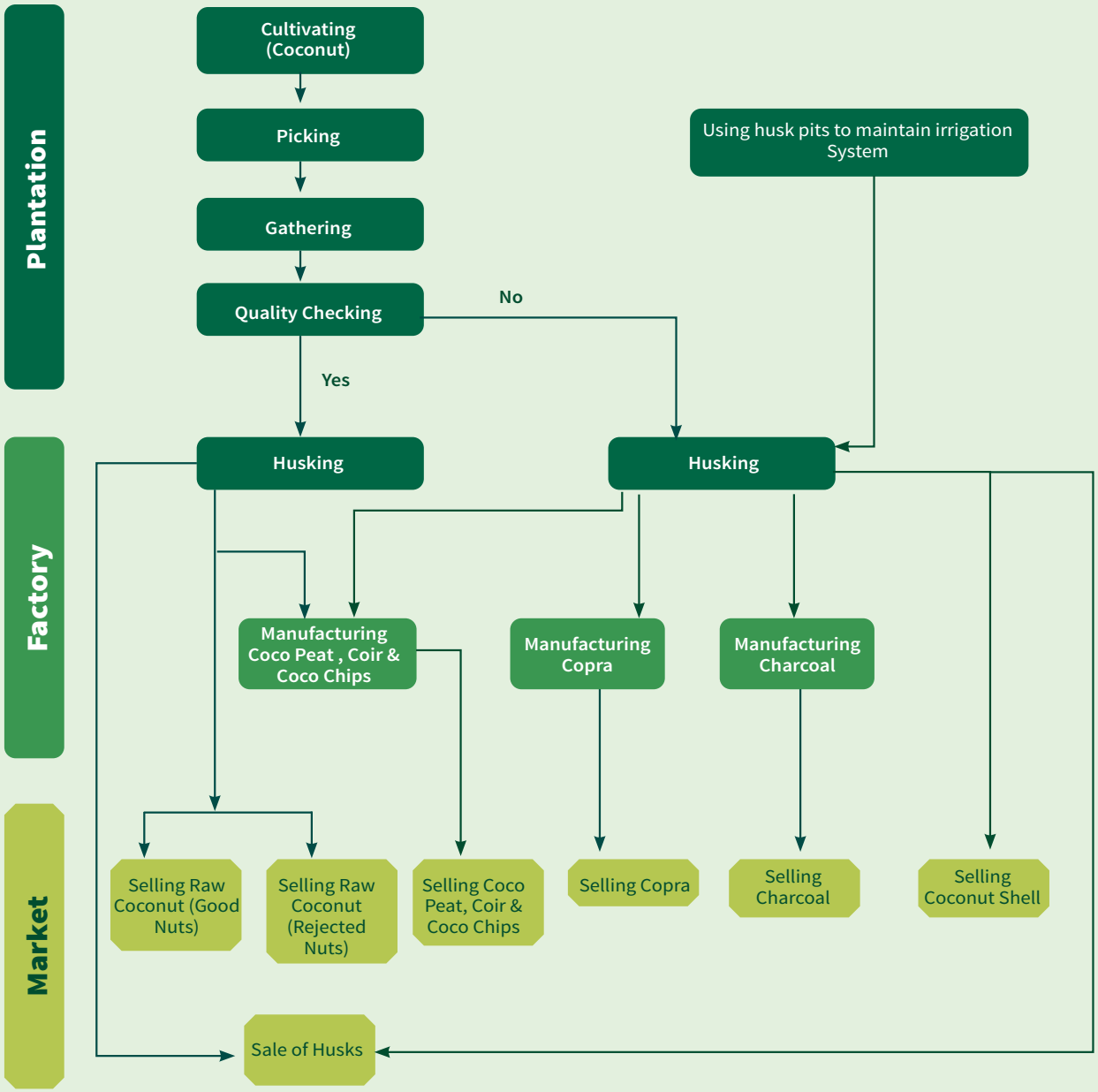
NATURAL CAPITAL

MCPPLC has always focused on preserve the planet.
Preserved water through Drip Irrigation System to minimize water consumption and maximize yield.
Invested in Solar Power project to minimize the use of non-renewable energy.

Our Value Creation Ecosystem (Contd.)

Value Creation Model (Contd.)

Value Creation Process



Our Value Creation Ecosystem (Contd.)

Financial Capital

Overview

At MCPPLC, Financial capital forms the basis of our ability to sustain operations, execute strategic investments, and create long-term value for stakeholders. Built on shareholders' equity and retained earnings, it provides the Financial strength required to support our core plantation business, drive diversification initiatives, and enhance our competitive position within the agribusiness sector.

During the year, our approach to Financial capital management remained focused on balancing growth with Financial stability. Capital was allocated prudently to initiatives that supported our long-term strategic objectives, while maintaining the flexibility needed to respond to changing market conditions and operational requirements.

Supported by sound governance, effective risk management, and disciplined Financial oversight, we continued to strengthen our Financial position throughout the year. Emphasis was placed on strategic reinvestment, prudent cost management, efficient working capital utilization and enhanced internal controls. These measures improved operational efficiency, reinforced liquidity and ensured the Company remained Financially resilient in a dynamic economic environment.

Management Strategy & Framework

Our approach to financial capital management is guided by the following core principles:

- **Strategic Capital Allocation**
  Investments are made based on long-term strategic priorities, including value chain development, crop diversification and capacity building.
- **Robust Governance & Compliance**
  We adhere to Sri Lanka Accounting Standards (SLFRS/LKAS), the Companies Act No. 07 of 2007, and regulatory frameworks under the Colombo Stock Exchange (CSE) and the Securities and Exchange Commission (SEC). This ensures integrity, transparency, and compliance.
- **Cost Efficiency & Budgetary Discipline**
  Through strong Financial controls, we maintain expenses within budgeted limits while continuously evaluating spending across all operations to eliminate waste and non-value-added activities.
- **Risk & Liquidity Management**
  Financial risks are actively managed through liquidity planning and scenario-based stress testing to preserve business continuity and maintain healthy cash flow.
- **Operational Financial Excellence**
  Day-to-day Financial functions are managed with rigorous oversight of inventory, procurement, debtor control and treasury operations.

Value Creation through Financial Capital

Focus Area	Strategic Action	Value Outcome
Investment in Diversification	Funding high-yield crops and value-added processing	Revenue growth and multi-stream income generation
Operational Efficiency Improvements	Reducing non-essential expenditure and overheads	Improved profit margins and cost competitiveness
Strategic Reinvestment	Allocating retained earnings to mechanization and innovation	Enhanced productivity and long-term competitiveness
Strengthened Controls & Compliance	Embedding strong internal systems and Financial discipline	Investor confidence and regulatory assurance

Strategic Responses

To safeguard and leverage Financial capital, our strategic responses included:

- **Cost Rationalization Programs**
  Introduced across both plantation and head office operations to streamline spending and improve EBITDA margins.
- **Focus on Working Capital Efficiency**
  Strengthened receivables management, inventory turnover and procurement processes to improve cash conversion cycles.
- **Investor-Focused Reporting**
  Continued transparent Financial disclosures and performance updates to build long-term investor confidence and value.

Financial Performance

Revenue

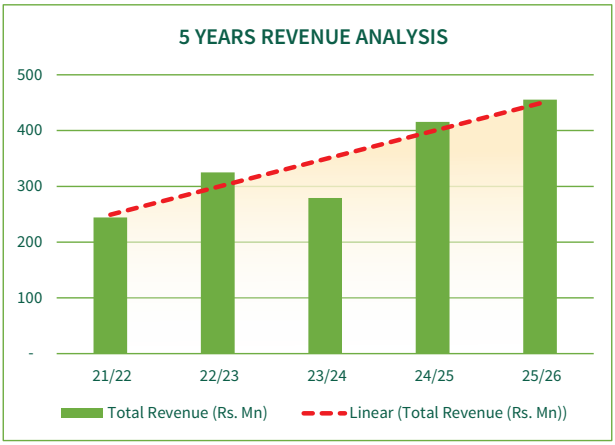
MCPPLC delivered a record Financial performance during the 2025/26 Financial year, achieving the highest revenue in the Company's history of Rs. 456 Mn, representing a 10% increase over the previous year. This outstanding performance was primarily driven by a modest improvement in coconut selling prices together with higher revenue generated from copra, coco peat and coir sales. The results reflect the Company's ability to capitalize on favorable market conditions while maintaining operational resilience.

Coconut sales continued to be the principal source of revenue, complemented by contributions from copra, coco peat, coir and coco chips. The coconut segment accounted for approximately 92% of total revenue during the year. MCPPLC sold 3,182,540 coconuts at an average selling price of Rs. 128.52 per nut, compared with Rs. 112.22 per nut in 2024/25, representing an increase of 14.53%. In addition, the Company sold 119,979 second-quality nuts, generating revenue of Rs. 6 Mn.

Our Value Creation Ecosystem (Contd.)

Revenue from copra recorded a increase, rising from Rs. 6.8 Mn in 2024/25 to Rs. 16.4 Mn in 2025/26. Revenue from fiber-based products, comprising coir, coco peat, and coco chips also demonstrated strong growth, increasing by 55% to Rs. 22.3 Mn during the year. This performance reflects the Company's continued focus on expanding its value-added product portfolio, improving processing capabilities and responding to growing market demand for fiber-based products.

The improvement in average coconut selling prices, together with the revenue from copra and the continued expansion of fiber-based product sales, enabled MCPPLC to achieve its highest-ever revenue despite the coconut crop remaining largely unchanged from the previous year. This performance highlights the Company's resilience, its ability to adapt to changing market dynamics and the benefits of its revenue diversification strategy.



Gross Profit

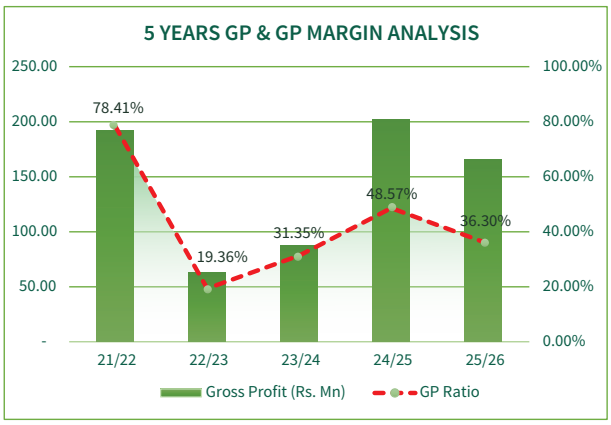
During the year under review, the Company's gross profit decreased from Rs. 201.90 Mn in 2024/25 to Rs. 165.84 Mn in 2025/26, representing a decline of approximately 18%. Accordingly, the gross profit margin reduced from 48.57% to 36.30%, reflecting increased pressure on profitability at the gross level.

The decline in gross profit was primarily attributable to the challenging operating environment experienced by the plantation sector during the year. Production costs continued to rise due to higher expenditure on plantation maintenance cost together with increased labour costs resulting from wage revisions and labour shortages. These cost increases were only partially offset by improvements in operational efficiency.

In addition, fluctuations in crop yields arising from adverse weather conditions (Ditwah Cyclone), limiting the Company's ability to fully absorb fixed plantation overheads. Although the Company continued to generate healthy revenue from its plantation operations, the outcome was insufficient to fully compensate for the increase in Plantation Maintenance Cost and harvesting costs, resulting in a contraction of the gross profit margin.

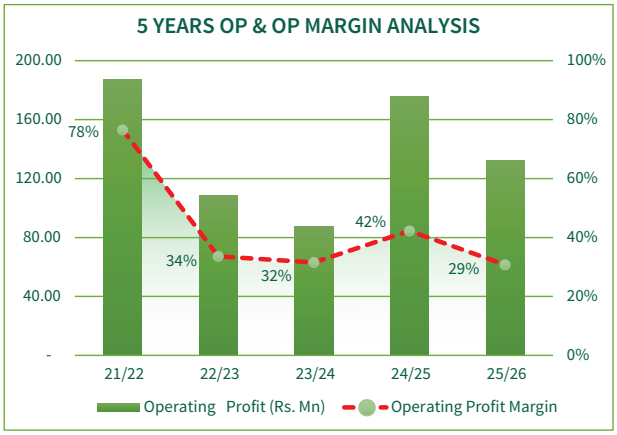
Despite the adverse conditions, the Company maintained a gross profit of Rs. 165.84 Mn, while retaining gross profit margin of 36.30% demonstrates the resilience of the Company's core plantation operation.

Looking ahead, management remains focused on improving crop productivity through sustainable agronomic practices, optimizing fertilizer application, enhancing harvesting efficiency and strengthening cost management initiatives. These measures are expected to support the restoration of gross margins while ensuring the long-term sustainability and profitability of the Company's plantation operations.



Operating Profit

The Company generated an operating profit of Rs. 132.61 Mn during the year under review, compared with Rs. 175.54 Mn in the preceding year, representing a reduction of Rs. 42.93 Mn (24.5%). The reduction in operating profitability considered in the context of the challenging operating environment prevailing in the plantation sector, continued increases in plantation labour costs. Despite these industry-wide pressures, the Company remained profitable at the operating level and maintained a strong operating profit margin of 29% during 2025/26. Accordingly, the results demonstrate the Company's continued resilience and ability to manage operating costs and sustain a satisfactory level of profitability under challenging market conditions.



Our Value Creation Ecosystem (Contd.)

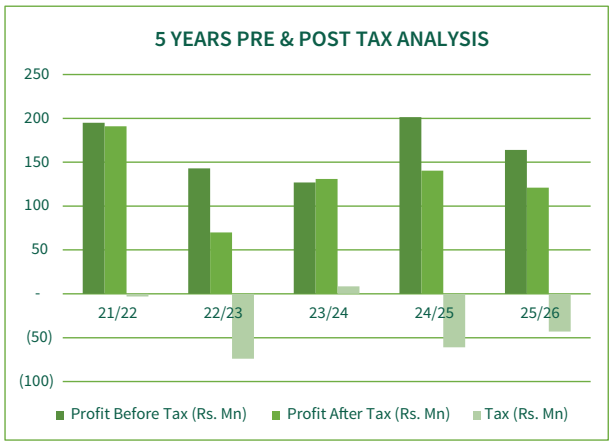
Pre & Post Tax Profit

The Company recorded a Profit Before Tax (PBT) of Rs. 164 Mn in 2025/26, compared with Rs. 201 Mn in 2024/25, representing a decline of 18.4%. The reduction was primarily attributable to increased plantation operating costs, particularly higher labour rates and harvesting-related expenditure, which exerted pressure on operating margins during the year.

The impact of the lower operating profitability was partly mitigated by the Company's improved finance income, which increased by Rs. 4 Mn from Rs. 30 Mn to Rs. 34 Mn. This income was mainly generated from fixed deposits and money market investments, reflecting the effective deployment of surplus funds. Finance cost mainly represents lease interest on the leasehold land obtained from Mahaweli Authority and as the interest rates were predetermined, there were no major fluctuations in Finance Cost. Accordingly, the improved net finance income provided additional support to the Company's pre-tax profitability.

The tax charge decreased from Rs. 61 Mn to Rs. 43 Mn during the year, reflecting the lower taxable profit and the stabilization of the tax impact following the removal of the plantation-sector tax exemption in the preceding year. Consequently, Profit After Tax (PAT) decreased by 13.6%, from Rs. 140 Mn to Rs. 121 Mn, which was a relatively lower decline compared with the reduction in PBT.

Overall, despite the cost pressures arising from higher labour and harvesting-related expenditure, the Company maintained a resilient earnings performance, supported by improved returns on surplus funds and a lower finance cost, while sustaining PAT above Rs. 100 Mn.



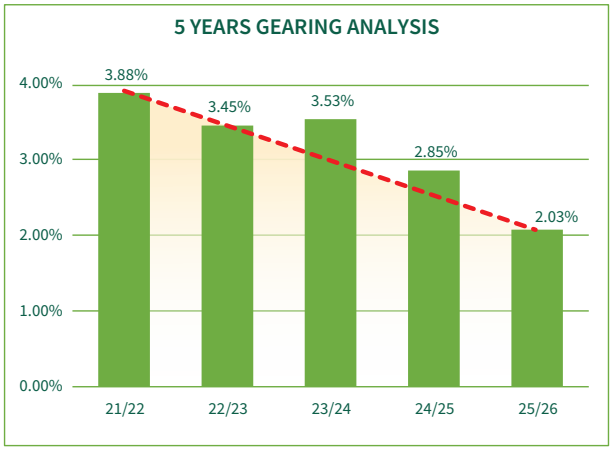
Financial Position

Gearing

The Company continued to maintain a strong and conservative capital structure during 2025/26, with the debt-to-equity ratio declining to 2.03%, compared with 2.85% in 2024/25. This represents a further strengthening of the Company's Financial position and the lowest gearing level recorded over the five-year period.

The debt-to-equity ratio has demonstrated a consistent downward trend, reducing from 3.88% in 2021/22 to 2.03% in 2025/26. The reduction in gearing reflects the Company's prudent approach to capital management and its continued reliance on equity funding, while maintaining limited exposure to external debt.

This conservative gearing profile provides significant headroom for strategic investment, while safeguarding the Company's capacity to withstand potential economic or market uncertainties while retaining capacity to fund future growth opportunities. The sustained improvement in the capital structure further supports the Company's commitment to disciplined Financial management, controlled Financial risk and long-term value creation for shareholders.



Liquidity Management

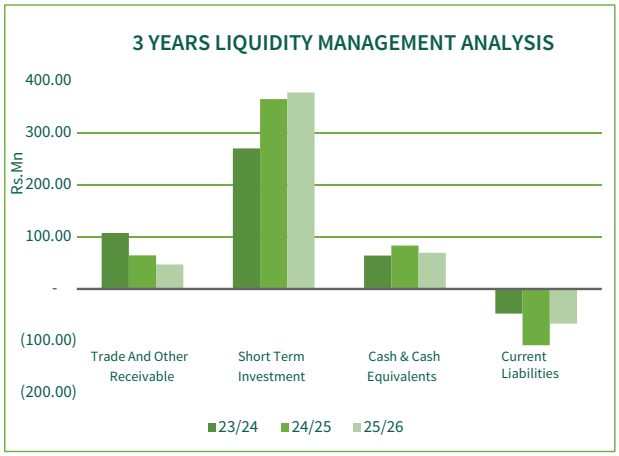
The Company maintained a strong liquidity position during 2025/26, supported by a substantial portfolio of short-term investments and cash resources. Short-term investments increased from Rs. 365.14 Mn in 2024/25 to Rs. 377.71 Mn in 2025/26, demonstrating the Company's continued ability to deploy surplus funds into interest-generating investments while maintaining Financial flexibility.

Trade and other receivables declined from Rs. 64.68 Mn to Rs. 47.06 Mn, reflecting improved management of outstanding receivables and a lower level of funds tied up in working capital. Although cash and cash equivalents decreased from Rs. 83.63 Mn to Rs. 69.58 Mn, the reduction was partly offset by the investment of Rs. 95 Mn in short-term investments in the year under review, resulting in total readily available Financial resources remaining at a strong level.

Current liabilities also reduced significantly from Rs. 108.30 Mn in 2024/25 to Rs. 66.69 Mn in 2025/26, representing a reduction of approximately 38%. The lower current liability position, together with the Company's substantial short-term investments and cash resources, supported its ability to meet short-term obligations.

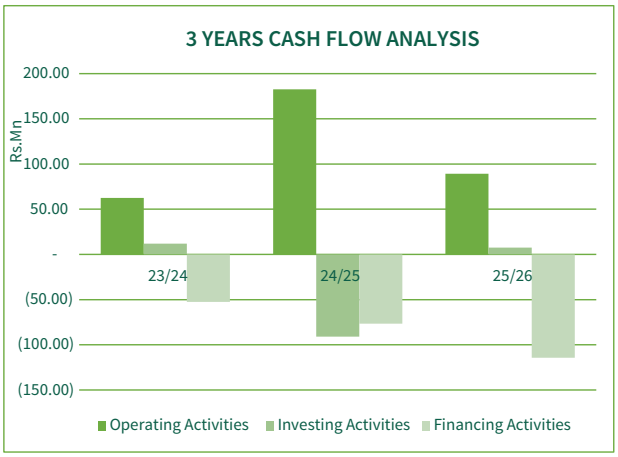
Overall, the movement in the Company's liquidity profile reflects active management of working capital and surplus funds. Despite the reduction in cash balances, the continued growth in short-term investments and significant reduction in current liabilities demonstrate a sound short-term Financial position, providing the Company with adequate flexibility to meet its obligations and support ongoing operations and future investment requirements.

Our Value Creation Ecosystem (Contd.)



Cash Flow

During the Financial year 2025/26, MCPPLC generated a healthy net cash inflow from operating activities of Rs. 89.15 Mn, reflecting continued resilience in its core operations, despite a moderation from Rs. 182.70 Mn recorded in 2024/25. Net cash generated from investing activities amounted to Rs. 7.47 Mn, compared to a net outflow of Rs. 90.94 Mn in the previous year, primarily reflecting lower investment-related cash outflows during the year. Financing activities recorded a net cash outflow of Rs. 114.25 Mn, compared to Rs. 76.58 Mn in 2024/25, mainly driven by dividend distributions of Rs. 104.98 Mn during the year. Overall, the Company continued to generate positive cash flows from its operations while maintaining disciplined investment activities, enabling it to support shareholder distributions and sustain its Financial flexibility.



Future Outlook

MCPPLC remains cautiously optimistic about its future prospects, supported by resilient demand for coconut and coconut-based products. Revenue growth to approximately Rs. 456 Mn in 2025/26 reflects the strength of its core operations. Opportunities in value-added products such as coco peat, coir and diversified agricultural activities are expected to support future growth. However, rising labour, fertilizer and harvesting costs, climate-related risks, coconut price volatility and the increased tax burden may continue to pressure profitability. The Company will therefore focus on improving plantation productivity, cost efficiency, value addition and sustainable agricultural practices to drive long-term growth and enhance shareholder value.

Our Value Creation Ecosystem (Contd.)

Manufactured Capital

Overview

At MCPPLC, manufactured capital represents the physical assets that underpin our operations and support the efficient production of coconuts and value-added products, including coco peat, coir, and coco chips. Our manufactured capital comprises processing facilities, machinery, irrigation systems, vehicles, estate infrastructure, and other operational assets that play a vital role in enhancing efficiency, strengthening competitiveness, and supporting sustainable long-term growth.

During the Financial year under review, the Company continued to strengthen and optimize its manufactured capital through a disciplined capital investment Program. Operating across 14 plantation fields, MCPPLC implemented a targeted CAPEX plan to improve operational efficiency, strengthen asset protection, and enhance the reliability of estate operations.

A key initiative during the year was the construction of perimeter fencing around plantation fields to safeguard crops and estate assets from theft, elephant intrusions, and other external disturbances. The Company also invested in the installation of solar-powered water pumping systems to improve irrigation efficiency, acquired a tractor trailer to enhance estate logistics, and purchased a double cab vehicle to facilitate regular estate visits and strengthen operational supervision.

These strategic investments have enhanced operational efficiency, improved the protection of plantation assets, optimized resource utilization, and reinforced the Company's long-term operational resilience while supporting sustainable value creation.

Value Creation through Manufactured Capital

Manufactured capital continues to play a pivotal role in creating long-term value at MCPPLC. Strategic investments in estate infrastructure, irrigation systems, machinery, vehicles, and processing facilities have strengthened operational efficiency, improved asset utilization, and enhanced the reliability of plantation operations. These investments support efficient coconut cultivation while enabling the Company to expand its value-added product portfolio.

The Company's continued investment in modern infrastructure and operational improvements has contributed to greater productivity, better field supervision, enhanced protection of plantation assets, and more efficient resource management. Initiatives such as solar-powered water pumping systems and strengthened estate infrastructure also demonstrate MCPPLC's commitment to sustainable operations by improving energy efficiency and supporting responsible resource utilization.

By maintaining a disciplined approach to capital investment, MCPPLC continues to strengthen its operational resilience and competitiveness. These investments not only address current operational requirements but also establish a strong foundation for sustainable growth, long-term value creation, and enhanced returns for all stakeholders.

Strategic Responses

The Financial year 2025/26 presented both challenges and opportunities, prompting us to strengthen our operational capabilities and enhance productivity across the business. Expanding processing capacity remained a key strategic priority, supported by targeted investments in infrastructure. The construction of perimeter fencing around plantation fields further strengthened estate security, improved operational management. At the same time, we continued embedding sustainability into our operations by adopting resource-efficient and environmentally responsible production practices.

Through these strategic initiatives, MCPPLC has strengthened its competitive position, enhanced operational resilience, and laid a solid foundation for sustainable revenue growth. Our focus remains on leveraging manufactured capital to drive long-term Financial performance, create stakeholder value, and reinforce the Company's resilience in an evolving business environment.

Acquisition of Machinery and Equipment

The acquisition of machinery and equipment remains important to maintaining efficient, reliable, and uninterrupted operations. We are committed to investing in durable, high-quality assets through a structured evaluation process that considers both Financial and non-Financial criteria. Beyond acquisition costs, emphasis is placed on long-term value generation, energy efficiency, reduced emissions, and enhanced safety features, ensuring that our investments support responsible and sustainable business practices.

To promote transparency and consistency, all procurement activities are conducted in accordance with established policies and procedures. For routine purchases, a minimum of three quotations is obtained to ensure competitive pricing and quality. Major capital investments and bulk procurements are subject to the approval of the Board of Directors, providing enhanced governance and strategic oversight.

By partnering with reputable and dependable suppliers, we procure equipment that not only meets our operational requirements but also supports our broader sustainability objectives. This disciplined procurement approach enables us to achieve operational excellence while minimizing environmental impact, thereby contributing to sustainable growth and long-term value creation.

Our Value Creation Ecosystem (Contd.)

Biological Assets	Carrying Value - 2025/26 (Rs)	Carrying Value - 2024/25 (Rs)
Bearer Biological Assets - Coconut	65,008,949	89,977,437
Consumable Biological Assets - Teak	234,083,000	233,040,000
Fixed Assets/ Tangible assets		
Buildings	90,600,839	93,485,039
Motor Vehicles	29,221,857	6,441,787
Furniture & Fittings	796,590	722,670
Machinery and Equipment	62,787,935	69,249,997

Future Outlook

Looking ahead, MCPPLC will continue to invest in strengthening and modernizing its manufactured capital to support growing demand and improve operational efficiency. We remain committed to adopting sustainable, resource-efficient technologies and practices that minimize environmental impact, enhance operational resilience, and create long-term value for all stakeholders.













Our Value Creation Ecosystem (Contd.)

Human Capital

Overview

The sustained success of MCPPLC is driven by our ability to attract, nurture, and retain a capable, motivated, and committed workforce. We strive to cultivate a workplace that continuous learning, collaboration, and professional growth, while maintaining a safe, inclusive, and rewarding working environment. By investing in the technical expertise, knowledge, and well-being of our employees, we enhance productivity, strengthen organizational resilience, and support the long-term sustainability of our business.

Our people remain at the heart of MCPPLC's continued progress and have played a vital role in achieving the Company's key milestones over the years. Our human resource philosophy is founded on fairness, mutual respect, and the ongoing development of employee skills and competencies. This commitment has enabled us to build a workforce that adapts to changing business needs while remaining aligned with the Company's strategic direction, reinforcing human capital as one of our greatest strengths and a key driver of long-term value creation.

Management Approach

Our employees are the foundation of MCPPLC's success, and we are committed to maintaining a workplace that is safe, inclusive, and collaborative. We foster a culture where every individual is treated with dignity and respect, regardless of race, ethnicity, gender, religion, or political affiliation. The Company fully complies with all applicable labour laws and regulatory requirements, ensuring that our employment practices reflect the highest standards of ethics, fairness, and accountability.

We are committed to developing our people by creating opportunities for both personal and professional advancement. Through continuous learning and capacity-building initiatives, we equip employees with the knowledge, skills, and adaptability needed to thrive in an evolving business environment. Our development programs include leadership training for management, technical and skills enhancement for estate employees, and ongoing training initiatives that promote operational excellence across our plantations and processing facilities.

Recognizing the close relationship between our business and the communities in which we operate, we place strong emphasis on nurturing positive relationships with our employees, their families, and surrounding communities to promote shared progress and long-term prosperity. We also uphold the principles of freedom of association through collective bargaining agreements for estate employees and maintain a firm commitment to eliminating child labour and forced labour throughout our operations.

Description	2025/26	2024/25
New Recruits	10	14
Female Representation	49%	48%
Crop per Employee	19,000	19,983
Employee Retention Rate	97%	97%
Revenue per Employee	Rs. 2.3 Mn	Rs. 2.2 Mn
Employee Remuneration	Rs. 109.14 Mn	Rs. 86.88 Mn

Value Creation through Human Capital

At MCPPLC, our people are central to the Company's long-term value creation process. Our workforce supports every aspect of the value chain, from coconut cultivation to the processing and marketing of value-added coconut products. Their knowledge, commitment, and expertise are fundamental to achieving operational excellence and advancing the long-term sustainability of our business.

We believe that investing in our employees generates lasting value for the Company, its stakeholders, and the communities we serve. Through ongoing training, skills development, and employee engagement programs, we continue to build a competent, motivated, and future-ready workforce that supports the achievement of our strategic objectives. By fostering a safe, inclusive, and development-focused workplace, we enable our employees to realize their full potential while contributing to the Company's continued success.

Our people-first philosophy reinforces human capital as one of MCPPLC's greatest strengths. By empowering our employees and supporting their professional growth, we enhance organizational resilience, strengthen stakeholder confidence, and create sustainable value throughout our operations and across the value chain.

Strategic Responses

Focus Area	Description	Expected Outcome
Workforce Development & Skills Enhancement	Introduce structured training on sustainable plantation management, value-added processing, and leadership development.	Increased productivity, improved operational efficiency, and development of future leaders.
Employee Engagement & Retention	Launch recognition programs, strengthen communication channels, and implement feedback-driven engagement initiatives.	Higher employee satisfaction, reduced turnover, and improved morale.
Community-Centered Employment Initiatives	Prioritize hiring from local communities and provide family support (education, health).	Stronger community relationships, enhanced loyalty, and improved corporate reputation.

Our Value Creation Ecosystem (Contd.)

Occupational Health & Safety (OHS)	Strengthen safety protocols and conduct regular awareness programs for plantation and factory workers.	Safer work environments, fewer workplace accidents, and compliance with OHS standards.
Inclusive & Equitable Work Environment	Promote gender diversity, ensure fair wages, and create equal opportunities for all employee categories.	Greater inclusivity, improved workplace culture, and enhanced employer reputation

Our Team Profile

At MCPPLC, our team of 198 employees represents a diverse mix of skills, commitment, and experience. We are proud to maintain a balanced gender composition, with 49% female and 51% male employees, reflecting our commitment to inclusivity and equal opportunity across all roles.

Employee Composition

By Age	2025/26	2024/25
Under 30 years	27	21
Between 31–50 years	97	87
Over 50 years	74	80

By Employment Type	2025/26	2024/25
Workers	142	140
Staff	48	40
Executives	8	8

By Gender	2025/26	2024/25
Male	101	98
Female	97	90

Employees	2025/26	2024/25
Total Employees	198	188

Remuneration & Benefits

At MCPPLC, we are dedicated to creating a fair, inclusive, and supportive workplace that promotes the Financial well-being and overall welfare of our employees. We invest substantially in our people, extending beyond statutory obligations because we recognize that an engaged, motivated, and secure workforce is fundamental to the Company's long-term success.

Our employees are covered under collective agreements applicable to workers and estate staff, and we fully comply with the requirements of the Wages Board and other relevant labour regulations. These practices help safeguard employees against economic hardship while ensuring fair and equitable remuneration. Our compensation framework is designed to provide a stable and sustainable livelihood for all employees.

Following the enactment of the National Minimum Wage Act, the minimum monthly wage in Sri Lanka increased from Rs. 17,500 to Rs. 27,000 and the daily wage from Rs. 700 to Rs. 1,080 with effect from 01st April 2025 to 31st December 2025. A further revision to Rs. 30,000 per month and Rs. 1,200 per day became effective from 01st January 2026.

Demonstrating our commitment to employee welfare, MCPPLC implemented these enhanced wage levels well in advance of the statutory timeline. Effective from 01st April 2025, the Company paid a monthly wage of Rs. 30,000 and a daily wage of Rs. 1,300, exceeding the prescribed minimum rates. We also uphold the principle of equal remuneration for equal work, ensuring that employees receive fair and consistent compensation irrespective of gender or other demographic factors. Our workforce continues to reflect a balanced gender representation, reinforcing our commitment to diversity, inclusion, and equal opportunity.

Beyond competitive remuneration, MCPPLC provides a comprehensive range of employee benefits designed to enhance the well-being, security, and quality of life of our workforce.

Benefit	Executives – Plantation	Executives – Head Office	Staff – Head Office	Staff – Plantation
Medical Insurance / Medical Funds / Health Care	✓	✓	✓	✓
Coconut Allowance	✓	✓	✓	✓
Mobile Allowance	✓	✓	-	-
Fuel /Vehicle Benefits	✓	-	-	-
Water / Gas Allowance	✓	-	-	-
Electricity Allowance	✓	-	-	-
Accommodation / Quarters	✓	-	-	-
Maternity Leave and Benefits	✓	✓	✓	✓

Occupational Health & Safety

Ensuring the health, safety, and well-being of our workforce remains one of our highest priorities. MCPPLC has established dedicated Health & Safety Committees at plantation, comprising representatives from the field, factory, and divisional levels, under the guidance of estate executives.

Employees are trained and strongly encouraged to wear personal protective equipment including boots, gloves, and helmets especially during high-risk activities such as coconut harvesting and plantation operations. Regular inspections and awareness programs are conducted to reinforce safe work practices.

We adhere to the guidelines of the World Health Organization (WHO) and local health authorities to ensure a safe and compliant

Our Value Creation Ecosystem (Contd.)

workplace. Employees are actively involved in identifying and reporting hazards, and any critical concerns are escalated to the Estate Superintendent for immediate action.

We provide a comprehensive range of health and safety coverages to safeguard our employees and their families:

- Maternity Benefits – Ensuring adequate leave and support for new mothers.
- Death Grants – Offering Financial assistance to families in the event of an employee's death.
- Medical Aid Scheme – Supporting employees in accessing quality healthcare.
- Workmen's Compensation Insurance – Providing Financial protection in case of workplace injuries.

Regular health & safety review meetings are conducted to address emerging risks and continuously improve our occupational safety framework. We remain committed to fostering a safe, inclusive, and supportive work environment where our employees can thrive.

Future Outlook

Looking ahead, MCPPLC will continue to strengthen its human capital by expanding training programs, enhancing leadership development, and promoting greater inclusivity across the workforce. We remain committed to improving employee engagement, retaining top talent, and ensuring a safe, supportive work environment. By deepening community-focused employment initiatives and adopting global best practices in occupational health and safety, we aim to build a future-ready, resilient, and empowered workforce that drives sustainable growth.



Our Value Creation Ecosystem (Contd.)

Intellectual Capital

Introduction

At MCPPLC, intellectual capital is a vital asset that supports sustainable value creation and long-term competitiveness. Beyond our physical plantation assets, it comprises the knowledge, expertise, governance practices, and organizational culture that drive responsible decision-making and operational excellence. By preserving institutional knowledge, strengthening internal processes, and maintaining high standards of transparency and accountability, we continue to build a resilient and future-ready plantation business.

Our approach is firmly rooted in sustainable plantation management, with a strong focus on protecting biodiversity, enhancing soil health, and ensuring the long-term productivity of our estates. We also recognize that meaningful relationships with employees and surrounding communities are essential to fostering collaboration, trust, and shared prosperity.

Value Creation through Intellectual Capital

Intellectual capital enables MCPPLC to continuously improve cultivation practices, streamline operational processes, and maintain high standards of quality across our operations. Strong governance frameworks reinforce ethical conduct, effective oversight, and responsible decision-making, strengthening stakeholder confidence.

We continue to invest in employee learning, capability development, and workplace well-being to build a skilled and motivated workforce. At the same time, our engagement with estate communities through livelihood enhancement and social development initiatives creates lasting value for stakeholders while supporting environmental sustainability.

Strategic Initiatives

Our strategic focus is on strengthening intellectual capital by developing people, encouraging knowledge transfer and preserving the specialized expertise that supports our plantation operations. We continue to refine governance structures to ensure decisions remain aligned with our sustainability objectives while fostering a culture of collaboration, inclusivity, and continuous improvement.

We also promote sustainable agricultural practices that enhance soil fertility, reduce waste, and improve the efficient use of natural resources, ensuring the long-term resilience of our plantations.

Management Approach

Our intellectual capital is managed through a framework of sound governance, ethical business practices, and experienced leadership with extensive expertise in plantation management and coconut cultivation. Continuous professional development, operational excellence, and compliance with sustainable agricultural and labour standards remain central to our management approach.

By strengthening organizational knowledge, employee capabilities, and governance systems, we enhance operational efficiency and business resilience. Ongoing training, knowledge-sharing initiatives, and a performance-driven culture support continuous improvement, while strategic decisions are guided by market intelligence, operational performance, and long-term sustainability priorities.

Pillars of Intellectual Capital

MCPPLC's intellectual capital is built upon three interconnected pillars:

Human Capital

The knowledge, experience, technical expertise, and continuous development of our employees strengthen productivity, encourage innovation, and support the consistent delivery of high-quality coconut products.

Relational Capital

Strong relationships with investors, employees, estate communities, government institutions, regulators, customers, and other stakeholders reinforce our reputation and create opportunities for long-term collaboration.

Structural Capital

Effective governance, well-established management systems, standardized processes, and a strong organizational culture embed best practices and promote transparency throughout the Company.

Future Outlook

Looking ahead, MCPPLC will continue to strengthen its intellectual capital by expanding employee development initiatives, enhancing governance practices, and advancing sustainable plantation management. We remain committed to adopting innovative cultivation techniques, promoting knowledge sharing, and improving operational resilience across our estates. Through stronger stakeholder partnerships and a culture that values continuous learning and collaboration, we aim to create lasting value while safeguarding the long-term sustainability and competitiveness of our plantation business.



Our Value Creation Ecosystem (Contd.)

Social and Relationship Capital

Overview

At MCPPLC, we recognize that enduring relationships with our stakeholders are fundamental to creating sustainable value. Our Social and Relationship Capital reflects the trust, collaboration, and mutual respect we have cultivated with our employees, local communities, customers, suppliers, regulators, and other stakeholders throughout our operations.

As a responsible plantation Company, we strive to create shared value by fostering meaningful partnerships, supporting community development, preserving cultural traditions, and maintaining open engagement with stakeholders. These relationships enhance our ability to create shared value and contribute to the long-term resilience and sustainability of our business.

Value Creation through Social and Relationship Capital

We believe that strong stakeholder relationships are a key driver of long-term value creation. By actively engaging with our communities, investing in employee well-being, supporting education, and promoting environmental stewardship, we contribute to sustainable social and economic development while reinforcing the resilience of our operations.

Our commitment extends beyond plantation boundaries through initiatives that support local schools, community organizations, and religious institutions. At the same time, our focus on responsible resource management, biodiversity conservation, and renewable energy helps protect the natural capital on which our business depends. These collective efforts strengthen stakeholder confidence, enhance community well-being, and create lasting value for both society and the Company.

Strategic Initiatives

During the year, MCPPLC continued to strengthen its relationships with surrounding communities through a range of social responsibility and stakeholder engagement initiatives. Educational assistance programs provided essential learning materials to students in neighboring communities, supporting access to education and encouraging future development.

In keeping with our longstanding commitment to local communities, the Company supported numerous Poson religious and community dansal programs across the region by providing coconuts and other plantation produce. We also contributed copra to support the annual Poson Perahera at Dimbulagala Temple and participated in a dansala organized by MCPPLC employees near Aralaganwila Town. These initiatives reflect our continued commitment to preserving cultural and religious traditions while strengthening our relationships with the communities we serve.

Alongside our community initiatives, we continued to implement sustainable environmental practices through efficient water management, drip irrigation, biodiversity conservation, responsible waste management, and the expansion of renewable energy initiatives. These efforts reinforce our commitment to balancing environmental stewardship with long-term business sustainability.

Management Approach

Our approach to managing Social and Relationship Capital is embedded within our business strategy and guided by continuous stakeholder engagement. We maintain regular dialogue with employees, local communities, customers, suppliers, government authorities, and other stakeholders to understand their expectations and respond responsibly to emerging needs.

Community development initiatives are aligned with local priorities, while environmental stewardship is integrated into plantation operations through sustainable agricultural practices and responsible resource management. By fostering transparent relationships, encouraging collaboration, and measuring the impact of our initiatives, we continue to build stakeholder trust and strengthen the Company's long-term sustainability.

Future Outlook

Looking ahead, MCPPLC will continue to strengthen stakeholder relationships by expanding community engagement initiatives, supporting education and social development, preserving local cultural and religious heritage, and advancing environmental sustainability. Through these efforts, we aim to create lasting shared value while reinforcing the resilience, reputation, and long-term success of the Company.











Our Value Creation Ecosystem (Contd.)

Natural Capital

Overview

At MCPPLC, natural capital forms the foundation of our plantation operations and long-term value creation. Our business depends on the responsible management of water, soil, biodiversity, air, and energy resources. Operating in Sri Lanka's dry zone, we rely on rainfall and water allocated by the Mahaweli Authority for irrigation, while solar energy increasingly supports our operational requirements. During prolonged droughts, diesel-powered pumps are used only as a contingency measure to maintain irrigation. Through responsible stewardship of these resources, we strengthen plantation resilience, protect surrounding ecosystems, and create sustainable value for our stakeholders.

Value Creation Through Natural Capital

Our investments in environmental stewardship generate both operational and long-term value. The installation of a capacitor bank at our coir factory has improved energy efficiency and optimized power utilization, while sustainable water management practices, including rainwater harvesting, Mahaweli water allocations, solar-powered irrigation systems, and efficient irrigation methods, strengthen crop resilience under increasingly variable climatic conditions. Soil conservation, biodiversity protection, and responsible waste management further preserve the natural resources on which our business depends, supporting sustainable agricultural productivity.

Strategic Initiatives

Our strategic priorities focus on strengthening the sustainable management of natural capital while enhancing operational resilience and environmental performance. We continue to expand solar power generation and solar-powered irrigation systems to reduce reliance on fuels. Water management remains a key priority through improved irrigation efficiency, greater use of rainwater harvesting, and the expansion of husk pit irrigation to enhance water retention during prolonged dry periods.

We also implement soil conservation measures, promote biodiversity, and ensure responsible waste and effluent management to support long-term environmental sustainability.

Management Approach

Environmental stewardship is embedded in our corporate strategy and plantation operations. We comply with all applicable environmental regulations and the requirements of the Central Environmental Authority while monitoring our consumption of energy, water, materials, and fuel. Regular environmental assessments enable us to improve resource efficiency, reduce environmental impacts, and strengthen resilience to climate-related risks through responsible operational practices.

Description	2025/26	2024/25
Non-Renewable material used		
Fertilizer	283,509 Kgs	344,150 Kgs
Fuel & energy consumption		
Diesel	72,600 L	52,800 L
Non-Renewable sources		
Electricity consumption	43,135 Kwh	43,892 Kwh
Average water consumption	333 Mn L	218 Mn L

Energy Management

Energy efficiency remains a key priority in reducing our environmental footprint and operating costs. We continue to expand renewable energy across our plantation and processing operations, supported by the capacitor bank installed at the coir factory, which has improved power factor correction and reduced electricity losses. While diesel-powered pumps remain available during prolonged droughts, solar-powered pumping systems are progressively increasing the share of renewable energy in our irrigation operations. Regular monitoring of fuel and electricity consumption supports continuous improvements in energy performance.





Our Value Creation Ecosystem (Contd.)

Water & Effluent Management

Water is a critical resource for sustaining plantation productivity. Our irrigation system combines rainfall, Mahaweli Authority water allocations, groundwater resources, and solar-powered pumping systems to ensure a reliable supply throughout the year. We continue to expand husk pit irrigation and other water-efficient practices to improve moisture retention and reduce water consumption. Effluent generated from processing operations is treated and discharged in accordance with Central Environmental Authority requirements, safeguarding surrounding eco-systems..

Future Outlook

Looking ahead, MCPPLC will continue expanding solar-powered irrigation systems and husk pit irrigation to improve water use efficiency and strengthen resilience to prolonged dry periods. We also plan to enhance irrigation capacity through hydrogeological and geophysical investigations to identify sustainable groundwater resources. Continued investment in soil conservation, biodiversity enhancement, and climate-resilient agricultural practices will further support the long-term productivity and sustainability of our plantations.








Management Discussion and Analysis

OPERATING ENVIRONMENT

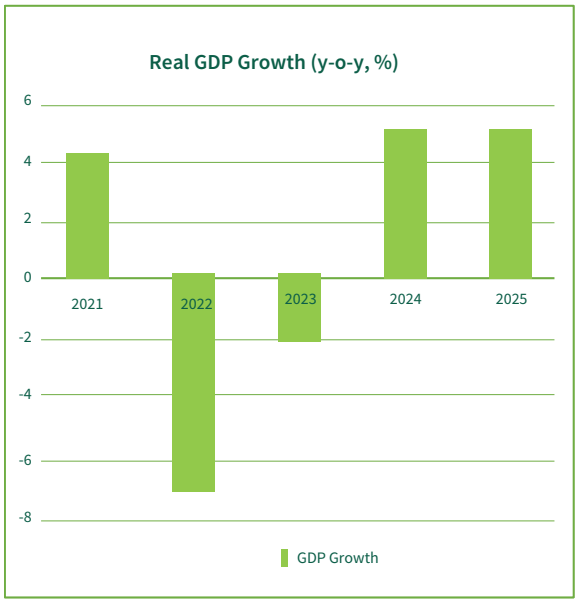
Macro-Economic Analysis

GDP Growth

Sri Lanka sustained its economic recovery during 2025, building on the strong rebound achieved in 2024 when the economy expanded by 5%, marking the first year of positive growth following two consecutive years of economic contraction. Economic growth became increasingly broad-based, supported by continued expansion in manufacturing, construction, services and agriculture. Manufacturing benefited from improved domestic demand, greater availability of imported raw materials and easing financing constraints, while construction activity recovered with lower interest rates, increased public infrastructure projects and renewed private sector investment.

The services sector remained the largest contributor to economic growth, driven by tourism, transportation, Financial services, wholesale and retail trade, and accommodation services. Higher international tourist arrivals and improving Financial sector activity contributed to stronger economic performance. Agriculture recorded moderate growth despite adverse weather conditions, supported by improved productivity and better availability of agricultural inputs.

The economy expanded by 5% during the first nine months of 2025. Although Cyclone Ditwah temporarily affected economic activity towards the end of the year, private sector credit continued to expand, reflecting improving business confidence and increased domestic demand. Continued implementation of reforms under the IMF Extended Fund Facility (EFF), together with fiscal consolidation and debt restructuring, further strengthened macroeconomic stability and investor confidence.



Source: CBSL

Geopolitics

The global geopolitical environment remained highly volatile during 2026, influenced by the escalation of the Israel-Iran conflict, evolving international trade policies, persistent supply chain disruptions and climate-related risks. Heightened tensions in the Middle East increased uncertainty in global energy markets, resulting in higher oil prices and increased freight and marine insurance costs due to disruptions in key shipping routes, including the Red Sea.

Global trade policies also became increasingly protectionist during the year. The United States imposed a 20% tariff on selected Sri Lankan exports from August 2025, lower than the initially proposed 44% tariff. Although reduced, the tariff affected the competitiveness of Sri Lankan exports, particularly value-added coconut products, while encouraging exporters to diversify into alternative markets including Europe, India, China and the Middle East.

Debt Restructuring

Sri Lanka made significant progress in restoring debt sustainability during 2025 following the implementation of agreements with bilateral and commercial creditors. Debt treatment agreements concluded with the Official Creditor Committee and the Export-Import Bank of China became operational, enabling the resumption of debt servicing under revised repayment terms.
The restructuring package provided substantial relief through,

- Extended debt maturities
- Capital repayment grace periods until 2028
- Reduced interest rates and revised repayment schedules extending final maturities to 2043.

Further progress was achieved through the successful restructuring of International Sovereign Bonds (ISBs) and other external borrowings, significantly reducing Sri Lanka's near-term debt servicing obligations.

The IMF Extended Fund Facility continued to support the restructuring process through fiscal consolidation, governance reforms and prudent macroeconomic management. Successful completion of program reviews strengthened policy credibility and facilitated continued Financial assistance from multilateral development partners. The restoration of debt sustainability reduced refinancing risks, improved Financial market stability and strengthened investor confidence while creating greater fiscal space to support long-term economic recovery.

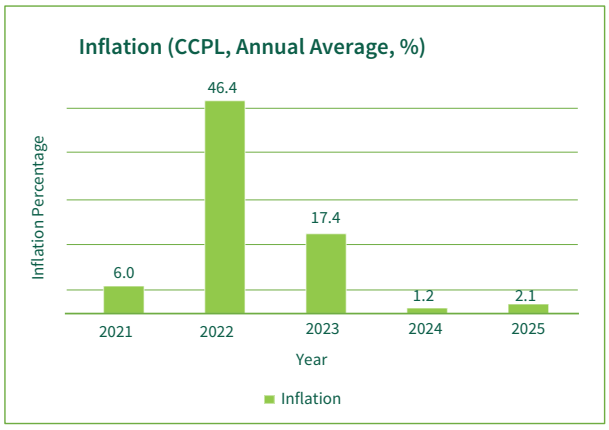
Inflation

Sri Lanka maintained a low inflation environment throughout most of 2025, supported by prudent monetary policy, stable exchange rate conditions, subdued domestic demand and easing global commodity prices. Improved agricultural production and

Management Discussion and Analysis (Contd.)

lower imported inflation also contributed to stable price levels. The Colombo Consumer Price Index (CCPI) remained at 2.1% in December 2025, reflecting continued price stability.

During 2026, inflation gradually accelerated as economic activity recovered and domestic demand strengthened. Headline inflation increased from 2.3% in January 2026 to 5.5% in May 2026, reaching 6.8% in June 2026, primarily due to higher transport and energy costs together with moderation in food price deflation. Despite this increase, inflation remained substantially below the exceptionally high levels experienced during the 2022 economic crisis.



Source: CBSL

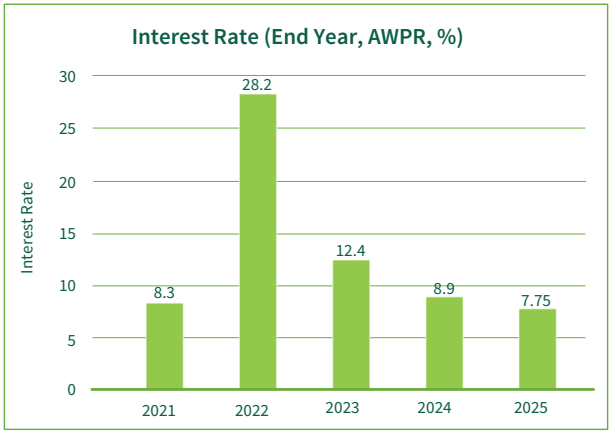
The Central Bank expects inflation to stabilize around its medium-term target of approximately 5%, supported by prudent monetary policy, fiscal discipline and well-anchored inflation expectations. Exchange rate stability also continued to moderate imported inflation by limiting fluctuations in fuel, machinery, fertilizer and other imported production input prices.

Interest Rate

Sri Lanka's interest rate environment remained supportive of economic recovery throughout 2025 as the Central Bank maintained an accommodative monetary policy. Following the easing cycle initiated in mid-2023, domestic market interest rates continued to decline during 2025, improving access to finance for businesses and households. The introduction of the Overnight Policy Rate (OPR) in late 2024 strengthened monetary policy transmission, with the policy rate maintained at 7.75% for most of 2025.

Lower lending rates supported stronger private sector credit growth, increased investment activity and improved liquidity across the banking system. Reduced financing costs encouraged expansion across manufacturing, construction, tourism and agriculture while supporting household borrowing and business investment.

As inflation accelerated during 2026, the Central Bank increased the OPR by 100 basis points to 8.75% to maintain price stability and contain inflationary pressures. Despite this adjustment, domestic interest rates remained significantly below the exceptionally high levels experienced during the economic crisis, while Financial conditions continued to support economic activity.



Source: CBSL

Exchange Rate

The Sri Lankan Rupee remained relatively stable during 2025, supported by stronger tourism earnings, workers' remittances, merchandise exports and continued implementation of IMF-supported reforms. Improved foreign exchange inflows enabled the Central Bank to strengthen official reserves while maintaining orderly conditions in the foreign exchange market.

During 2025, the Rupee recorded a 5.6% depreciation against the US Dollar, moving from Rs. 293 at the end of 2024 to Rs. 310 by end-2025, compared with the 10.7% appreciation recorded during 2024. Depreciation pressures were mainly driven by increased import demand, particularly following the relaxation of motor vehicle import restrictions, together with higher payment and infrastructure-related foreign exchange outflows.

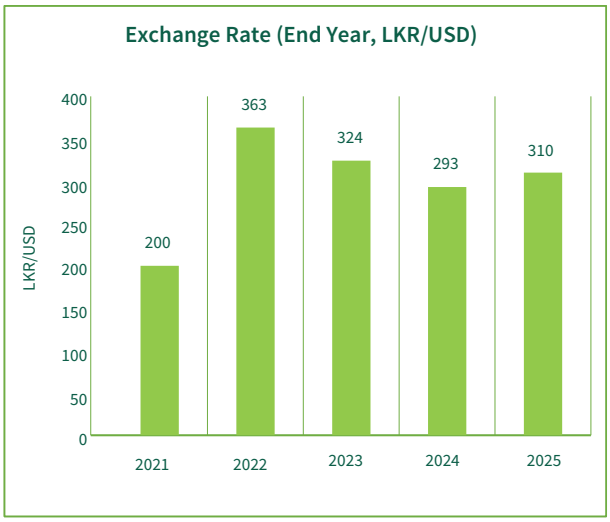
Despite these developments, stronger workers' remittances and export proceeds helped moderate exchange rate pressures. Compared with the significant volatility experienced during the economic crisis, exchange rate movements remained considerably more stable, while the Central Bank continued rebuilding official reserves through net foreign exchange purchases.

During the first half of 2026, the Sri Lankan Rupee experienced moderate volatility against the US Dollar, reflecting heightened global economic uncertainty and external shocks, including geopolitical tensions in the Middle East, which contributed to higher global energy prices and increased pressure on foreign exchange markets. Although tourism earnings moderated compared with the exceptional growth recorded in the previous year, continued workers' remittances and export receipts, together

Management Discussion and Analysis (Contd.)

with prudent monetary and exchange rate policies, helped maintain orderly conditions in the domestic foreign exchange market.

Overall, exchange rate movements remained significantly more stable than during the period of the economic crisis, despite short-term fluctuations arising from external developments.



Source: CBSL

External Sector

Sri Lanka's external sector strengthened further during 2025 despite geopolitical tensions and slower global trade growth. Although the merchandise trade deficit widened due to higher imports associated with economic recovery, strong inflows from tourism, workers' remittances and service exports supported a resilient external position.

The country recorded an estimated current account surplus of approximately USD 1.7 Bn, marking the third consecutive year of current account surpluses. Workers' remittances exceeded USD 8 Bn, representing a 22.8% increase over the previous year, while tourism earnings continued to recover with visitor arrivals exceeding pre-pandemic levels. Merchandise exports also reached historically high levels despite challenging global trading conditions.

Supported by sustained foreign exchange inflows, Gross Official Reserves increased to approximately USD 6.8 Bn by end-2025. During 2026, the external sector remained resilient despite higher oil prices and increased import demand, with strong remittance inflows and reserve accumulation continuing to strengthen Sri Lanka's external position and resilience against external shocks.

Fiscal Policy

Sri Lanka continued to strengthen its fiscal position during 2025 through improved revenue collection, prudent expenditure management and continued implementation of reforms under the IMF Extended Fund Facility. According to the Central Bank, government revenue and grants increased by 34.1% to Rs.5,485.6 Bn, equivalent to 16.7% of GDP, compared with Rs.4,090.8 Bn (13.6% of GDP) in 2024.

The Government recorded a primary fiscal surplus of Rs.1,755.8 Bn (5.4% of GDP) compared with Rs.649.6 Bn (2.2% of GDP) in 2024, while the overall fiscal deficit narrowed to 2.3% of GDP, reflecting stronger revenue performance and continued fiscal discipline. Tax administration reforms, digitalization of revenue collection and broader tax compliance contributed significantly to the improvement in public finances.

Progress also continued in public Financial management reforms, governance improvements and State-Owned Enterprise restructuring. Successful completion of successive IMF Program reviews reinforced policy credibility and strengthened confidence among international Financial institutions, development partners and investors, further supporting Sri Lanka's macroeconomic stabilization efforts.

MCPPLC is of the view that there are no material uncertainties that may cast significant doubt on the Company's ability to continue as a going concern. The continued recovery of the Sri Lankan economy, supported by stronger GDP growth, successful debt restructuring, improved fiscal performance and a macroeconomic environment with relatively stable inflation, interest rates and exchange rates, together with a strengthened external sector, has contributed positively to the Company's operating environment. Management continues to monitor macroeconomic developments and other emerging risks, incorporating these factors into the critical assumptions, estimates and judgements applied in the preparation of the Financial statements.

Industry Analysis

World Coconut Industry Analysis

The global coconut industry continued to demonstrate resilience during the year, supported by increasing consumer demand for natural, plant-based and sustainably sourced products. Coconut-derived products have become increasingly important across the food and beverage, cosmetics, pharmaceutical and personal care industries due to their nutritional benefits, versatility and wide range of commercial applications.

According to the International Market Analysis Research and Consulting Group, the global coconut products market was valued at approximately USD 23.9 Bn in 2025 and is projected to reach approximately USD 54.0 Bn by 2034, registering a compound annual growth rate (CAGR) of 9.2% during the forecast period. This growth reflects the increasing consumer preference for healthier food choices, functional beverages, organic ingredients and environmentally sustainable products.

Management Discussion and Analysis (Contd.)

The continued expansion of the industry is primarily driven by:

- Growing awareness of the health and nutritional benefits of coconut-based products.
- Rising global adoption of plant-based and vegan diets, increasing demand for coconut milk, cream, yogurt and dairy alternatives.
- Expanding use of coconut oil and coconut derivatives in cosmetics, pharmaceuticals and personal care products.
- Increasing demand for clean-label, organic and minimally processed food products.
- Continuous innovation in value-added coconut products, including virgin coconut oil, coconut water, coconut flour, coconut sugar and coconut-based functional foods.

Regional Market Overview

The Asia-Pacific region continues to dominate the global coconut industry, accounting for the majority of global coconut production and processing. Indonesia, the Philippines and India remain the world's leading coconut-producing countries, supported by well-established processing industries and strong export markets. Sri Lanka also continues to strengthen its position as a supplier of premium value-added coconut products, including desiccated coconut, virgin coconut oil, coconut milk, coconut cream, coconut fibre and coco peat.

Meanwhile, North America and Europe continue to experience strong growth in demand, driven by increasing health consciousness, expanding vegan lifestyles and consumer preference for natural and sustainable food ingredients. These markets are increasingly shifting towards higher-value processed coconut products, creating attractive opportunities for coconut-producing countries to expand value addition and export earnings.

Growth Opportunities

a) Health and Wellness

Consumers increasingly associate coconut products with healthier lifestyles due to their natural composition and functional health benefits. Coconut water continues to gain popularity as a natural hydration beverage, while virgin coconut oil remains widely used in dietary, wellness and personal care applications.

b) Expansion of Plant-Based Foods

The rapid global growth of plant-based diets continues to increase demand for coconut milk, coconut cream, dairy substitutes, vegan desserts and other coconut-derived ingredients. Food manufacturers are increasingly incorporating coconut ingredients into innovative product formulations to meet evolving consumer preferences.

c) Value-Added Coconut Products

Demand continues to shift from raw coconuts towards higher-value processed products, including Coconut Oil, Coconut Milk and Cream, Coconut Water, Coconut Flour, Coconut Sugar, Desiccated Coconut, Activated Carbon from Coconut Shells, Coco Peat and Coconut Fibre Substrates. This transition presents significant opportunities for coconut-producing countries to improve export earnings and profitability through greater value addition.

d) Sustainability and Circular Economy

The coconut industry is well aligned with global sustainability objectives. Almost every component of the coconut, including the kernel, water, shell, husk and fibre that can be commercially utilized, supporting circular economy principles and minimizing waste. Increasing consumer demand for environmentally responsible products is expected to further strengthen the market for sustainably produced coconut products.

e) Eco-Friendly Consumer Preferences

As consumers become more eco-conscious, there is increasing demand for products that are environmentally friendly and ethically sourced. Coconut products, especially those with traceable and transparent supply chains, benefit from this trend.

Market Challenges and Restraints

a) Climate Change and Supply Volatility

Global coconut production remains highly vulnerable to climate-related risks, including prolonged droughts, floods, cyclones, pest infestations and plant diseases. These factors continue to affect production levels in major coconut-producing countries such as Indonesia, the Philippines, India and Sri Lanka, contributing to supply shortages, price volatility and higher production costs.

b) Geopolitical Tensions and Middle East Conflict

The Middle East and continued security concerns in the Red Sea region, have disrupted global shipping routes and international trade. These developments have resulted in longer transit times, higher freight charges, increased marine insurance premiums and supply chain delays. As a globally traded agricultural commodity, coconut products are indirectly affected through increased logistics costs and greater uncertainty in export markets, particularly for shipments to Europe and North America.

c) Rising Production Costs and Labour Constraints

The coconut industry continues to face increasing labour shortages, rising wage costs and higher prices for agricultural inputs, including fertilizers, fuel and transportation. These cost pressures may affect producer profitability and the competitiveness of coconut exports.

d) Competition from Alternative Plant-Based Products

The coconut industry faces increasing competition from alternative plant-based products such as almond, oat, soy and cashew-based alternatives. Continued investment in product innovation, quality improvement and value addition will remain essential to sustain long-term market competitiveness.

Management Discussion and Analysis (Contd.)

e) **Trade Policy and Regulatory Risks**
Changes in international trade policies, tariffs, non-tariff barriers and food safety regulations may influence export competitiveness and market access for coconut-producing countries. Exporters must continue to adapt to evolving global trade requirements while maintaining high product quality and sustainability standards.

Industry Outlook
Despite short-term challenges arising from climate change, geopolitical uncertainties and supply chain disruptions, the long-term outlook for the global coconut industry remains positive. Rising consumer demand for healthier food choices, plant-based nutrition, sustainable products and value-added coconut derivatives is expected to continue driving market growth over the coming decade.

For coconut-producing countries such as Sri Lanka, improving plantation productivity, investing in value-added processing, strengthening sustainable agricultural practices and expanding export market access will be critical to enhancing global competitiveness and capturing future growth opportunities in the international coconut industry.

Sri Lankan Coconut Industry

Industry Overview and Regulatory Framework
The Sri Lankan coconut industry is governed by the Coconut Development Act No. 46 of 1971 and regulated by the Coconut Research Institute (CRI), Coconut Cultivation Board (CCB), and Coconut Development Authority (CDA). It is further supported by the Plant Protection Ordinance (1981), the Plant Protection Act No. 35 of 1999, and the Coconut Land Fragmentation Control Act No. 20 of 2005, which safeguard coconut cultivation, research, land use, and plant health.

Sri Lanka remains one of the world's leading coconut-producing countries, with the industry playing a vital role in rural livelihoods, employment, export earnings, and national food security. According to the Coconut Research Institute, the sector supports the livelihoods of over 700,000 people and provides direct and indirect employment to approximately 800,000 people across cultivation, processing, manufacturing, and export activities.

Around 75% of coconut lands are owned by smallholders, with the remaining 25% managed by private and government estates. Although smallholders account for most national production, fragmented landholdings and suboptimal management continue to constrain productivity. According to the Sri Lanka Export Development Board (EDB) and the Coconut Development Authority (CDA), the total extent under coconut cultivation remains approximately 443,528 hectares.

Coconut Production and Crop Performance
According to the Central Bank of Sri Lanka, annual national coconut production increased from 2,790 Mn nuts in 2024 to approximately 3,040 Mn nuts in 2025, representing a recovery of about 9%. However, this remains below the country's highest recorded production of 3,391 Mn nuts and is still insufficient to meet the estimated annual requirement, satisfying only about 75% of total demand. Unless sustained measures are implemented to increase production, this supply gap is likely to persist.

The production shortfall is mainly attributed to rising production costs, prolonged drought, pest and disease outbreaks, ageing plantations, and reduced fertilizer application. According to the President of the Ceylon Chamber of Coconut Industries, fertilizer prices increased from approximately Rs. 1,500 to Rs. 12,000 per 50 kg bag, resulting in fewer than 10% of growers applying the recommended fertilizer levels.

Supply shortages in early 2025 drove coconut prices to record highs. Although prices moderated as production recovered, they remain highly sensitive to weather conditions, seasonal crop fluctuations, and the availability of raw materials.

To strengthen long-term production, the Government, together with the Coconut Research Institute (CRI), Coconut Cultivation Board (CCB), and Coconut Development Authority (CDA), has expanded replanting programs, fertilizer subsidies, pest management initiatives, and new plantation development. In addition, the Ministry of Plantation and Community Infrastructure plans to establish approximately 36,000 acres of new coconut cultivation in 2025, including 16,000 acres within the Northern Coconut Triangle.

Export Performance
Despite raw material shortages, Sri Lanka's coconut export sector recorded an exceptional performance in 2025. According to the Sri Lanka Export Development Board, coconut-based exports generated USD 1.23 Bn, a 42.66% increase from USD 864.30 Mn in 2024.

Coconut kernel products contributed approximately 59% of export earnings, followed by coconut fibre products (24%) and coconut shell and other coconut-based products (17%). The United States remained the largest export market, contributing USD 225.04 Mn (18.25% of total coconut export earnings). Overall, coconut products accounted for approximately 9.46% of Sri Lanka's total merchandise export earnings in 2025.

To capitalize on growing global demand, the Government, together with the Ministry of Plantation and Community Infrastructure, CRI, CCB, and CDA, has adopted a long-term roadmap to increase annual coconut production to 4.2 Bn nuts and coconut export earnings to approximately USD 1.5 Bn by 2030.

Industry Challenges
Despite record export earnings, the industry continues to face significant structural and operational challenges. Limited domestic coconut availability remains the primary constraint, as rising local consumption and expanding value-added processing have widened the supply-demand gap, prompting industry calls for temporary coconut imports to support domestic consumption and export manufacturing.

Management Discussion and Analysis (Contd.)

Production is also constrained by prolonged droughts, adverse weather, ageing plantations, whitefly infestations, leaf wilt disease, rhinoceros beetle attacks, increasing soil salinity, rising labour costs following minimum wage revisions, VAT on fertilizers and coconut-based products, and disruptions to fertilizer imports caused by the ongoing Middle East conflict, which may affect future crop performance.

Sri Lankan exporters also face intensifying competition from Indonesia, the Philippines, and India. In addition, the recent tariff imposed by the United States has created further uncertainty and may reduce competitiveness in this key market.

Government Initiatives and Support Measures

Recognizing the strategic importance of the industry, the Government has introduced several Financial, cultivation, and policy initiatives to strengthen long-term productivity and export competitiveness.

Financial Support

- Over Rs. 3 Bn allocated through the 2026 Budget for coconut sector development.
- Rs. 2.5 Bn incentive programs for smallholders cultivating less than five acres.
- Rs. 600 Mn allocated to expand cultivation within the Northern Coconut Triangle.
- Distribution of approximately 55,000 MT of imported Russian mixed fertilizer at a subsidized price of Rs. 4,000 per 50 kg bag, compared with a market price of approximately Rs. 9,500.

Crop Improvement and Disease Control

- Expansion of the Coconut Cultivation Board's mulching program beyond its current 4,000-acre coverage.
- Enhanced pest and disease control targeting whitefly, leaf blight, and rhinoceros beetle infestations.
- More than one Mn coconut trees treated under the national whitefly control program, supported by thousands of farmer awareness programs and the distribution of approximately 700 sprayers.
- Nearly 490,000 coconut seedlings planted in the Northern Province to expand future production.

Strategic Development

- Inclusion of the coconut industry in the National Export Development Plan (2026–2030), targeting approximately USD 3 Bn in food and beverage exports, including USD 2 Bn from coconut-based products.
- Incentives for establishing coconut processing and manufacturing facilities in the Northern Province.
- Continued expansion of replanting, irrigation, moisture conservation, and climate-resilient cultivation programs.

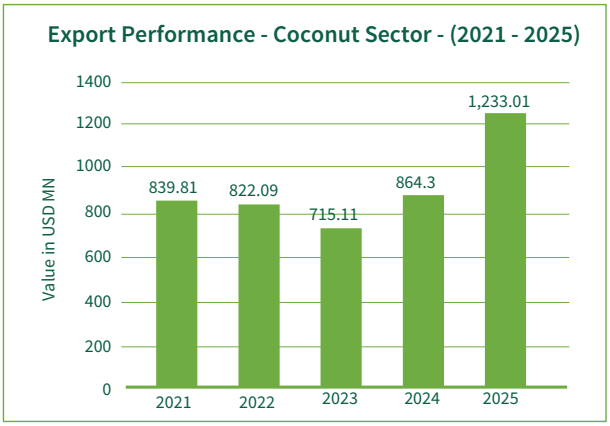
Long-Term Sustainability

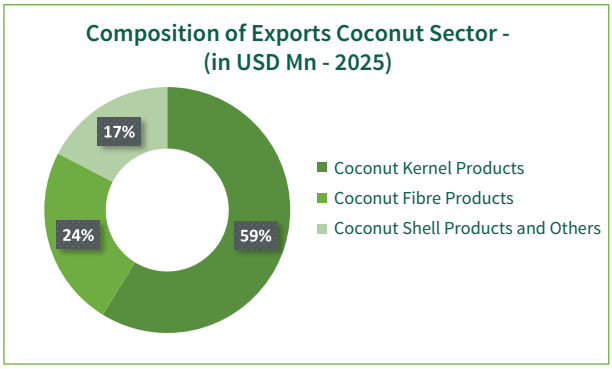
Ensuring long-term sustainability requires continued investment in modern irrigation, renewable energy such as solar power, scientific research, improved agronomic practices, and climate-resilient farming technologies. Greater adoption of technology, improved farm management, and ongoing research are essential to mitigate climate change, improve productivity, and address emerging pest and disease threats.

Promoting value-added products such as coconut milk powder, desiccated coconut, and ready-to-use coconut milk can reduce reliance on fresh nuts for domestic consumption, increasing the availability of raw coconuts for export-oriented processing while enhancing industry profitability.

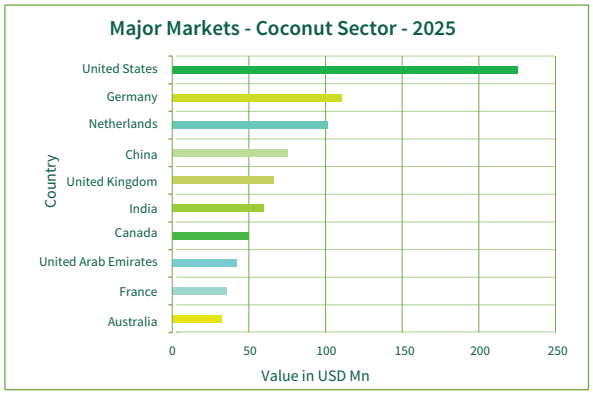
Future Outlook

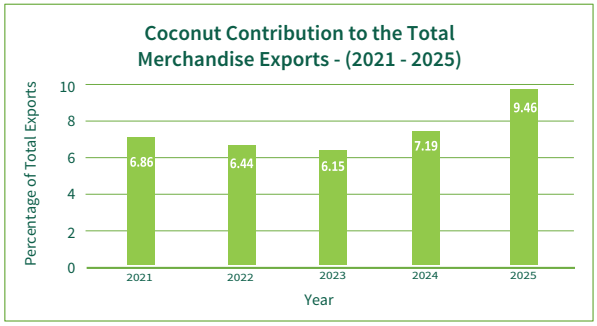
Sri Lanka's coconut industry stands at a pivotal stage. Although record export earnings highlight the sector's strong global demand, challenges relating to raw material shortages, adverse weather, ageing plantations, labour shortages, and rising production costs remain. Government initiatives including fertilizer subsidies, Financial incentives, replanting programs, pest management, and plantation expansion provide a solid foundation for recovery. With sustained investment, improved productivity, and effective climate adaptation, the industry is well positioned to achieve long-term sustainable growth and strengthen its global competitiveness.





Management Discussion and Analysis (Contd.)





Sri Lankan Teak Industry

Teak (Tectona grandis) is a tropical hardwood species and is a large, deciduous tree that occurs in mixed hardwood forests. It is particularly valued for its durability and water resistance, and is native to south and southeast Asia, mainly India, Sri Lanka, Indonesia, Malaysia, Thailand, Myanmar and Bangladesh but is naturalized and cultivated in many countries in Africa and the Caribbean. This was introduced to Sri Lanka by Dutch in the 17th century.

Although there is a demand for teak in the world, it can be cultivated only in small areas of equatorial countries such as Burma, Malaysia, India, Sri Lanka and some parts of South America. In Sri Lanka, Dambulla, Anuradhapura, Puttalam, Batticaloa and Polonnaruwa are the most suitable areas for teak plantation. Soil conditions make the trees grow rapidly. Teak is found in a variety of habitats and climatic conditions from arid areas with only 500 mm of rain per year to very moist forests with up to 5,000 mm of rain per year. Typically, though, the annual rainfall in areas where teak grows averages 1,250-1,650 mm with a 3–5 month dry season. In Sri Lanka Teak is mainly found in dry zone and intermediate zone. Due to its remarkable qualities, including being resistant to rot, fungus, termites and fire, teak has an established role in the production of many high-end products. It is commonly used as the hardwood of choice to make top-quality outdoor furniture known to last for centuries. Additionally, teak is the preferred wood used in the production of boats, specifically to make the decks. In Sri Lankan market, teak is commonly used in furniture and housing projects.

Source:
https://sadaharitha.com/our-products/teak

Operational Review

Coconut Plantation

MCPPLC proudly stands as the first Company to successfully establish and operate a coconut plantation in Sri Lanka's dry zone. Traditionally, coconut cultivation is concentrated within the coconut triangle, where climatic conditions such as adequate rainfall and moderate temperatures favor optimal growth. The dry zone, by contrast, is characterized by higher temperatures and limited rainfall, conditions generally unfavorable for coconut farming. This pioneering project was initiated with the strategic advantage of assured irrigation water supply from the Mahaweli development scheme, enabling cultivation on irrigable uplands unsuitable for paddy cultivation.

During the Financial year 2025/26, the Company recorded a total harvest of 3.76 Mn nuts, with a yield of 51 nuts per coconut tree. The subsidized price of a 50-kg bag of fertilizer increased significantly from Rs. 1,500 and severely limiting accessibility. Although the price has now decreased to around Rs. 10,500, it remains significantly higher than the price that prevailed before the ban. The Company fertilized 45,044 palms, representing 61% of the total plantation, which was 28.5% lower than the previous year. Furthermore, due to the ongoing conflict in the Middle East, fertilizer supplies were disrupted, resulting in approximately 10,000 trees not being fertilized.

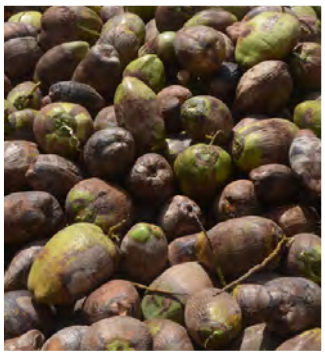
The dry zone received a total rainfall of 1,872 mm during the Financial year 2025/26, compared to 2,325 mm in 2024/25. The rainfall provided essential moisture to support crop development. To mitigate the risk of drought-related tree mortality, the Company allocated Rs. 26.7 Mn towards irrigation and invested a further Rs. 2.18 Mn in a solar-powered water pump system. These investments reflect the Company's continued commitment to sustainable and efficient water management.

Despite the loss of a number of trees due to elephant damage and Ditwah Cyclone, the Company recorded an average production of 6,879 nuts per hectare during the Financial year 2025/26, compared to 6,870 nuts per hectare in the previous year. Similarly, the average yield per coconut tree increased to 51 nuts in 2025/26, compared to 47 nuts in 2024/25.

The Company's performance remains commendable when compared to plantations situated in the traditionally favorable coconut triangle region. However, the plantation continues to face persistent challenges from elephant incursions. The ongoing deforestation and habitat fragmentation in surrounding areas have exacerbated this issue, leading to increased human-wildlife conflict. The Company has proactively constructed an elephant fence and intends to expand this protective barrier in the coming year. We urge relevant government and wildlife authorities to collaborate on long-term solutions to mitigate this challenge.

Management Discussion and Analysis (Contd.)









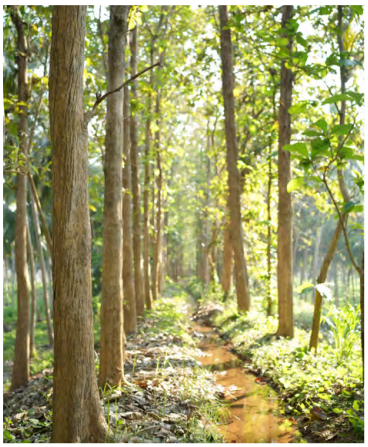
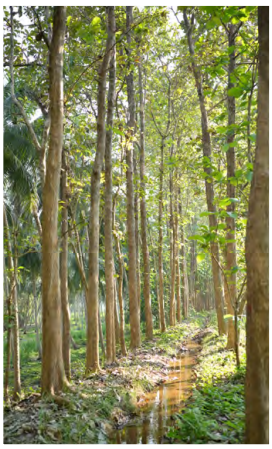
Teak Plantation

In addition to its core coconut cultivation, MCPPLC has maintained a substantial teak plantation, which was established as part of the Company's integrated land-use strategy. The teak trees were originally planted 22 to 26 years ago across all fields, primarily to serve as windbreakers and provide long-term commercial value. Over the years, these trees have matured steadily, and a significant number have now reached the stage of commercial viability.

During the year under review, the Company continued its efforts to manage and optimize the teak plantation as part of its broader agroforestry strategy. The focus remained on selective harvesting and value realization, in line with regulatory compliance requirements. Subject to obtaining the necessary regulatory approvals, the Company aims to continue the sale of mature trees, thereby contributing positively to both revenue generation and land resource management.

As at 31st March 2026, the teak plantation was valued at Rs. 234 Mn, reflecting a marginal increase in value compared to the previous Financial year. This growth is attributable to the increased maturity profile of the trees and prevailing market conditions.

The plantation presently comprises 22,153 teak trees. For valuation purposes, only merchantable trees with a girth of 16 inches and above were considered. Accordingly, the total number of merchantable trees included in the valuation stood at 18,316. Trees falling below this threshold are considered non-merchantable and were excluded from the valuation process.


Management Discussion and Analysis (Contd.)

Coconut Fibre and Substrate Products

As part of its broader strategy to diversify operations and maximize value addition from coconut-based raw materials, the Company initiated its coconut fibre and substrate project in 2022. This project leverages coconut husks a byproduct of coconut harvesting to produce high-demand, eco-friendly products such as coco peat, coir and coco chips.

The coir is a natural, biodegradable fibre found between the hard shell and the outer skin of the coconut. The fibre extraction process involves submerging the husks in freshwater tanks for a period of 4 to 6 weeks, allowing the fibres to loosen naturally before they are mechanically separated. This environmentally sustainable approach provides not only an additional revenue stream but also supports global demand for renewable and organic agricultural inputs.

During the Financial year 2025/26, MCPPLC's coconut fibre and substrate segment demonstrated notable growth and operational success. In response to increasing demand in the international natural fibre markets, the Company continued to scale up production while ensuring product quality and consistency.

The Financial and operational performance of this segment reflects the success of these strategic initiatives. Revenue from fibre-based products increased by 55% during the year, rising to Rs. 22.3 Mn from Rs. 14.4 Mn in 2024/25. This growth was driven by both increased output and enhanced market penetration.

MCPPLC sold 126,791 kgs of coco peat and 96,153 kgs of coir fibre to a local exporter in 2025/26, compared to 118,725 kgs and 86,205 kgs, respectively, in 2024/25. Additionally, the Company successfully sold 11,323 kgs of coco chips during the current year.



Other Plantations

During the Financial year 2025/26, the Company sustained its strategic investments in agricultural development with a focus on long-term sustainability and revenue diversification. As part of our ongoing efforts, we successfully planted 3,600 cinnamon plants on 1 acre of land, expanding our cinnamon cultivation footprint.

We continue to adopt a mixed-crop cultivation strategy to optimize land use, enhance biodiversity, and mitigate agricultural risks.

As of the reporting period, our plantations include:

Cinnamon Plants	–	29,293
Pepper Trees	–	1,120
Areca Nut Trees	–	880

While current volumes are modest, we anticipate substantial yield improvements and enhanced revenue generation in the medium to long term, as the plantations mature and reach optimal production capacity.



Future Outlook of MCPPLC

Looking ahead, the Company remains dedicated to enhancing agricultural productivity through targeted fertilization programs, the implementation of water-efficient irrigation technologies, and the continued adoption of sustainable farming practices. These efforts are central to our strategy to improve crop yields while minimizing environmental impact.

To bolster economic resilience, the Company will continue to diversify its product portfolio and actively pursue value addition opportunities across its crop segments. These initiatives are expected to strengthen the plantation's revenue base and open new market avenues.

Management remains firmly committed to sustainable development and environmental stewardship. We place a strong emphasis on the wellbeing of both our plantation ecosystems and the surrounding communities, ensuring that our growth is inclusive and responsible.

In line with our long-term diversification strategy, MCPPLC is working to further integrate the coconut fibre segment into the broader plantation value chain. This will allow for optimal utilization of raw materials and contribute to revenue stability through expanded downstream applications.

We are also committed to sustainable forestry management. Continuous monitoring of the health, growth, and timber quality of our teak holdings ensures that our forestry assets provide enduring ecological and economic value for all stakeholders.

With ongoing investments in crop management, irrigation systems, and soil health initiatives, the Company anticipates a positive trend in both productivity and profitability. Our unwavering focus remains on environmentally responsible agriculture, long-term stakeholder value creation, and consistent, sustainable crop performance.

Risk Management

Risk management is the process of identifying, assessing, and mitigating potential risks or uncertainties that may affect an organization, project, or individual. The goal of risk management is to proactively reduce the negative impacts of uncertain events while maximizing potential opportunities. MCPPLC recognizes the importance of Risk Management within the organization and its operational environment since management of risks against returns is a critical trade off decision. The Board of Directors assumes the overall responsibility of formulating policy and implementing effective systems of control in Financial and operational objectives of the Company and in complying with legal regulations enforced by statutory bodies.

Risk Management Approach

The risk management approach refers to the overall strategy and methodology used by an organization or individual to identify, assess, respond to, and monitor risks. It outlines the principles, processes, and tools that will be employed to manage risks effectively within a specific context. The risk management approach varies from one organization to another and depends on factors such as the nature of the business, industry regulations, and risk tolerance levels.

The MCPPLC has established an integrated risk management process to identify the types of risk specific to the industry in which we operate, to measure those potential risks and to develop strategies to mitigate them. Risk management is an essential element of our corporate governance structure and strategic development process. Therefore, appropriate systems, policies and procedures are in place in all areas of operations and they are periodically reviewed to ensure adequacy and adherence.

Risk management, being an integrated discipline, plays a pivotal role in balancing strategic planning with business execution and compliance. This facilitates informed decision making and a conscious evaluation of opportunities and risks. The Company's overall risk management process is overseen by the Board through the Audit Committee as an important part of corporate governance.

However, we also recognize that risk management is a shared responsibility of all employees of the Company, rather than being a separate and stand-alone process. Hence it is integrated into overall business and decision- making processes including strategy formulation, business planning, business development, investment decisions, capital allocation, internal control and day-to-day functions.

Having the right people to execute strategies is imperative for the success in new and diverse opportunities emerging in growth markets. The Board recognizes the crucial role of human capital since talent, culture and work attitude are arguably the biggest drivers of competitive advantage. The Board plays an important role in ensuring that the leadership stays focused on building the talent strategy.

Identification of Risks

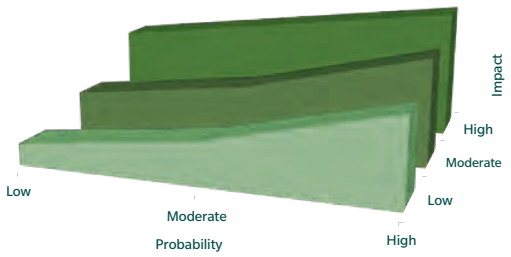
Risk identification is the process of identifying potential risks and uncertainties that could affect the objectives, projects, or operations of the Company. The aim is to proactively recognize and document possible events or conditions that may have adverse consequences or present opportunities. It's essential to involve a diverse group of people in the risk identification process, as different perspectives can lead to a more comprehensive understanding of potential risks. Risks in respective areas are identified in each level of the MCPPLC from bottom line to top level. However, major risks are communicated bottom line to top level while minor risks (operational risks in plantation) are mitigated at the bottom level.

Risk Management Process



Risk Assessment

Analyzing identified risks to determine their potential impact and likelihood of occurrence is the crucial step in the risk management process. It is helping organizations to prioritize risks and allocate resources effectively to address the most significant threats or opportunities. Probability and impact of the risks are analyzed and prioritized by the top level of the MCPPLC based on their technical and industrial knowledge.



Risk Mitigation Plans

A risk mitigation plan outlines the specific actions and strategies an organization will implement to reduce the impact or likelihood of identified risks. Major strategic decisions to mitigate the prioritized risks are taken by the top level of the MCPPLC.

Implementation and Monitoring

Strategic decisions are implemented by the top level of the MCPPLC with the support of the bottom level. The expected outcomes and actual results are analyzed continuously.

Review and Update Risk Plan

Risk mitigation plan is updated regularly to face the micro and macro environment changes.

Risk Management (Contd.)

Risk	Risk Level	Risk Description	Risk Mitigation
Operational Risk			
Risk of increasing production cost due to dynamic climate changes	High	Changing weather patterns continue to pose a significant risk to the Company's operations as climate change increases the frequency and intensity of unpredictable weather events. Coconut cultivation is highly dependent on favorable climatic conditions, making production vulnerable to prolonged dry spells, irregular rainfall, excessive heat, and other extreme weather conditions. These factors may reduce crop yields, increase cultivation and irrigation costs, and adversely impact revenue and profitability. In addition, severe weather events such as cyclones, floods, and strong winds could damage plantations and infrastructure, resulting in operational disruptions and additional restoration costs.	Maintaining flood irrigation system to effectively manage irrigation. Continuous improvements in solar power are being made, which will reduce fuel and energy costs. Using husk pits to maximize benefits from climate change. Teak trees have been planted as windbreaks to safeguard the coconut trees
Land lease expiry	High	The Company has entered into lease agreements with the Mahaweli Authority of Sri Lanka for the development and cultivation of previously uncultivated land within the Mahaweli Zone. The leasehold land comprises 551.38 hectares located at Pimburettewa, Aralaganwila, in the Polonnaruwa District. The land is held under three lease agreements, which are expiring in 2028 and 2029.	Lease agreements are generally extended upon expiry. The Company considers it premature to initiate discussions with the relevant authorities at this stage and intends to commence the renewal process with the officials at the beginning of the lease expiry year.
Risk of Labour Shortages	Moderate	Since the beginning of the economic crisis, labor unavailability has increased dramatically since the majority of workers have relocated to foreign nations, making it difficult to retain skilled employees. Furthermore, a lack of skilled employees on the estates results in low productivity.	Ensure compliance with all regulatory requirements benefited to estate workers. Constantly organizing and attending workshops organized by the Coconut Research Institute. Paying encouragement payment to employees to motivate them. Continue to introduce machines to increase worker productivity at the estate.

Risk Management (Contd.)

Risk	Risk Level	Risk Description	Risk Mitigation
Production Risk			
Risk of low yield due to adverse weather conditions, pest attacks and diseased	High	Production risks relate to the possibility of yield or output levels become lower than projected. Major sources of production risks arise from adverse weather conditions such as drought, freezes, or excessive rainfall at harvest or planting stage. Production risks may also result from damage due to insect pests and disease despite control measures employed, and from failure of equipment and machinery such as irrigation pump. Coconut plantations are affected by different pests and diseases. Some major epidemics have been observed in past years.	Improve efficiency of Drip Irrigation System. Using parasites to control pest attacks. Use of monocrotophos to control Red Weevil and Caterpillar problems. To prevent the Mealy Bug attack, spray Kohomba oil in accordance with the recommendations of the CCB authorities
Risk of trees being damaged by elephants	High	Wild elephants are active in the plantation area and during 2025/26 121 number of Coconut trees damaged by elephant attacks.	We have already installed elephant fences to cover 1.5 Km in Field No 01,2.35 Km in field No 03, 4.405Km in Field No 04 and 07, 2.261 Km in Field No 05, 1.3 Km in Field No 06, 2.565 Km in Field No 08, 2 Km in Field No 11 and 2.52 Km in Field No 13 and 14. We are hoping to install more in the coming years. A systematic program by the Wild life Department to drive away the elephants in to jungle area would mitigate this risk. Installation of an elephant fence in the estate would minimize the damage to the estate. The CRI Officers have manufactured an elephant chasing alarm. Currently, this has been used in our plantation on experimental basis.
Risk of low yield due to high cost of fertilizer	High	Coconut trees grow well in a variety of soils as long as it is well draining. They do need an average temperature of 79 F to 86 F (26C - 30C) and annual rainfall of 1250mm - 2500mm. However, Mahaweli Coconut Plantation is located in a dry zone which is not coming under coconut triangle of Sri Lanka. Further, the trees are at risk to nitrogen deficiency, which is characterized by yellowing of the oldest leaves to the entire canopy. Therefore, it is important to fertilize coconut trees at several stages during their growth to thwart or combat potential mineral deficiencies. During the Financial year 2025/26, we spent Rs. 44.21 Mn on inorganic fertilizer, which was applied to 45,044 trees.	The Company has done soil and different fertilizer recommendations (DFR) tests during the year with CIC Agri Businesses (Private) Limited and according to their instruction MCPPLC applies the fertilizer, to maximize the usage of inorganic fertilizer. Effort is being made to convert the estate waste into fertilizer with the use of multi crusher. further, use husk pits as an organic fertilizer and which help to maintain the moisture level as well. Maintaining a strong bond with the supplier allowed us to obtain fertilizer at a far lower price than the market rate.

Risk Management (Contd.)

Risk	Risk Level	Risk Description	Risk Mitigation
Risk of increasing cost on water supply	High	At the commencement of the project, it was agreed that the Mahaweli Authority would supply irrigation water free of charge, similar to the arrangement applicable to paddy cultivation. Since the inception of the project, the Company has received an adequate water supply without any charges or interruptions. However, the Mahaweli Authority has recently indicated its intention to install water meters and introduce water charges based on consumption. The implementation of such charges could increase the Company's production costs and may adversely affect its profitability and Financial performance.	Discussions are ongoing with the Mahaweli Authority officials to seek exemption from the proposed water charges.
Market Risk			
Risk of significant price fluctuations	Low	Coconut prices are dependent on a range of external factors including weather conditions, demand conditions labour productivity, and changes in policy by the government.	Maintain good relationship with customers to ensure consistent sales orders. Continuously strive to minimize production cost.
Economic Risks			
Changes in tax rates and policies	High	Several modifications were made to the Inland Revenue Act including the removal of VAT exemptions, lowering the threshold for the VAT and SSCL acts, amendments to the Income Tax, and changes to the payment method. The government is eager on collecting as much tax revenue as possible, and the sale of agro-farming produce will be subject to income tax beginning 1/4/2024, thus the Company will be required to pay 30% income tax on liable turnover.	MCPPLC closely monitors the changes in the tax rates and other regulations and adopt the changes required by the Inland Revenue Department with the help of tax consultants.
Finance Related Risks			

Finance related risk management strategies are discussed in detail in Note 32 on page 124-126



Corporate Governance

Board of Directors



01 **Mr. Senarath Dias Widhanaralalage Asitha Gunasekera –** (Chairman, Non-Executive Non-Independent Director)



02 **Mr. Joseph Felix Fernandopulle** (Managing Director/Chief Executive Officer, Non-Independent Executive Director)



03 **Mr. Sunil Jayalath Watawala** (Non-Executive Non-Independent Director)



04 **Mr. Samankumara Dias Senerath Gunesekera** (Non-Executive Non-Independent Director)



05 **Mr. Gamamedaliyange Joseph Lalith Neomal Perera** (Non-Executive Non-Independent Director)



06 **Mr. Ashok Jerom Shamendra Jayakody** (Non-Executive Non-Independent Director)

Board of Directors (Contd.)



07 **Mr. Madurawalage Don John Pradeep Nilantha Perera**
(Non-Executive Non-Independent Director)



08 **Mr. Munaweera Aratchige Chithral Hilarian Munaweera**
(Non-Executive Independent Director)



09 **Mrs. Gillian Edwards**
(Non- Executive Independent Director)



10 **Mr. Wickramarathne Vidhanalage Jude Tiller Fernando**
(Non-Executive Independent Director)

Board of Directors (Contd.)

1. **Mr. Senarath Dias Widhanaralalage Asitha Gunasekera – BSc. (Business Administration)**
(Chairman, Non-Executive Non-Independent Director)

   Mr. S.D.W. Asitha Gunasekera, is currently working as the Chairman/ Managing Director of Boyagane DC Mills (Pvt) Limited and Boyagane Apparels (Pvt) Limited. He has been in the coconut industry since 1984. He is a holder of BSc in Business Administration.

2. **Mr. Joseph Felix Fernandopulle - FCA & FCMA**
(Managing Director / Chief Executive Officer, Non-Independent Executive Director)

   Mr. J.F. Fernandopulle is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka and a Fellow Member of Certified Management Accountants of Sri Lanka.

   He is a Non-Independent Non-Executive Director of Richard Pieris & Company PLC and is the former Chairman of Richard Pieris Finance Ltd. He also serves as an Independent Non-Executive Director at National Credit Guarantee Institution Ltd. He also served in the capacity of Finance Director at Mahaweli Coconut Plantations Ltd prior to becoming the Managing Director. He was also the Managing Partner of Kudawewa DC Mills.

   He served on the Board of Chilaw Finance PLC after the takeover by Richard Pieris Finance Ltd until the merger. He has served as a Director of the Coconut Development Authority and Coconut Research Institute and has also served on the Advisory Committee on Coconut at the Ministry of Plantation Industries and Coconut Industries. He has represented Sri Lanka's Desiccated Coconut Manufacturers Association at the Asian & Pacific Coconut Council.

3. **Mr. Sunil Jayalath Watawala**
(Non-Executive Non-Independent Director)

   Mr. S.J. Watawala is the Founder Chairman and Managing Director of MCPPLC and held office for 10 years in that capacity. He is the Managing Partner of Siriyangani DC Mills and has been attached to Siriyangani DC Mills for the past 50 years. He has held office as District Governor of Lions Club 306A and was an international Director of the Lions International for 04 years.

4. **Mr. Samankumara Dias Senerath Gunesekera Barrister -at-Law (ACT)**
(Non-Executive Non-Independent Director)

   Mr. S.D.S. Gunesekera is a Barrister-at-Law (ACT.) and a Director of Beligala Coconut Products (Pvt) Ltd. He is also a former Director General of National Chamber of Exporters of Sri Lanka and a former president and secretary of Sri Lanka Desiccated Millers Association.

5. **Mr. Gamamedaliyange Joseph Lalith Neomal Perera - MBA**
(Non-Executive Non-Independent Director)

   Mr. G.J.L. Neomal Perera was a Sri Lankan parliamentarian from year 2000-2015. He was a Deputy Minister of External Affairs during the period of November 2010 – January 2015, Deputy Minister of Fisheries & Aquatic Resources during the period of January 2007 – January 2010 and Deputy Minister of Co-operatives & Internal Trade during the period of April 2010 – November 2010. He is the Managing Director in St. Anne's Salt Daluwa (Pvt) Ltd, St. Anne's Factory & St. Anne's Enterprises.

6. **Mr. Ashok Jerom Shamendra Jayakody**
(Non-Executive Non-Independent Director)

   Mr. A.J. Shamendra Jayakody, currently working as the Managing Director of Jayakody Mills (Pvt) Ltd. He has been employed in the coconut industry since 1992 which counts over 34 years of experience in this field.

7. **Mr. Madurawalage Don John Pradeep Nilantha Perera - BA.Economics**
(Non-Executive Non-Independent Director)

   Mr. M.D.J.P. Nilantha Perera is a holder of BA in Economics. He is a Partner at Baththuluoya Mills, manufacturers of desiccated coconut and all kernel related products and the Chairman of Sinha Auto Services (Pvt) Ltd-Lanka IOC fuel station. He is a Former Director/ Chairman at Chilaw Finance PLC.

8. **Mr. Munaweera Aratchige Chithral Hilarian Munaweera - MBA, M.Sc. (Agric Enterprise & Technology Mgt) B.Sc. (Plantation Mgt), PGDBM, Dip. Agriculture, Dip. Biodiversity & Ecosystem Mgt**
(Non-Executive Independent Director)

   Mr. M. A.C.H. Munaweera holds a Master's Degree in Business Administration (MBA) from the Wayamba University of Sri Lanka, a Master's Degree in Agri -Enterprise & Technology Management (M. AETM) and a BSC in Plantation Management from the Wayamba University of Sri Lanka. Further he also possesses a Post Graduate Diploma in Business Administration (WUSL) a Diploma in Biodiversity & Ecosystem Management (Ruhuna University), a Diploma in Agriculture from the Aquinas College of Higher studies and the National Diploma in Plantation Management, awarded by the (NIPM)

   A Fellow Member of Association of Chartered Professional Managers of Sri Lanka and a Fellow of the Sri Lanka Institute of Agriculture (SLIAg) a Life Member Organization of Professionals Association (OPA), Sri Lanka. He is a career agriculturist specialized in Livestock integrated plantation management, with a wide range of work experience in the semi-government and corporate sector, Mr. M. A.C.H. Munaweera held several top managerial posts in both private and government organizations. He is an Ex-General Manager of the National Livestock Development Board and the CEO/Director of the Mahaweli Livestock Enterprises. He also served as the CEO of the Ambewela Dairy Complex of Lanka Milk Foods (CWE) PLC. He currently functions as a senior consultant to the All-Island Dairy Association and an Exco Member of the Sri Lanka Agrepreneurs forum and the agriculture sector Committee of the Ceylon Chamber of Commerce.

Board of Directors (Contd.)

9. Mrs. Gillian Edwards – MBA, ACMA & Post Graduate Executive Diploma in Bank Management IBSL.
(Non- Executive Independent Director)

Mrs. Gillian Edwards is a career banker with over 36 years of experience in the Sri Lankan Banking Sector. She has accumulated over 11 years of experience at the senior corporate management level at DFCC Bank PLC and Seylan Bank PLC. Her experience encompasses transformative years in Retail Banking. Under her Leadership, Personal Financial Services / Retail Banking were established at DFCC Vardhana Bank PLC and she progressed to head the Consumer Banking at DFCC Bank PLC.

With her previous roles as Senior Vice President of Consumer Banking at DFCC Bank PLC and Assistant General Manager of Personal Banking at Seylan Bank PLC, Mrs. Gillian Edwards has gained extensive experience across all areas of retail banking, including small and medium enterprises (SMEs) and micro, small and medium enterprises (MSMEs).

Mrs. Gillian Edwards holds a Masters in Business Administration from University of Southern Queensland, Australia, a Post Graduate Executive Diploma in Bank Management from the Institute of Bankers of Sri Lanka and is an Associate Member of the Certified Management Accountants, Australia. She was honored for her achievements in the Banking Sector at the "Top 50 Professional and Career Women Awards Sri Lanka and Maldives, 2020".

She currently serves on the Board of Commercial Credit and Finance PLC as Independent Non-Executive director and is the Chairperson of the Board Related Party Transactions Review Committee and the Board Human Resource and Remuneration Committee of Commercial Credit and a member of the Board Audit Committee, Board Integrated Risk Management Committee and Board Nomination and Governance Committee.

Mrs. Gillian Edwards also serves on the Board of Seylan Developments PLC in the capacity of an Independent Non-Executive Director and is the Chairperson of the Board Audit Committee and Board Remuneration Committee and is a member of the Board Related Party Transactions Review Committee and functions as a Trustee/Treasurer of The Federation of Environmental Organizations.

10. Mr. Wickramarathne Vidhanalage Jude Tiller Fernando
(Non-Executive Independent Director)

Mr. W.V.J.T. Fernando is currently functioning as the Chief Executive Officer of National Credit Guarantee Institution Limited (NCGIL), a public private partnership between the Government of Sri Lanka (GOSL) and thirteen leading Financial Institutions, also a national initiative supported by Asian Development Bank, with an objective of providing credit guarantees to the Financial Institutions to partly secure their lending to Micro, Small and Medium Entrepreneurs (MSMEs) in the country.

He has also served at the Palladium Group SL (Private) Limited an international consultancy firm funded by USAID. He had been attached to Hatton National Bank PLC for 35 years and was a Deputy General Manager- SME/Mid-Market at the time of retirement.

Board of Directors (Contd.)

Directors' other Directorships

The details pertaining to the names of the Companies (in Sri Lanka) in which the Directors serve as a Director or Key Management Personnel is given below.

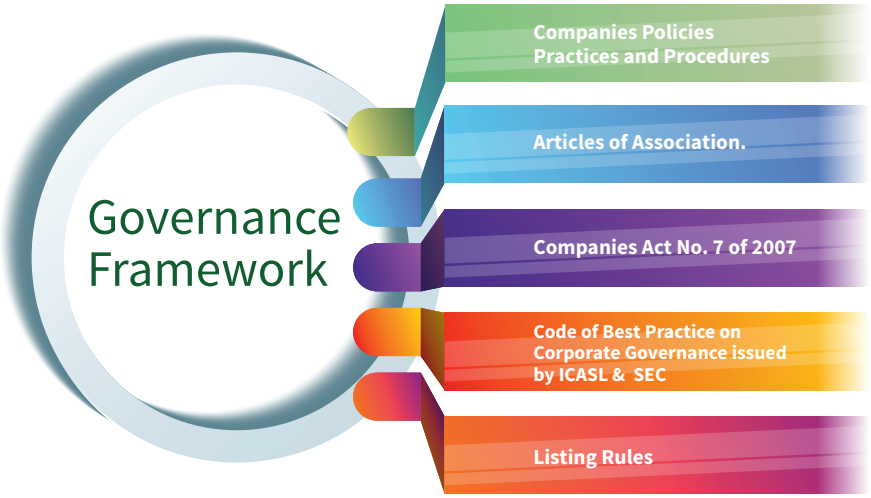
Name of the Director	Classification of the Directorship	Companies
Mr. S.J. Watawala	Managing Partner	Siriyangani DC Mills
Mr. J.F. Fernandopulle	Non-Independent Director Independent Director	Richard Pieris & Company PLC National Credit Guarantee Institution Ltd
Mr. S.D.S. Gunesekera	Director	Beligala Coconut Products (Pvt) Ltd
Mr. S.D.W. Asitha Gunasekera	Chairman/ Managing Director	Boyagane DC Mills (Pvt) Ltd and Boyagane Apparels (Pvt) Ltd
Mr. G.J.L. Neomal Perera	Managing Director	St. Anne's Salt Daluwa (Pvt) Ltd, St. Anne's Factory and St. Anne's Enterprises
Mr. M.D.J.P. Nilantha Perera	Director/Chairman Partner	Sinha Auto Services (Pvt) Ltd Baththuluoya Mills
Mr. A.J. Shamendra Jayakody	Managing Director	Jayakody Mills (Pvt) Ltd
Mrs. Gillian Edwards	Independent non-executive director Independent Non-Executive Director	Commercial Credit and Finance PLC Seylan Developments PLC
Mr. W.V.J.T. Fernando	Chief Executive Officer	National Credit Guarantee Institution Ltd
Mr. M. A.C.H. Munaweera	Director	Agriculture Sector Skills Development Council of Sri Lanka (Government Organization).

Corporate Governance Report

MCPPLC is committed to the highest standards of Corporate Governance, recognizing its importance to the sustainability of our business. Guided by a robust governance framework, the Board ensures transparent, ethical and balanced management in the best interests of the Company and its stakeholders.

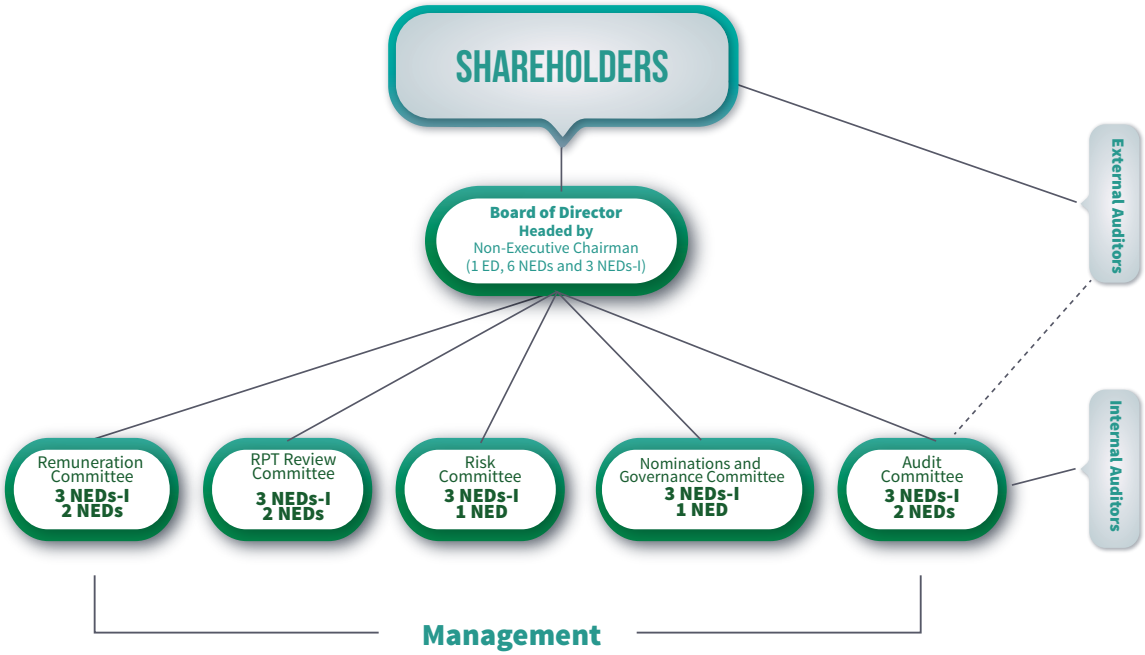
Framework and Structure

Our governance framework is bound by external regulations and internally formulated policies that define how we do business.



The governance framework of the Company provides clear directions on decision making which facilitates the progress of the Company whilst promoting a culture of openness, productive dialogue, constructive dissent, employee empowerment and engagement and creating value to all stakeholders.

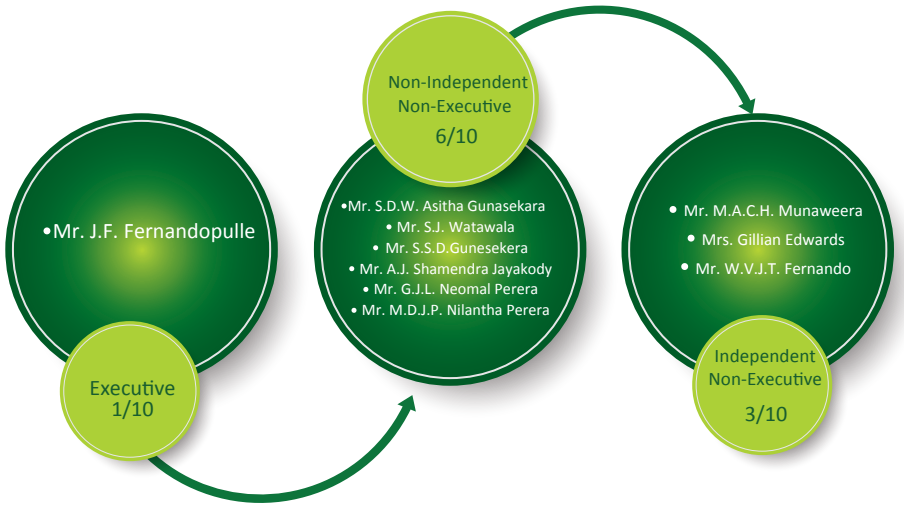
Corporate Governance Structure



Corporate Governance Report (Contd.)

Board Composition and Skills

The Board comprises of ten (10) members as at 31st March 2026. A brief profile of each of the Directors are given on page 50-54. The Board comprises of eminent professionals in their respective fields. Nine of the Directors are non-Executive, of whom three are Independent. Sufficient balance of power minimizes the tendency for one or few members of the Board to dominate the Board's processes or decision making. The Board is diverse in its experience, age and expertise contributing varied perspectives to boardroom deliberations and exercising independent judgment to bear on matters set before them. The Board brings in a wealth of diverse exposure in the fields of management, business administration, finance, economics, and human resources. All Directors possess the skills, expertise and knowledge needed, complementing a high sense of integrity and independent judgement. Managing Director/CEO is a fellow member of the Institute of Chartered Accountants Sri Lanka and a fellow member of Certified Management Accountants of Sri Lanka.



Directors Independence

Directors exercise their independent judgement, promoting constructive Board deliberations and objective evaluation of the performance of the Company based on annual declarations submitted by Directors and having considered the possibility of any impairment in independence due to extended Board tenures, where applicable.

Determination of Directors' independence, is discussed and evaluated by the Board prior to nomination of Board members for re-election.

Mrs. Gillian Edwards - The Board is of the view that the period of service of Mrs. Gillian Edwards as a Board Member, which is exceeding one year, does not compromise her independence and objectivity in discharging her functions as a director. Therefore, the Board has determined that Mrs. Gillian Edwards is 'Independent' as per the Listing Rules.

Mr. W.V.J.T. Fernando - The Board is of the view that the period of service of Mr. W.V.J.T. Fernando as a Board Member, which is exceeding one year, does not compromise his independence and objectivity in discharging his functions as a director. Therefore, the Board has determined that Mr. W.V.J.T. Fernando is 'Independent' as per the Listing Rules.

Mr. M.A.C.H Munaweera - The Board is of the view that the period of service of Mr. M.A.C.H. Munaweera as a Board Member, which exceeds seven years does not compromise his independence and objectivity in discharging his functions as a director. Therefore, the Board has determined that Mr. M.A.C.H. Munaweera is 'Independent' as per the Listing Rules.

Appointment, Re-Election and Resignation

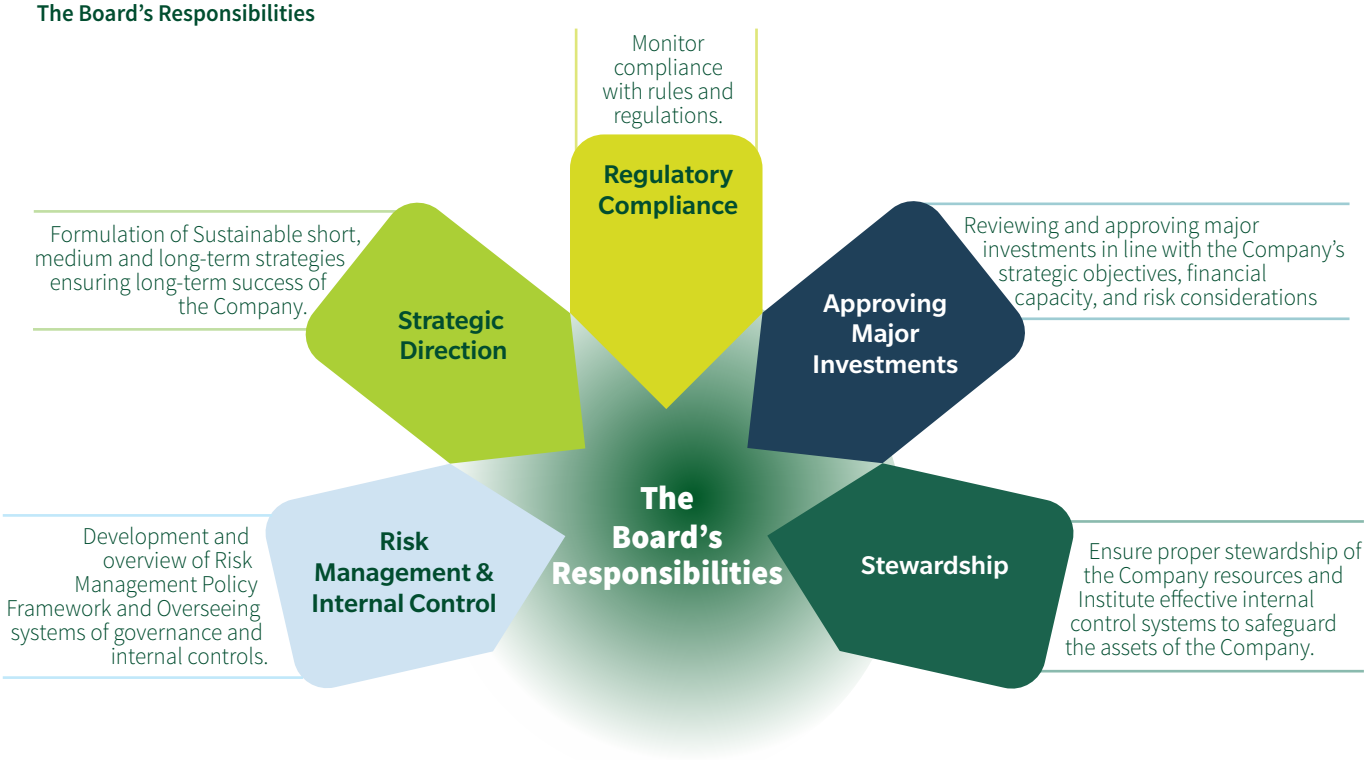
Directors are appointed by the shareholders at the Annual General Meeting (AGM), following a formal process and based on recommendations made by the Board. Recommendations are made on consideration of the combined skills, knowledge, experience and diversity of the Board and any gaps thereof. In compliance with the Articles of Association, at each AGM, one third of the Directors who are due for retirement, or, if their number is not two or a multiple of two, then the number nearest shall retire from office and the Directors to retire in every year shall be those who have been the longest in office since their last election and shall be eligible for re-election. Further, the Company, at the meeting at which a director retires may fill the vacated office by electing a person who may either be the retired director who offered himself for the re-election or the person recommended by the Board of Directors, unless at such meeting, it is expressly resolved not to fill such vacated office. Accordingly,

- To re-elect Mr. S.D.W. Asitha Gunasekara who has consented to be re-appointed for the position of Director.
- To re-elect Mrs. Gillian Edwards who has consented to be re-appointed for the position of Director
- To re-elect Mr. W.V.T.J. Fernando has who consented to be re-appointed for the position of Director.

In the event of a resignation, the respective Director is required to submit a formal letter of resignation. During the year under review, there were no resignations among the Directors.

Corporate Governance Report (Contd.)

The Board's Responsibilities



Roles of Chairman and Managing Director/CEO

The role of Chairman is separate from that of the Managing Director ensuring no one Director has unfettered power and authority. The Chairman leads the Board, preserving good corporate governance and setting the ethical tone for the Board and Company. The Managing Director leads the executive management and is accountable to the Board for the performance of the Company.

Delegation of Authority

The Board is responsible for the overall governance, conduct and implementation of sound business strategies for the Company. The Board exercises its ordinary and extraordinary powers in carrying out its duties within the relevant laws/regulations of the country, regulatory authorities, professional institutes and trade associations to achieve the corporate objectives of the Company. The Board assesses the effectiveness of the Management Team through periodic review of their performance and compliance to best corporate practices.

Board's Access to Information and Resources

Directors have unrestricted access to management and organization information, as well as to resources required to carry out their duties and responsibilities, independently and effectively. (Executive Management makes regular presentations with regard to the business environment and in relation to the Company's operations. Access to independent professional advice and guidance on applicable laws and regulations, coordinated through the Company Secretary, is available to Directors at the Company's expense).

Corporate Governance Report (Contd.)

Board Meetings

During the year under review twelve (12) Board meetings were convened. The Directors are provided with relevant information and background materials as per the agenda prior to every meeting to enable them to make informed decisions. Board papers are submitted in advance on Company performance, new investments, capital projects and other issues which require specific Board approval.

Director	Date of Appointment	29.04.2025	22.05.2025	26.06.2025	24.07.2025	14.08.2025	25.09.2025	23.10.2025	03.12.2025	14.01.2026	19.02.2026	26.03.2026	30.03.2026	Attendance
Independent Non-Executive Directors (NED-I)														
Mr. M.A.C.H. Munaweera	25.09.2025 (Re-Appointment)	√	√	√	√	√	√	√	√	√	√	√	√	12/12
Mrs. Gillian Edwards	25.09.2025 (Re-Appointment)	√	√	√	√	√	√	√	√	√	√	√	√	12/12
Mr. W.V.J.T. Fernando	25.09.2025 (Re-Appointment)	√	√	√	√	√	√	√	√	√	√	√	√	12/12
Non-Executive Non- Independent Directors (NED)														
Mr. S.D.W. Asitha Gunasekara	26.09.2024 (Re-Appointment)	-	√	√	√	-	√	√	√	√	√	√	√	10/12
Mr. S.D.S. Gunesekera	26.09.2024 (Re-Appointment)	√	√	√	√	√	√	√	√	√	√	√	√	12/12
Mr. A.J. Shamendra Jayakody	25.09.2025 (Re-Appointment)	√	√	√	√	√	-	-	√	√	-	√	√	09/12
Mr. G.J.L. Neomal Perera	25.09.2025 (Re-Appointment)	√	√	√	√	√	√	√	√	√	√	√	√	12/12
Mr. M.D.J.P. Nilantha Perera	25.09.2025 (Re-Appointment)	√	√	√	-	-	-	√	√	√	√	-	√	08/12
Mr. S. J. Watawala	25.09.2025 (Re-Appointment)	-	-	-	-	-	-	-	-	-	-	-	-	0/12
Non- Independent Executive Director (ED)														
Mr. J.F. Fernandopulle	25.09.2025 (Re-Appointment)	√	√	√	√	√	√	√	√	√	√	√	√	12/12
Attendance		8/10	9/10	9/10	8/10	7/10	7/10	8/10	9/10	9/10	8/10	8/10	9/10	

Note:

✓ = Attended

– = Absent

Agenda and Board papers are sent at least one week before the meeting, allowing members sufficient time to review the same. The Company's secretary sets the Board Meeting Agenda.

All Board minutes are circulated to members, and formally approved at the subsequent Board meeting. Resolutions concerning business matters are passed by circulation, within regulations. However, if a Director deems it necessary that such resolution must be decided at a Board meeting not by circulation, the Director shall put the resolution to be decided in a meeting.

Corporate Governance Report (Contd.)

Board Committees

The Board has delegated some of its functions to the Subcommittees, whilst retaining the rights of final decision. Members of these Subcommittees are able to focus on their designated areas of responsibility and impart knowledge and oversight in areas where they have greater expertise. The Directors dedicate sufficient time at such meetings to review respective documentation relating to the meeting, and call for additional information for any further clarification, in addition to familiarizing themselves with the economic factors, legal and political risks and changes.

The Board Subcommittees comprise predominantly independent Non-Executive Directors. The committees are provided with all resources to empower them to undertake their duties in an effective manner. The Company Secretary acts as secretary to these committees. The minutes of each committee meeting are circulated to all Directors on completion.

Board Committee	Areas of Oversight	Composition	Chaired By	Report Reference
Audit Committee (AC)	Financial Reporting Internal Controls Internal Audit External Audit	3 NED-Is 2 NEDs	Mrs. Gillian Edwards (NED-I)	pages 74-75
Remuneration Committee (RMC)	Formulating Remuneration Policy for Directors and Formulating HR Policy	3 NED-Is 2 NEDs	Mr. M.A.C.H Munaweera (NED-I)	page 76
Related Party Transactions Review Committee (RPTRC)	Review of Related Party Transactions	3 NED-Is 2 NEDs	Mr. W.V.J.T. Fernando (NED-I)	pages 77-78
Nomination and Governance Committee (NAGC)	Review the structure and composition of the Board	3 NED-Is 1 NED	Mr. M.A.C.H Munaweera (NED-I)	pages 79-81
Risk Committee (RC)	Risk Management	3 NED-Is 1 NED	Mrs. Gillian Edwards (NED-I)	page 82

* NED-I – Non-Executive Director – Independent, NED – Non-Executive Director

The Managing Director/CEO and the Financial Controller attended the meetings by invitation and the Company Secretary serves as the Secretary to the Committee.

Responsibilities of Board Sub Committees

Committee	Responsibilities
Audit Committee	▸ Oversee the integrity and reliability of the Company's financial reporting process. ▸ Review the annual and interim Financial Statements before submission to the Board. ▸ Ensure compliance with Companies Act No. 07 of 2007, Listing Rules of the Colombo Stock Exchange, Code of Best Practice of Corporate Governance issued jointly by the Institute of Chartered Accountants of Sri Lanka and Securities and Exchange Commission of Sri Lanka and other relevant laws and regulations ▸ Ensure independence of both External and Internal Auditors and recommendation of re-appointment of External Auditors.
Remuneration Committee	▸ Recommend the remuneration policy for Executive Directors and Key Management Personnel to the Board. ▸ Assess the appropriateness of performance-based incentives and ensure they are linked to measurable performance criteria. ▸ Ensure that remuneration practices comply with applicable laws, regulations, and corporate governance requirements. ▸ Ensure transparency in remuneration disclosures included in the Annual Report.
Related Party Transactions Review Committee	▸ Ensure on behalf of the Board, the compliance with Code on Related Party Transactions, that all related party transactions are undertaken and disclosed in a manner consistent with the Code on Related Party Transactions. ▸ Develop and recommend a policy for adoption by the Board on RPTs of the Company with its related parties which is in line with the Operating Model. ▸ Update the Board on related party transactions following the reporting templates, specifying recurrent and non-recurrent transactions which require discussion in detail. ▸ Introduction of a process whereby periodic reporting of the Company is required, with a view to ensuring compliance with the Code, that shareholder interests are protected, and that fairness and transparency are maintained at all times.

Corporate Governance Report (Contd.)

Committee	Responsibilities
Nomination and Governance Committee	▶ Ensuring the Board's effectiveness through proper composition, succession planning, and performance evaluation. ▶ It recommends appointments and re-appointments of Directors, assesses their independence, and oversees Board and senior management succession. ▶ The Committee monitors the Company's corporate governance framework, ensures compliance with regulatory requirements, and recommends enhancements to governance practices. ▶ Review succession plans for the Board, Board Committees, and Key Management Personnel. ▶ It also supports Director induction and continuous development while overseeing transparent governance disclosures to stakeholders.
Risk Committee	▶ Oversee the Company's risk management framework, ensuring that significant risks are identified, assessed, and effectively mitigated. ▶ It monitors adherence to risk policies, evaluates the adequacy of internal controls, and reviews the Company's risk appetite in alignment with strategic goals. ▶ The Committee assesses emerging risks, ensures compliance with regulatory risk requirements, and makes recommendations to the Board to strengthen overall risk governance. ▶ Review of the adequacy and effectiveness of the Internal Control and Risk Management systems over financial reporting process. ▶ Monitor emerging risks and recommend appropriate mitigation strategies to the Board and Management. ▶ Review the effectiveness of business continuity and disaster recovery plans.

Accountability and System of Internal Control

The Board has taken necessary steps to ensure the integrity of accounting and financial reporting systems and that internal control systems remain robust and effective with the review and monitoring of such systems on a periodic basis. However, any system can only ensure reasonable and not absolute assurance that errors and irregularities are either prevented or detected within a reasonable time period.

The Board has taken steps to obtain reasonable assurance that systems designed to safeguard the Company assets, maintain proper accounting records and provide management information, are in place and are functioning as planned. Effectiveness of the internal control system is reviewed quarterly by the Audit Committee and major observations are reported to the Board through the reports of internal audit.

The Board, having reviewed the system of internal controls, is satisfied with the Company's adherence to and effectiveness of them for the period up to the date of signing of the Financial Statements.

External Audit

The external auditor is a qualified independent external party whose objective is to determine whether the Financial Statement of the Company represents a true and fair view of its financial performance, position and cash flow status. The audit firm Kreston MNS & Co., Chartered Accountants, was re-appointed at the AGM in 2025 as external auditors of the Company for the financial year 2025/26. The Audit Committee reviews the annual audit plan with the recommended work approach.

The knowledge and experience of the Audit Committee ensures effective usage of the expertise of the auditors, while maintaining independence, in order to derive transparent Financial Statements. The Company maintains independence from financial and non-financial interest between auditors and re-assesses the same on a regular basis. The fees paid to audit and non-audit services are separately disclosed in the Note 24 of the Financial Statements.

Internal Audit

The internal audit function of the Company is outsourced to KPMG, Chartered Accountants. The Internal Auditor operates independently and reports its findings and recommendations to the Audit Committee. The Audit Committee reviews the internal audit plan, scope and results of internal audit assignments and monitors the implementation of agreed recommendations

Relations with Shareholders

The Company recognizes the importance of maintaining effective and transparent communication with its shareholders and engages with them through multiple channels, including the Annual General Meeting (AGM), Extraordinary General Meetings (EGMs), the Annual Report, interim Financial Statements, and disclosures made through the Colombo Stock Exchange (CSE) and the Company's website.

All quarterly and annual financial information, together with other material information required under the applicable laws, regulations and CSE Listing Rules, is communicated to shareholders through appropriate disclosures. The Company Secretaries/Registrars serve as key points of contact for shareholders and facilitate the communication of shareholder queries and requests.

Shareholders are provided with opportunities at the AGM and, where applicable, other shareholder meetings to raise questions, express their views, concerns and suggestions to the Board. All significant matters and concerns raised by shareholders are brought to the attention of the Board, as appropriate, through the AGM and Board or Sub-committee meetings, with the views of Management duly considered. The Company is committed to ensuring that shareholder communications are addressed in a timely, transparent and effective manner.

Corporate Governance Report (Contd.)

Statement of Compliance under Section 168 of Companies Act No. 07 of 2007

Paragraph	Requirements	Compliance Status	Reference to the Annual Report
168.(1) (a)	The nature of the business of the Company and any change thereof during the accounting period	Complied	Annual Report of the Board of Directors on the Affairs of the Company on pages 85-89
168.(1) (b)	Signed Financial Statements of the Company for the accounting period completed - section 151	Complied	Financial Statements on pages 94-126
168.(1) (c)	Auditors' Report on Financial Statements of the Company	Complied	Independent Auditors Report on pages 92-93
168.(1) (d)	Accounting policies and any changes therein	Complied	Notes to the Financial Statements on pages 98-108
168.(1) (e)	Particulars of the entries made in the Interests Register during the accounting period	Complied	Annual Report of the Board of Directors on the Affairs of the Company on pages 85-89
168.(1) (f)	Remuneration and other benefits paid to Directors of the Company during the accounting period	Complied	Notes to the Financial Statements on page 123
168.(1) (g)	Corporate donations made by the Company during the accounting period	Complied	Annual Report of the Board of Directors on the Affairs of the Company on pages 85-89
168.(1) (h)	Information on the Directors of the Company at the end of the accounting period	Complied	Board of Directors on pages 50-54
168.(1) (i)	Amounts paid/payable to the External Auditor as audit fees and fees for other services rendered during the accounting period	Complied	Notes to the Financial Statements on page 120
168.(1) (j)	Auditors' relationship or any interest with the Company	Complied	Audit Committee Report on pages 74-75
168.(1) (k)	Acknowledgement of the contents of this Report and signatures on behalf of the Board	Complied	Statement of Directors' Responsibility on page 90

Statement of compliance under section 7.6 of the Listing Rules of the Colombo Stock Exchange (CSE) on Annual Report Disclosures

CSE Rule	Requirements	Compliance Status	Reference to the Annual Report
7.6(i)	Names of persons who were Directors of the Entity.	Complied	Board of Directors on pages 50 - 54
7.6(ii)	Principal activities of the Entity during the year, and any changes therein.	Complied	Annual Report of the Board of Directors on the Affairs of the Company on pages 85 - 89
7.6(iii)	The names and the number of shares held by the 20 largest holders of voting and non-voting shares and the percentage of such shares held	Complied	Shareholders Information on page 129
7.6(iv)	The public holding percentage	Complied	Shareholders Information on page 128
7.6(v)	A statement of each Director's holding of shares of the Entity at the beginning and end of each financial year	Complied	Annual Report of the Board of Directors on the Affairs of the Company on pages 85 - 89
7.6(vi)	Information pertaining to material foreseeable risk factors of the Entity	Complied	Risk Management on pages 45 - 48
7.6(vii)	Details of material issues pertaining to employees and industrial relations of the Entity	Complied	Annual Report of the Board of Directors on the Affairs of the Company on pages 85 - 89
7.6(viii)	Extents, locations, valuations and the number of buildings of the Entity's land holdings and investment properties	Complied	Annual Report of the Board of Directors on the Affairs of the Company on pages 85 - 89
7.6(ix)	Number of shares representing the Entity's stated capital	Complied	Notes to Financial Statements on page 116

Corporate Governance Report (Contd.)

Statement of compliance under section 7.6 of the Listing Rules of the Colombo Stock Exchange (CSE) on Annual Report Disclosures (Contd.)

CSE Rule	Requirements	Compliance Status	Reference to the Annual Report
7.6(x)	A distribution schedule of the number of holders in each class of equity securities, and the percentage of their total holdings	Complied	Shareholders Information on page 128
7.6(xi)	Financial ratios and market price information	Complied	Financial Highlights on page 8 & Key Highlights from 10 year summery on page 131-133
7.6(xii)	Significant changes in the Company's fixed assets, and the market value of land, if the value differs substantially from the book value as at the end of the year	Complied	Notes to Financial Statements on pages 111 - 112
7.6(xiii)	Details of funds raised through a public issue, rights issue and a private placement during the year	Not applicable	
7.6(xiv)	Information in respect of Employee Share Ownership or Stock Option Schemes	Not applicable	
7.6(xv)	Disclosures pertaining to Corporate Governance practices in terms of Section 9 of the Listing Rules."	Complied	Refer Corporate Governance Report on pages 63-65
7.6(xvi)	Related Party Transactions exceeding 10 percent of the equity or 5 percent of the Financial Statements, whichever is lower	Complied	Notes 31 of Financial Statements on pages 122 - 124
7.6(xvii)	In the event a Listed Entity has its Foreign Currency denominated Securities listed on the Exchange, such Entity shall make additional disclosures.	Not applicable	
7.6(xviii)	In the event a Listed Entity has listed Green Bonds on the Exchange, such Entity shall make additional disclosures.	Not applicable	
7.6(xix)	Entity has listed any Perpetual Debt Securities on the Exchange a) Breach of any terms/conditions by the Entity in relation to other Debt Securities listed on the Exchange. b) Any default or delays on interest and/or principal payments in respect of loans obtained by such Entity, not paid within 30 days.	Not applicable	

Corporate Governance Report (Contd.)

Statement of compliance under section 9 of the listing rules of the Colombo Stock Exchange (CSE) on corporate governance.

CSE Rule	Requirements	Compliance Status	Reference to the Annual Report
9.1.3	A statement confirming compliance with Corporate Governance Rules	Complied	Refer Corporate Governance rules on pages 63-72
9.2 and sub sections	Policies	Complied	Refer Annual Report of Board of Directors on pages 85-89
9.3.1	Ensuring that the following Board committees are established and are functioning effectively.		
	(a) Nominations and governance committee	Complied	Refer Corporate Governance report on pages 74-82
	(b) Remuneration Committee	Complied	
	(c) Audit Committee	Complied	
	(d) Related Party Transactions Review Committee	Complied	
9.3.2	Compliance with the composition, responsibilities and disclosures required in respect of the Board Committees	Complied	Refer Corporate Governance report on pages 61-72
9.3.3	The Chairperson of the Board of Directors shall not be the Chairperson of the Board Committees referred to in Rule 9.3.1 above	Complied	
9.4.1	Maintain records of all resolutions and following information pertaining to the resolutions considered at any General Meetings. (a) The number of shares in respect of which proxy appointments have been validly made; (b) The number of votes in favour of the resolution; (c) The number of votes against the resolution; and (d) The number of shares in respect of which the vote was directed to be abstained.	Complied	
9.4.2	Communication and relations with shareholders and investors. Listed entities, (a) shall have a policy on effective communication and relations with shareholders and investors and disclose the existence of the same in the Annual Report and the website of the Listed Entity. (b) Listed Entities shall disclose the contact person for such communication. (c) The policy on relations with shareholders and investors shall include a process to make all Directors aware of major issues and concerns of shareholders and such process shall be disclosed by the Entity in the Annual Report and the website of the Entity. (d) Listed Entities that intend to conduct any shareholder meetings through virtual or hybrid means shall comply with the Guidelines issued by the Exchange in relation to same and published on the website of the Exchange	Complied	Refer MCPPLC website https://www.mahawelicoconut.com/
9.5.1	Listed Entities shall establish and maintain a formal policy governing matter relating to the Board of Directors	Complied	Refer MCPPLC website https://www.mahawelicoconut.com/
9.5.2	Confirm compliance with the requirements of the policy referred to in Rule 9.5.1 in the Annual Report.		Refer https://www.mahawelicoconut.com/policies.html
9.6.1	The Chairperson shall be a Non-Executive Director and the positions of the Chairperson and the CEO shall not be held by the same individual, unless otherwise a SID is appointed by such Entity.	Complied	Refer Corporate Governance report on page 56-57
9.6.2	Where the Chairperson of a listed entity is an Executive Director and/or the positions of the Chairperson and CEO are held by the same individual, such entity shall make a market announcement	Not applicable	
9.6.3 & 9.6.4	Requirement for a SID and the rationale	Not applicable	
9.7.1, 9.7.4 & 9.7.5	Fitness of Directors and CEOs, declarations from the Directors and disclosures	Complied	Refer Annual Report of the Board of Directors on pages 85-89

Corporate Governance Report (Contd.)

Statement of compliance under section 9 of the listing rules of the Colombo Stock Exchange (CSE) on corporate governance. (Contd.)

CSE Rule	Requirements	Compliance Status	Reference to the Annual Report
9.8.1 & 9.8.2	Minimum number of Board of Directors and minimum number of independent Directors.	Complied	Refer Corporate Governance report on page 56
9.8.5	Requirement pertaining to self-declarations annual determination of independence and market announcement in the event of the impairment of the independence.	Complied	Refer Corporate Governance report on page 56
9.9	Alternate Directors	Not applicable	
9.10.1	Listed Entities shall disclose its policy on the maximum number of Directorships it's Board members shall be permitted to hold. In the event such number is exceeded by a Director(s), the Entity shall provide an explanation for such non-compliance.	Complied	Refer MCPPLC website https://www.mahawelicoconut.com/policies.html
9.10.2 & 9.10.3	Listed Entities shall, upon the appointment of a new Director to its Board and upon any changes to the composition, make an immediate Market Announcement.	Complied	
9.10.4	Disclosure of details pertaining to Directors in the Annual Report	Complied	Refer Annual Report of the Board of Directors on pages 85-89
9.11.1	Nomination and Governance Committee	Complied	Refer Nomination and Governance Committee report on pages 79-81
9.11.2	Listed Entities shall establish and maintain a formal procedure for the appointment of new Directors and re-election of Directors to the Board through the Nominations and Governance Committee.	Complied	
9.11.3	The Nominations and Governance Committee shall have a written terms of reference clearly defining its scope, authority, duties and matters pertaining to the quorum of meetings.	Complied	
9.11.4	Composition of nomination and governance committee,	Complied	
9.11.5	Functions of the Nominations and Governance Committee	Complied	
9.11.6	Disclosures in Annual Report	Complied	
9.12.2	Listed Entities shall have a Remuneration Committee that conforms to the requirements set out in Rule 9.12 of these Rules	Complied	Refer Remuneration Committee report on page 76
9.12.3	The Remuneration Committee shall establish and maintain a formal and transparent procedure for developing policy on Executive Directors' remuneration and for fixing the remuneration packages of individual Directors. No Director shall be involved in fixing his/her own remuneration	Complied	
9.12.4	Remuneration for Non-Executive Directors should be based on a policy which adopts the principle of non-discriminatory pay practices among them to ensure that their independence is not impaired.	Complied	
9.12.5	Remuneration Committee shall have a written terms of reference clearly defining its scope, authority, duties and matters pertaining to the quorum of meetings.	Complied	
9.12.6 (1) and (2)	The members of the Remuneration Committee shall; (a) comprise of a minimum of three (03) Directors of the Listed Entity, out of which a minimum of two (02) members shall be Independent Directors of the Listed Entity. (b) not comprise of Executive Directors of the Listed Entity. An Independent Director shall be appointed as the Chairperson of the Remuneration Committee by the Board of Directors.	Complied	Refer Remuneration Committee report on page 76

Corporate Governance Report (Contd.)

Statement of Compliance under section 9 of the listing rules of the Colombo Stock Exchange (CSE) on corporate governance. (Contd.)

CSE Rule	Requirements	Compliance Status	Reference to the Annual Report
9.12.8	The Annual Report should set out the following: (a) Names of the Chairperson and members of the Remuneration Committee and the nature of Directorships held by such members; (b) A statement regarding the remuneration policy; and, (c) The aggregate remuneration of the Executive and Non-Executive Directors.	Complied	Refer Remuneration Committee report on page 76 and the Financial Statements on page 123
9.13.1	Entities who do not maintain separate committees to perform the Audit and Risk Functions, the Audit Committee shall additionally perform the Risk Functions	Not Applicable	
9.13.2	The AC shall have a written Terms of Reference	Complied	Refer Audit Committee Report on pages 74-75
9.13.3 (1) & (2)	The members of the Audit Committee shall; (a) comprise of a minimum of three (03) Directors, out of which a minimum of two (02) or a majority of the members, whichever higher, shall be Independent Directors. (b) not comprise of Executive Directors of the Listed Entity. The quorum for a meeting of the Audit Committee shall require that the majority of those in attendance to be independent Directors.	Complied	Refer Audit Committee Report on pages 74-75
9.13.3 (3)	The Audit Committee may meet as often as required provided that the Audit Committee compulsorily meets on a quarterly basis prior to recommending the financials to be released to the market	Complied	Refer Audit Committee Report on pages 74-75
9.13.3 (4)	An Independent Director shall be appointed as the Chairperson of the Audit Committee by the Board of Directors.	Complied	Refer Audit Committee Report on pages 74-75
9.13.3 (6)	The Chairperson of the Audit Committee shall be a Member of a recognized professional accounting body.	Complied	Refer Corporate Governance report on pages 50-54
9.13.4	Functions of the Audit Committee	Complied	Refer Audit Committee Report on pages 74-75
9.13.5	Disclosures – Audit Committee	Complied	Refer Audit Committee Report on pages 74-75
9.14.1	Listed entities shall have a Related Party Transactions Review Committee (RPTRC)	Complied	
9.14.2	RPTRC composition of the Independent Directors and Chairperson being Independent.	Complied	Refer RPTRC Report on pages 77-78
9.14.3	Functions of RPTRC	Complied	Refer RPTRC Report on pages 77-78
9.14.4 (1)	The RPTRC shall meet at least once a calendar quarter	Complied	Refer RPTRC Report on pages 77-78
9.14.5	Review of Related Party Transactions by the RPTRC	Complied	Refer RPTRC Report on pages 77-78
9.14.8	Disclosure in relation to related party transactions in the Annual Report	Complied	Refer Financial Statements on pages 122-124
9.14.9	Acquisition and disposal of assets from/to related parties.	Not Applicable	
9.17	Additional Disclosures	Complied	Refer Annual Report of the Board of Directors on pages 85-89

Corporate Governance Report (Contd.)

Statement of Compliance under Code of Best Practice on Corporate Governance 2023 issued by ICASL.

Reference to ICASL Code	Corporate Governance Principle	Compliance	Details of compliance
A. DIRECTORS			
A.1	**The Board**		
A. 1.1	Board Meetings	Complied	Held almost every month and special meetings held as and when necessary.
A 1.2	Role of the Board	Complied	The Role and Responsibilities of the Board are inset on pages 56-60
A. 1.3	Compliance with laws and access to independent professional advice	Complied	Corporate Governance report on page 57
A 1.4	Access to advice from the Company Secretary Indemnifying the Board, Directors and key management personnel	Complied	All Directors have access to the advice of the Company Secretary.
A 1.5	Independent judgment of the Directors	Complied	Board comprises 3 independent Directors and 6 Non-Executive Directors who in turn exercise independent judgement in discharging their duties.
A 1.6	Dedicating adequate time and effort	Complied	Regular Board meetings and sub-committee meetings are scheduled well in advance and Board papers are circulated prior to the meetings, giving adequate time to prepare for the meeting.
A.1.7	Calls for resolutions by least 1/3 of Directors	Complied	Resolutions are passed for all Board approvals and minutes are kept.
A 1.8	Training of Directors	Complied	At the time a Director is appointed a letter confirming such appointment together with details on the duties of a Director in terms of the Act and Listing Rules are forwarded to them. All Directors have considerable experience in the industry. Relevant local and foreign training opportunities are made available.
A. 2	**Segregation of Roles of Chairman & CEO**		
A.2.0	Segregation of Roles of Chairman & CEO	Complied	Duties of Chairman (Non-Executive Director) and CEO (Eexecutive Director) are clearly segregated.
A. 3	**Chairman's Role**		
		Complied	The Chairman ensures that meetings are conducted in an orderly manner and that each Board Member and Member of staff is given an opportunity to present his views/ concerns on matters.
A. 4	**Financial Acumen**		
	Financial Acumen	Complied	Members of the Board and Management have sufficient financial knowledge and thus are able to provide guidance on financial matters.

Corporate Governance Report (Contd.)

Statement of Compliance under Code of Best Practice on Corporate Governance 2023 issued by ICASL (Contd.)

Reference to ICASL Code	Corporate Governance Principle	Compliance	Details of compliance
A.5	**Board Balance**		
A.5.1/ A5.2/A.5.3 & A.5.5	Presence of Non- Executive Directors Independence of Non- Executive Directors	Complied	Refer details on page 56
A.5.4	Annual Declaration of Independence by the Non-Executive Directors	Complied	Annual declarations citing their independence is obtained by the secretary annually.
A.5.6	Alternate Director to a Non-Executive Director	No Alternate Directorships as at 31st March 2026.	
A.5.7/5.8	Senior Independent Director	Not Applicable	
A 5.9	Chairman meeting with the Non-Executive Directors	No meeting held	When required, the Executive Directors and Members of staff are excused from meetings.
A.5.10	Recording concerns	Complied	Concerns of Directors are recorded in minutes even in the case of disagreement.
A.6	**Supply of Information**		
A.6.1	Obligation of the Management to provide appropriate and timely information	Complied	Board Papers and Committee papers are provided at least one week before the meeting
A.6.2	Board papers to be provided 7 days prior to Board Meeting	Complied	Board papers are provided one week prior to the Board meeting.
A.7	**Appointment to the Board**		
A.7.1 / A.7.2	Nomination and Governance Committee and the assessment of composition of the Board	Complied	Refer Nominations and Governance Committee Report on pages 79-81
A.7.4	Disclosure of Appointment of a New Director	Complied	Disclosure pertaining to any new appointments are made to the CSE within two market days from the date of such appointment. The disclosure includes a brief profile of the Director and whether the Director is an Independent/ Non-Executive / Executive Director.
A.7.5	The chairman and members of the Nomination and Governance Committee should be identified in the Annual Report	Complied	Refer Nominations and Governance Committee Report on pages 79-81
A.8	**Re-election**		
A.8.1 /A.8.2	Re-election	Complied	Refer Nominations and Governance Committee Report on pages 79-81
A.8.3	Resignation of Director	Complied	Refer Corporate Governance report on page 56

Corporate Governance Report (Contd.)

Statement of Compliance under Code of Best Practice on Corporate Governance 2023 issued by ICASL (Contd.)

Reference to ICASL Code	Corporate Governance Principle	Compliance	Details of compliance
A 9	**Appraisal of Board Performance**		
A.9.1/A.9.2/ A.9.3/A.9.4	Appraisals of the Board and the sub committees	Complied	Refer Nominations and Governance Committee Report on pages 79-81
A.10	**Disclosure of information in respect of Directors**		
A.10.1	Profiles of the Board of Directors and other related information	Complied	Refer on pages 50-54
A.11	**Appraisal of Chief Executive Officer**		
A.11.1/ A.11.2	Setting of the annual targets and the appraisal of the CEO	Complied	Not formally documented. However, appraisal is done at each meeting
B. DIRECTORS' REMUNERATION			
B.1	**Remuneration procedure**		
	Set up a Remuneration Committee with agreed terms of reference	Complied	Refer Remuneration Committee Report on page 76
	Remuneration Committee to consist of Non- Executive Directors only	Complied	Refer Remuneration Committee Report on page 76
	List names of Remuneration Committee in Annual Report	Complied	Refer Remuneration Committee Report on page 76
	Determination of the remuneration of the Non- Executive Directors	Complied	Refer Remuneration Committee Report on page 76
B.2	**The level & Makeup of Remuneration**		
B.2.1-B.2.2 B.2.3-B.2.4	The level and makeup of the remuneration of Directors and comparison of remuneration with other companies	Complied	Refer Remuneration Committee Report on page 76
B.2.5 -2.8	Performance based remuneration	Complied	Refer Remuneration Committee Report on page 76
B.2.9	Executive share options	No share options offered	
B.2.10	Designing schemes of performance-based remuneration	Complied	Refer Remuneration Committee Report on page 76
B 2.11	Compensation commitment in the event of early termination	Not-Applicable	
B.3	**Disclosure of Remuneration**		
B.3.1 & 3.2	Disclosure of Remuneration	Complied	Refer the Remuneration Committee on page 76

Corporate Governance Report (Contd.)

Statement of Compliance under Code of Best Practice on Corporate Governance 2023 issued by ICASL (Contd.)

Reference to ICASL Code	Corporate Governance Principle	Compliance	Details of compliance
C. RELATIONS WITH SHAREHOLDERS			
C.1	**Constructive use of AGM and Conduct of Meetings**		
C.1.1	Dispatch of Notice of AGM and related papers to shareholders	Complied	Notice of Meeting, the Agenda for the Annual General Meeting and the Annual Report are circulated to shareholders prior to 14 days as required by the Articles of Association and the Code.
C.1.2	Separate resolution for substantially separate issues.	Complied	Separate resolutions are passed for each matter taken up at the AGM
C.1.3	Accurate recording and counting valid proxy appointments received for general meeting	Complied	Valid proxies are listed together with the number of shares held by the shareholder appointing the proxy.
C.1.4	Availability of Chairman of Board Committees at the Annual General Meeting	Complied	The Chairperson of the Board Committees are present to answer any queries of the shareholders directed to them by the Chairman of the Company.
C.1.5	Summary of Notice of General Meetings and procedures governing voting at General Meetings	Complied	A summary of the procedure on voting is given in the Notice of Meeting.
C. 2	**Communications with Shareholders**		
C 2.1 to 2.7	Communications with Shareholders	Complied	Corporate Governance report on page 60
C. 3	**Major & Material Transactions**		
C 3.1 & 3.2	Disclosure of Major Transactions	Complied	There were no matters which were identified as Major Transactions during the year as such no disclosure has been made in this regard. In the event there are Major Transactions, relevant disclosures and relevant shareholder approvals are obtained.

Corporate Governance Report (Contd.)

Statement of Compliance under Code of Best Practice on Corporate Governance 2023 issued by ICASL (Contd.)

Reference to ICASL Code	Corporate Governance Principle	Compliance	Details of compliance
D. ACCOUNTABILITY & AUDIT			
D.1.1	Annual Report	Complied	Annual Report is published on 31st August 2026
D.1.2	Interim and price sensitive reports to public and regulators	Complied	In preparing annual and quarterly Financial Statements, the Company complies with the requirements of the; ► Companies Act No. 07 of 2007, ► Sri Lanka Accounting Standards and Listing Rules of the Colombo Stock Exchange. The annual and interim Financial Statements were published within the time periods prescribed by the Listing Rules of the Colombo Stock Exchange.
D.1.3	Director/Financial Controller Declaration	Complied	Refer Director's and Financial Controller's responsibility statement on page 91
D.1.4	Directors' Report declarations	Complied	Refer Annual Report of the Board of Directors on pages 85-89
D.1.5	Statements on responsibilities for preparation of Financial Statements and internal control	Complied	Refer the following: ► Statement of Board responsibility for preparation of Financial Statements on page 90 ► Statement from Auditors on their reporting responsibilities on page 92-93
D.1.6	Management discussion & analysis	Complied	Refer management discussion and analysis on pages 36-44
D.1.7	Serious loss of capital	Not applicable	Shareholders will be informed of a serious loss of capital in the event it happens.
D.1.8	Related Party transactions	Complied	Refer the following disclosures on Related Party Transactions: ► Related Party Transactions Review Committee Report on pages 77-78 ► Annual Report of the Board of Directors on pages 85-89 ► Notes to the Financial Statements on pages 122-124
D.2	**Risk Management & Internal Control**		
D.2.1	Monitor, review and report on financial, operational and compliance risk and internal control systems	Complied	The following reports provide details on compliance with these requirements: ► Risk Management on pages 45-48 ► Audit Committee Report on pages 74-75
D.2.2	Confirm assessment of the principal risks of the Company	Complied	
	Internal Audit	Complied	
	Require Audit Committee to carry out reviews of & Board responsibility for disclosures	Complied	
	Compliance with Directors' responsibilities as set out by the Code of Best Practice	Complied	

Corporate Governance Report (Contd.)

Statement of Compliance under Code of Best Practice on Corporate Governance 2023 issued by ICASL (Contd.)

Reference to ICASL Code	Corporate Governance Principle	Compliance	Details of compliance
D.3	**Audit Committee**		
D.3.1	Establish an Audit Committee comprising wholly of Non-Executive Directors of which at least 2 must be independent	Complied	Refer Audit Committee Report on pages 74-75
D.3.2	Written Terms of Reference for Audit Committee	Complied	
D.3.3	Disclosures	Complied	The Audit Committee Report with required disclosures are given on pages 74-75
D. 4	**Risk Committee**		
D 4.1-4.5	Establishment of procedure for Risk Management & Committee	Complied	Refer Risk Committee Report on page 82
D.5	**Related Party Transactions Review Committee**		
	Related Party Transactions Review Committee	Complied	Related Party Transactions Review Committee on pages 77-78
D.6	**Code of Business Conduct & Ethics**		
D.6.1	Board declaration for compliance with Code	Complied	Refer Annual Report of Board of Directors on pages 85-89
D.6.2	Price sensitive information	Complied	Material and price sensitive information is promptly disclosed to the CSE by the Company Secretaries.
D.6.3	Monitor Share purchase by Directors/ KMPs	Complied	
D.6.4	Procedure to deal with complaints received from whistle-blowers	Complied	
D.7	Corporate Governance disclosures	Complied	Refer Corporate Governance Report on pages 55-72
E. INSTITUTIONAL INVESTORS			
E.1.1	Institutional investors	Complied	
E.2	Evaluation of Governance Disclosures	Complied	
F. OTHER INVESTORS			
F 1	Investing and divesting decision	Complied	We seek to provide sufficient information to investors through the annual report, quarterly Financial Statements and announcements to the CSE to assist investors with their investment and divestment decision.
F 2	Encouraging shareholder Participation	Complied	

Corporate Governance Report (Contd.)

Statement of Compliance under Code of Best Practice on Corporate Governance 2023 issued by ICASL (Contd.)

Reference to ICASL Code	Corporate Governance Principle	Compliance	Details of compliance
G. INTERNET THINGS & CYBER SECURITY			
G.1	Identify connectivity and related cyber risks	Not applicable	
H. SUSTAINABILITY : ESG RISK AND OPPORTUNITIES			
H.1	Consider the impact of sustainability risks and opportunities in the business model, operations and short, medium and long-term plans to build resilience and report the same to the Board.	Complied	Refer to Risk Committee Report on page 82
H.2	Continuously engage with and consider the views of its stakeholders to better understand and manage the Company's sustainability/ ESG risk and opportunities.	Complied	
I. SPECIAL CONSIDERATIONS FOR LISTED COMPANIES			
I.1	Listed entities shall establish and maintain policies relating to its governance and disclose the fact of existence of such policies together with the details relating to the implementation of such policies by the entity on its website.	Complied	Relevant governance policies have been published in the Company's website. https://www.mahawelicoconut.com/policies.html
I.2	Listed entities shall establish and maintain a formal policy governing matters relating to the Board of Directors.	Complied	

By Order of the Board,
Mahaweli Coconut Plantations PLC

Kalrupco Management Services (Private) Limited
Secretary
Reg. No. RCS2000144

Colombo

25th August 2026

Directors' Statement on Internal Controls

The following statement fulfills the requirement to publish the Directors' Statement on Internal Control as per the Code of Best Practice on Corporate Governance issued by The Institute of Chartered Accountants of Sri Lanka and Securities and Exchange Commission of Sri Lanka.

The Board of Directors is responsible for maintaining a sound system of internal controls to safeguard shareholders' investments and the Company's assets. The Board has established an ongoing process for identifying, evaluating, and managing the significant risks faced by the Company.

This process includes enhancing the system of internal controls as and when there are changes to the business environment or regulatory guidelines. The process is regularly reviewed by the Board. The Board is of the view that the system of internal controls in place is sound and adequate to provide reasonable assurance regarding the reliability of Financial Reporting and the preparation of Financial Statements for external purposes and is in accordance with relevant accounting principles and regulatory requirements.

The Board having implemented the systems is aware that such systems are designed to manage rather than eliminate the risk of failure to achieve business objectives and can only provide reasonable and not absolute assurance against material misstatements of loss. The Board of Directors confirms that the Financial Reporting system has been designed to provide reasonable assurance regarding the reliability of Financial Reporting and the preparation of Financial Statements for external purposes has been done in accordance with the Sri Lanka Accounting Standards, requirements of the Companies Act No. 7 of 2007 and the Listing Rules of the Colombo Stock Exchange.

Mr. J. F. Fernandopulle
Managing Director/CEO

Mrs. Gillian Edwards
Chairperson - Audit Committee

25th August 2026

Audit Committee Report

Role of the Audit Committee

The Audit Committee Charter provides a clear understanding of the committee's role, structure, processes and membership requirements. This conveys the framework for the committee's organization and responsibilities that can be referred to by the Board, committee members, management and external and internal auditors.

The Audit Committee was constituted on 21st June 2018.

Composition

The Audit Committee appointed by and responsible to the Board of Directors comprises three Independent Directors and two Non-Executive Directors. The Committee conformed to the requirements of Section 9.13.3 of the Listing Rules of the CSE and were guided by the Corporate Governance principles embodied in the Code of Best Practice on Corporate Governance 2023, issued by CA Sri Lanka. Profiles of the members are given on pages 50-54. The Company Secretary serves as the Secretary to the Committee.

Meetings of the Audit Committee

The Committee met on five times during the Financial year. The External and Internal Auditors were present at discussions where it was appropriate. The attendance of the members at these meetings is as follows.

Name of the Member	Directorship Status	Attendance					Total
		26.05.2025	14.08.2025	13.11.2025	12.02.2026	19.02.2026	
Mrs. Gillian Edwards (Chairperson)	Independent Non-Executive	✓	✓	✓	✓	✓	5/5
Mr. W.V.J.T. Fernando	Independent Non-Executive	✓	✓	✓	✓	-	4/5
Mr. M.A.C.H. Munaweera	Independent Non-Executive	✓	✓	✓	✓	✓	5/5
Mr. S.D.S. Gunesekera	Non-Independent Non-Executive	✓	✓	-	✓	✓	4/5
Mr. G.J.L. Neomal Perera	Non-independent Non-Executive	-	✓	-	-	✓	2/5
Attendance per day		4/5	5/5	3/5	4/5	4/5	

Note:

✓ = Attended
– = Absent

Attendees by Invitation

The Managing Director/CEO and the Financial Controller attended all the meetings of the Committee on Invitation.

The Audit Committee members are appointed / re-appointed by the Board of Directors through the recommendation of Nominations and Governance Committee and its duties are stated in the following paragraph.

The Duties and Responsibilities of the Audit Committee

The Audit Committee undertakes, on behalf of the Board, responsibility for ensuring the integrity of the Company's Financial reports by having an oversight of the internal controls, the financial reporting process and compliance with financial reporting and regulatory requirements as given in the Audit Committee Charter. It sets out the standards of corporate disclosure, corporate responsibility, integrity and accountability to the shareholders. In fulfilling its responsibilities, following activities were carried out by the Audit Committee during the Financial year ended 31st March 2026.

Activities In 2025/26

The Board Audit Committee Reviews the financial reporting systems adopted by the Company in the preparation of quarterly and annual Financial Statements focusing particularly on significant changes, if any, to accounting policies and practices and compliance with Financial Reporting and Accounting standards. The Committee satisfies itself that the accounting policies and practices are appropriate, and adequate internal controls and procedures are in place thus providing reasonable assurance that the financial reporting system is effective and well managed to deliver reliable and timely information.

The Committee recommended the Financial Statements to the Board for its consideration and approval for issuance. The Committee also reviewed the Internal Audit Reports with the Internal Auditors, KPMG, and continuously monitored the implementation of the recommended improvements to the Company's internal control systems. In addition, the Committee discussed the statutory audit with the External Auditors and recognized the adequacy, quality, and content of the routine management information reports submitted to its members.

Audit Committee Report (Contd.)

Financial Reporting
Reviewed the quarterly and year-to-date financial results of the Company, focusing particularly on significant changes, if any, to accounting policies and practices and compliance with financial reporting and accounting standards prior to the consideration by the Board.

Reviewed the annual report and the annual audited Financial Statements of the Company prior to submission to the Board for approval. The review was to ensure that the financial reporting and disclosures are in compliance with the listing requirements of Sri Lanka, Financial Reporting Standards, provisions of the Companies Act No. 7 of 2007, SEC Act and any other relevant legal and regulatory requirements. The methodology included obtaining statements of compliance from Financial Controller and Managing Director/CEO. The Committee recommended the Financial Statements to the Board for its deliberations and approval. The Committee, in its evaluation of the financial reporting system, also recognized the adequacy of the content and quality of routine management information reports forwarded to the management, regulatory authorities and shareholders.

In the review of the annual audited Financial Statements, the Committee discussed with the Managing Director/CEO, Financial Controller and External Auditor the significant accounting policies, estimates and judgments applied in preparing these reports, the accounting principles and reporting standards that were applied and the impact of the items to the Financial Statements.

Internal Audit
The Committee has an ongoing process for reviewing the effectiveness of the system of internal controls. The services of KPMG, Chartered Accountants were obtained for the internal audit function during the reporting year. The internal auditors made presentations at audit committee meetings and suggested several improvements which were carried out and some are being implemented.

External Audit
Reviewed the scope of the external auditors, audit strategy and audit plan for the year and their proposed fees for the statutory audit.

Reviewed the external audit reports and areas of concern highlighted In the Management letter including Management's responses to the findings of the External Auditors.

Discussed with External Auditors the Key Audit Matters, impact of new or proposed Sri Lanka Accounting Standards and regulatory requirements applicable to the Company.

The Committee has reviewed the other services provided by the External Auditor to ensure that their objectivity and independence as External Auditor has not been impaired. The Committee provides the opportunity to External Auditor to meet the Audit Committee Members independently, if necessary.

Furthermore, written assurance was obtained from the External Auditors that they are and have been independent throughout the conduct of the audit engagement in terms of all relevant professional and regulatory requirements and has made a determination of the independence of auditors based on the same.

The current External Auditor, Messrs. Kreston MNS & Co, Chartered Accountants, was initially appointed as External Auditor for 2007/08 financial period and continues to hold that position at present. A partner rotation of the Auditors takes place periodically. A rotation of partner took place in financial year 2024/25.

After evaluating the performance of the External Auditors, Messrs. Kreston MNS & Co, the Committee recommended their re-appointment to the Board for the financial year ended 31st March 2027 subject to the approval of the shareholders at the next Annual General Meeting.

Regulatory Compliance
Reviewed the procedures established by Management for compliance with the requirements of regulatory bodies. The Managing Director/CEO along with the Financial Controller submitted to the Audit Committee on a quarterly basis, a report on the extent to which the Company was in compliance with mandatory statutory requirements.

Conclusion
The Committee is of the view that adequate controls and procedures are in place to provide reasonable assurance that the Company's assets are safeguarded and the financial position of the Company's well monitored. The Audit Committee concurs that the adoption of the going concern premise in the preparation of the financial statement is appropriate. The Audit Committee recommends to the Board of Directors that the Financial Statements as submitted be approved.

On behalf of the Audit Committee;



Mrs. Gillian Edwards
Chairperson - Audit Committee

25th August 2026

Remuneration Committee Report

Composition
The remuneration committee of the MCPPLC is composed entirely of non-Executive Directors wherein three of them are independent.

Name of the Member	Directorship Status
Mr. M.A.C.H. Munaweera (Chairperson)	Independent Non-Executive
Mrs. Gillian Edwards	Independent Non-Executive
Mr. W.V.J.T. Fernando	Independent Non-Executive
Mr. S.D.W. Asitha Gunasekera	Non-independent Non-Executive
Mr. A.J. Shamindra Jayakoddy	Non-independent Non-Executive

Role of the Committee
The role of the remuneration committee formed with the objective of setting up the policy on remuneration for all categories of Company employees both executive and non-executive categories to the Board of Directors.

Remuneration Policy
The remuneration policy is to asses and determine organizational remunerations extended, to all employees. Which would comprise Executive Directors, plantation management, head office and plantation staff. The process would involve on a structured methodology on evaluation of annual performance. This objective is based on extending a fair remuneration package to all employees on a competitive result based individual and group performance basis.

The Company concept in this regard is to motivate and sustain superior quality standards in the work performance. Whilst achieving corporate Goals and objectives of the Company at varying spells of time.

The Non-Executive Directors are paid a fee for attending Board meetings and serving in sub committees and therein no performance-based incentive payment is not extended to them. The total remuneration to Directors is shown in Note 31.3, the Financial Statement on page 123.

These deliberations are made towards employee motivation, increased productivity and the improve quality of work output in achieving corporate goals.

Meeting of the Remuneration Committee
One Remuneration Committee Meeting was held during the current Financial year. On behalf of the Remuneration Committee.

On behalf of the Remuneration Committee.



Mr. M. A.C.H. Munaweera
Chairperson - Remuneration Committee

25th August 2026

Related Party Transactions Review Committee Report

Composition of the Committee

The Related Party Transactions Review Committee (RPTRC) which is appointed by the Board of Directors of the MCPPLC. The RPTRC during the year under review conformed to the requirements of Section 9.14 of the Listing Rules of the CSE and were guided by the corporate governance principles embodied in the Code of Best Practice on Corporate Governance 2023, issued by CA Sri Lanka.

In accordance with Section 9.14.2 the RPTRC comprises three Independent Directors and two Non-Executive Directors.

Profiles of the members are given on pages 50-54

The RPTRC of the Company complies with the rules and regulations promulgated by the Securities and Exchange Commission of Sri Lanka, the Listing Rules of the Colombo Stock Exchange and the 2023 Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka).

The Company Secretary serves as the Secretary to the Committee

Meetings of the RPT Review Committee

The Committee met quarterly, holding four meetings during the financial year 2025/26, to review the Company's related party transactions. The attendance of the meeting follows:

Name of the Member	Directorship Status	Attendance				Total
		26.05.2025	14.08.2025	13.11.2025	12.02.2026	
Mr. W.V.J.T. Fernando (Chairperson)	Independent Non-Executive	✓	✓	✓	✓	4/4
Mrs. Gillian Edwards	Independent Non-Executive	✓	✓	✓	✓	4/4
Mr. M.A.C.H. Munaweera	Independent Non-Executive	✓	✓	✓	✓	4/4
Mr. S.D.S. Gunesekera	Non-independent Non-Executive	✓	✓	-	✓	3/4
Mr. G.J.L. Neomal Perera	Non-independent Non-Executive	-	✓	-	-	1/4
Attendance per day		4/5	5/5	3/5	4/5	

Note:
✓ = Attended
– = Absent

Attendees by Invitation

The Managing Director/CEO and the Financial Controller attended all the meetings of the Committee.

Objectives & Responsibilities

The purpose of this committee is to oversight, on behalf of the Board, compliance with the Code on Related Party transactions issued by Securities and Exchange Commission (SEC) of Sri Lanka. The Committee assists the Board in reviewing all related party transactions to ensure that the interests of shareholders as a whole are safeguarded. It also ensures that Directors and Key Management Personnel do not obtain any undue advantage by benefit of their positions, thereby preventing potential conflicts of interest. In addition, the Committee supports the Board in maintaining transparency over related party transactions through required disclosures.

To meet this end result, the RPT Committee has undertaken the responsibility entrusted upon us by the Company, by obtaining declarations from concerned, wherever it seems appropriate and setting up Policies to review Related Party Transactions adequately.

All such transactions are subsequently reported to the Board of Directors on quarterly basis by forwarding the minutes of the Committee meetings for further discussion and perusal, at the Board Meetings.

Towards this end Committee carries out following:

- Seek any additional information/clarifications from the Directors, Management, Employees, or External parties regarding any transaction entered into with the related party.
- Obtain approval of the Board prior to the execution of any related party transaction.
- Monitor/review all the Related Party Transactions on the normal routine, to ensure, are not prejudicial to the interests of the Company and its minority shareholders.
- Meet the Management and External Auditors as needed to carry out the assigned duties.
- Assess the transfer of resources and services between related parties to ascertain the reasonableness, irrespective of the payment involved.

Related Party Transactions Review Committee Report (Contd.)

- Obtain knowledge or expertise to assess all aspects of proposed related party transactions where necessary including obtaining appropriate professional and expert advice from suitably qualified persons.

These precautions are taken to ensure the Company that Related Party Transactions were maintained at an expected standard as required by Listing Rules of CSE.

Review of Related Party Transactions

The Committee, in its review process, was satisfied with the adequacy and quality of the information and reports regularly submitted by the Management for its quarterly meetings.

During the year, the RPTRC reviewed the related party transactions and their compliance, and communicated its comments and observations to the Board of Directors. Self-declarations were obtained from Directors for the purpose of identifying related parties. The Committee also reviews and assesses ongoing relationships with related parties on an annual basis to determine whether they comply with the Committee's guidelines and whether the related party transactions remain appropriate.

The Committee reviewed the related party transactions for the year 2025/26, and its satisfactory compliance was communicated to the Board. It was noted that the related party transactions carried out during the year were recurrent in nature and were essential for the smooth operations of the Company. Further, the proceedings of the Committee meetings were documented and tabled at Board meetings for detailed discussion, where necessary.

Disclosures

A detailed disclosure of all related party transactions, including recurrent and non-recurrent related party transactions required to be disclosed under Section 9.14.8 of the Listing Rules of the Colombo Stock Exchange, has been made in Note 31 to the Financial Statements on pages 122-124 of this Annual Report.

Declaration

In terms of Rule 9.14.8 (4) of the Listing Rules of the Colombo Stock Exchange, a declaration by the Board of Directors as an affirmative statement of compliance with Listing Rules pertaining to Related Party Transactions is given on page 88 of this Annual Report.

On behalf of the Related Party Transactions Review Committee.



Mr. W.V.J.T. Fernando
Chairperson - Related Party Transactions Review Committee

25th August 2026

Nominations and Governance Committee Report

Constitution
The Nominations and Governance Committee was constituted on 26th September 2024. During the year under review, the Committee complied with the requirements of Section 9.11 of the Listing Rules of the Colombo Stock Exchange and discharged its responsibilities in accordance with the corporate governance principles set out in the Code of Best Practice on Corporate Governance 2023 issued by CA Sri Lanka.

Objectives
The primary objective of the Committee is to review the structure and composition of the Board on an annual basis, ensuring that the collective knowledge, experience and skills of its members are aligned with the Company's corporate strategy.

In fulfilling its mandate, the Committee is also responsible for establishing eligibility criteria and ensuring that Directors and Key Management Personnel are fit and proper individuals to hold their respective positions, in accordance with relevant statutory and regulatory requirements.

Furthermore, the Committee reviews, evaluates and recommends enhancements to the Company's Corporate Governance Framework to ensure alignment with the Listing Rules of the Colombo Stock Exchange and the Code of Best Practice on Corporate Governance. The Committee also conducts periodic reviews of its Terms of Reference to ensure continued compliance with applicable regulations and the adoption of industry best practices.

Composition
As at the date of this report, the Committee comprises the following members:

The composition of the Committee reflects a balanced representation of independence, experience and domain-specific expertise, particularly in the areas of agriculture, sustainability and finance. The Company Secretary serves as the Secretary to the Committee.

Name of the Member	Role	Directorship Status
Mr. M.A.C.H. Munaweera	Chairman	Independent Non-Executive Director
Mr. W.V.J.T. Fernando	Member	Independent Non-Executive Director
Mrs. Gillian Edwards	Member	Independent Non-Executive Director
Mr. S.D.S. Gunesekera	Member	Non-Independent Non-Executive Director

Activities During the Year
The Committee reviewed and evaluated the profiles of the proposed Directors and recommended their appointment to the Board. The Committee also reviewed the structure and composition of the Board and its Committees. Accordingly, the Board sought to enhance its diversity in terms of experience, skills, and age to support the effective discharge of its responsibilities.

The Board performance evaluation was carried out and discussed at Board meetings. This included the evaluation of the performance of the Board, its Sub-committees, and the Managing Director/CEO.

The Committee also reviewed and approved the succession plan for the Board of Directors. In addition, the Company's policies were reviewed during the year.

The Committee ensured that the policies were uploaded to the Company's website. The list of the Company's policies is provided on Page 89 of the Annual Report of the Board of Directors.

The Committee also evaluated the independence of the Directors against the criteria set out in the Listing Rules. It ensured that declarations of independence were obtained from the Independent Directors and concluded that all Independent Directors of the Company met the prescribed independence criteria. The Committee further evaluated all Directors against the Fit and Proper assessment criteria.

The Committee ensured that the Corporate Governance requirements stipulated by the Colombo Stock Exchange were complied with by both the Board and the Company throughout the year. During the year, the Committee also updated the Board on Corporate Governance, the Listing Rules, and market regulations.

Meetings and Reporting
The attendance of the members at these meetings is as follows:

The Nominations and Governance Committee held one meeting during the year under review. The attendance of the Committee members is summarized below:

Name of Member	Meeting Date 14.08.2025	Total Attendance
Mr. M.A.C.H. Munaweera	✓	1/1
Mr. S.D.S. Gunesekera	✓	1/1
Mrs. Gillian Edwards	✓	1/1
Mr. W.V.J.T. Fernando	✓	1/1
Attendance per Day		4/4

Note:
✓ = Attended
– = Absent

Attendees by Invitation
The Managing Director/CEO attended the meeting of the Committee.

Nominations and Governance Committee Report (Contd.)

Re-election of Directors

In terms of the Articles of Association of the Company all Directors are required to offer themselves for re-election at regular intervals. Every year, not exceeding 1/3 of the Board must retire by rotation. Mrs. Gillian Edwards, Mr. W. V. J. T. Fernando and Mr. S.D.W. Asitha Gunasekera retire by rotation in terms of Article 77-79 of the Articles of Association of the Company and offers themselves for election at the Annual General Meeting to be held on 30th September 2026.

The Board has recommended that Mr. S. J. Watawala, Mr. J. F. Fernandopulle, Mr. S.D.S. Gunesekera and Mr. M. A. C. H. Munaweera, who are over 70 years of age and vacate office in terms of Section 210 of the Companies Act, be re-appointed as Directors in terms of Section 211 of the Companies Act, specially declaring that the age limit stipulated in Section 210 of the Companies Act shall not apply to the said Directors, and also Mr. M. A. C. H. Munaweera, be re-appointed as Independent Non- Executive Director in terms of Listing Rules 9.8.3.(ix).

Name of the Director	Directorship Status	Board committees served	Date of Appointment to the Board	Date of last reappointment to the Board	Directorships in other listed entities	Material relationships
Mr. S. J. Watawala	Non-Executive Non-Independent Director	-	29.10.1996	25.09.2025	-	-
Mr. J. F. Fernandopulle	Executive Non-Independent Director	-	29.10.1996	25.09.2025	Richard Pieris & Company PLC	-
Mrs. Gillian Edwards	Non-Executive Independent Director	AC, RPTRC, RC, NAGC & RMC	31.12.2024	25.09.2025	Commercial Credit and Finance PLC and Seylan Developments PLC	-
Mr. W. V. J. T. Fernando	Non-Executive Independent Director	AC, RPTRC, RC, NAGC & RMC	31.12.2024	25.09.2025	-	-
Mr. S.D.S. Gunesekera	Non-Executive Non-Independent Director	AC & RPTRC, NAGC & RC	29.10.1996	26.09.2024	-	-
Mr. S.D.W. Asitha Gunasekera	Non-Executive Non-Independent Director	RMC	10.11.2010	26.09.2024	-	-
M. A. C. H. Munaweera	Non-Executive Independent Director	AC, RPTRC, RC, NAGC & RMC	30.10.2018	25.09.2025	-	-

AC = Audit Committee
RPTRC = Related Party Transactions Review Committee
RMC = Remuneration Committee
NAGC = Nominations and Governance Committee
RC = Risk Committee

Nomination and Governance Committee Report (Contd.)

Key Responsibilities
The Committee is responsible for proposing appropriate guidelines for the appointment and re-appointment of Directors to the Board. It reviews the results of the Board of Directors' performance evaluation and ensures that these findings are appropriately considered. The Chairman of the Committee engages with the Independent Directors to discuss and provide feedback on Board effectiveness to the Chairman of the Board. Additionally, the Committee monitors compliance with the Company's Corporate Governance Guidelines, including adherence to relevant statutory requirements. The Committee also establishes and oversees the annual process for reviewing the performance of the Managing Director/CEO.

Communication of Major Issues to Independent Directors
The Board ensures that Independent Directors are kept fully informed of all significant matters concerning the Company. The Managing Director/CEO provides regular updates, while urgent or critical issues are addressed through special Board meetings. During the financial year, one special Board meeting was convened to discuss the proposed water charges and other matters communicated by the Mahaweli Authority. In addition, critical matters are presented and discussed at scheduled Board meetings, primarily through the Managing Director/CEO's Report. During the financial year, the Board met 12 times.

Induction Programme
Induction programs are conducted for newly appointed Directors to familiarize them with Corporate Governance principles, the Listing Rules of the Colombo Stock Exchange, securities market regulations, and other applicable laws and regulations. Nevertheless, no new Directors were appointed during the year under review.

Declaration by the Committee
The Nominations and Governance Committee maintains a robust framework to uphold high standards of corporate governance within MCPPLC. A key aspect of its mandate is to oversee a comprehensive and periodic evaluation process covering both the Board of Directors and the CEO/Managing Director. This evaluation ensures that their responsibilities are effectively and satisfactorily discharged in alignment with the Company's strategic objectives.

The Committee also confirms that all Independent Non-Executive Directors meet the independence criteria as prescribed by the Listing Rules of the Colombo Stock Exchange. MCPPLC continues to comply fully with the Corporate Governance requirements stipulated under these Listing Rules, demonstrating its commitment to transparency, accountability, and best practices.

At the conclusion of the year under review, the Committee undertook a self-evaluation of its own performance and effectiveness. This assessment reaffirmed that the Committee had diligently fulfilled its responsibilities throughout the year. Recognizing the importance of continuous improvement, the Committee is committed to implementing any enhancements necessary to further strengthen its governance role.

Conclusion
The Committee will continue to support the Board in identifying and selecting candidates who possess the requisite skills, knowledge, and experience, while promoting the desired diversity to meet the strategic needs of the Company and ensure compliance with the Listing Rules of the Colombo Stock Exchange.

Furthermore, the Committee is committed to maintaining uniform governance mechanisms that enhance transparency and accountability across the organization.

On behalf of the Nominations and Governance Committee.



Mr. M.A.C.H. Munaweera
Chairperson - Nominations and Governance Committee

25th August 2026

Risk Management Committee Report

The Risk Management Committee of MCPPLC was constituted on 26th September 2024, in compliance with Section 9.13 of the Listing Rules of the Colombo Stock Exchange. This milestone reflects the Company's evolving commitment to strengthening risk governance and aligning with integrated reporting practices.

Composition of the Committee

As at the date of this report, the Committee comprises the following members:

Name of the Member	Role	Directorship Status
Mrs. Gillian Edwards	Chairperson	Independent Non-Executive Director
Mr. W.V.J.T. Fernando	Member	Independent Non-Executive Director
Mr. M.A.C.H. Munaweera	Member	Independent Non-Executive Director
Mr. S.D.S. Gunesekera	Member	Non - Independent Non-Executive Director

The Company Secretary acts as the Secretary to the Committee. The composition reflects a balance of independence, experience, and industry-specific knowledge, particularly in agriculture, sustainability, and finance.

Objectives

The Risk Management Committee is responsible for overseeing the Company's enterprise risk management (ERM) framework and supporting the Board in its oversight of current and emerging risks that may impact the achievement of strategic and operational objectives.

The Committee ensures the integration of risk management into the Company's decision-making processes and promotes a risk-aware culture across all levels of the organization.

Activities During the Year

Risk Identification and Monitoring

- A comprehensive risk assessment was conducted, covering financial, operational, environmental, legal, and strategic risks.
- High-priority risks identified include commodity price volatility, climate change impacts, pest and disease outbreaks, supply chain disruptions, and labour shortages.

Climate Risks

Recognizing the increasing exposure of the plantation sector to climate-related risks, the Committee focused on:

- Drought risk and changing rainfall patterns
- Crop yield variability
- Water resource dependency
- Rising input costs related to fertilizers and irrigation

Sustainability and ESG Integration

- The Committee monitored risks related to environmental stewardship, community relations, regulatory compliance and ethical conduct.
- ESG-related KPIs are under review for integration into the risk reporting process.

Strategic and Market Risks

- The Committee evaluated external risks including currency fluctuations, inflationary pressures, and policy changes that could impact exports and the broader agriculture sector.
- The potential impact of the global coconut market and demand shifts for coconut-based products was reviewed in collaboration with the Strategy team.

Meetings and Reporting

The Committee met 04 times during the financial period. Reports summarizing the risk landscape, key exposures, and mitigation actions were submitted to the Board on a quarterly basis. The attendance of the members at these meetings is as follows:

Name of the Member	Attendance				Total Attendance
	26.05.2025	14.08.2025	13.11.2025	12.02.2026	
Mrs. Gillian Edwards (Chairperson)	✓	✓	✓	✓	4/4
Mr. W.V.J.T. Fernando	✓	✓	✓	✓	4/4
Mr. M.A.C.H. Munaweera	✓	✓	✓	✓	4/4
Mr. S.D.S. Gunesekera	✓	✓	-	✓	3/4
Attendance per Day	4/4	4/4	3/4	4/4	

Note:

✓ = Attended
– = Absent

Conclusion

The Committee is satisfied that the Company has established the necessary foundations of a robust risk management framework and is committed to continuously improving its systems in line with industry best practices and stakeholder expectations.

Finance related risk management strategies are discussed in detail in Note 32 in pages 124-126 and the extensive Risk management is outlined in pages 45-48.

On behalf of the Risk Committee;



Mrs. Gillian Edwards
Chairperson- Risk Committee

25th August 2026



Financial Information

Financial Calendar

Financial Statements	2025/26	2024/25
01st Quarter	14.08.2025	13.08.2024
2nd Quarter	13.11.2025	11.11.2024
3rd Quarter	12.02.2026	10.02.2025
4th Quarter	19.05.2026	26.05.2025
Annual General Meeting	30.09.2026	25.09.2025
Annual Report	31.08.2026	31.08.2025

Annual Report of the Board of Directors

General
The Board of Directors of MCPPLC takes pleasure in presenting its Annual Report to the shareholders for the Financial year ended 31st March 2026, together with the audited Financial Statements of the Company, for the said year and the Auditor's Report on those Financial Statements, conforming to the requirements of the Companies Act No 7 of 2007 and listing rules of the Colombo Stock Exchange. The Report is also guided by the recommended best practices on Corporate Governance and accounting practices.

MCPPLC is a Public Limited Liability Company incorporated in Sri Lanka in 1996 under the Companies Act No 17 of 1982 and re-registered as required under the provisions of the Companies Act No 7 of 2007. The re-registration number of the Company is PB 191 PQ.

The Company was listed on the Colombo Stock Exchange under the Diri Savi Board on 3rd June 2019.

The registered office is located at 1/82, Kimbulapitiya Road, Bolawalana, Negombo.

The Financial Statements were reviewed and approved by the Board of Directors on 25th August 2026.

Principal Activities
The Company is engaged in Cultivating and sale of coconuts, manufacturing and sale of Copra, Coco peat, Coir and Coco chips. The Coconut Estate is situated in Aralaganvila in the Polonnaruwa District. The Coconut Estate land of 551.38 Hectares is on lease.

Review of Business and Future Developments
A review of the Company's performance during the Financial year is given in the Chairman's Review on page 9 the Managing Director's/CEO's Review on pages 10-11 and management's review on pages 36-44.

Financial Statements
The Financial Statements of the Company, have been prepared in accordance with Sri Lanka Accounting Standards (SLFRS / LKAS) laid down by the CA Sri Lanka and comply with the requirements of Companies Act No. 07 of 2007.

The aforesaid Financial Statements duly signed by the Financial Controller & two Directors on behalf of the Board and the Auditor's Report are included in this Annual Report and form an integral part of this Report.

The Financial Statements of the Company are given on pages 94-126 of this Annual Report.

Summarized Financial Results

	2025/26 Rs.	2024/25 Rs.
Revenue	456,884,847	415,692,479
Profit before Taxation	164,061,305	201,434,619
Taxation	(43,089,880)	(61,044,411)
Profit After Taxation	120,971,425	140,390,208
Other Comprehensive Income	(2,806,535)	(1,493,237)
Retained Earnings b/f	470,888,011	401,983,270
Declared Dividend	(104,988,345)	(69,992,230)
Retained Earnings c/f	484,064,556	470,888,011

Auditors' Report
The Report of the Independent Auditors on the Financial Statements of the Company is given on pages 92-93.

Accounting Policies and changes during the year
The Financial Statements of the Company have been prepared in accordance with the Sri Lanka Accounting Standards (SLFRS/ LKAS). The significant accounting policies adopted in the preparation of the Financial Statements of the Company are given on pages 98-108.

Donations
The Company made donations amounting to Rs. 161,059/- (2024/25 – Rs.135,793/-) during the year under review for charitable purposes.

Details of material issues pertaining to employees and industrial relations
During the year under review the Company did not have any material issues pertaining to employees and industrial relations

Taxation
A detailed statement of the income tax reconciliation of the accounting profits with the taxable profits is given in Note 25.2 of the Financial Statements. It is the policy of the Company to provide for deferred taxation on all known material timing differences between the carrying amounts of assets and liabilities for Financial reporting purposes.

Capital Expenditure
The carrying value of Property, Plant and Equipment and Electrical Substation are as at 31st March 2026 amounted to Rs. 212,397,067/- (2024/25 - Rs. 197,307,869/-). During the year, the Company has invested a total of Rs. 36,370,198/- in Property, Plant and Equipment and capital work in progress. Out of which, Rs. 520,176/- is utilized for Building, Rs. 201,950/- is utilized to purchase furniture and Fittings, Rs.860,417/- is utilized to purchase Office Equipment, Rs. 520,430/- is utilized to purchase Computer Equipment, Rs. 676,846/- is utilized to purchase Electrical Equipment, Rs. 2,551,604/- is utilized to purchase Field Equipment, Rs. 29,190,219/- is utilized to purchase Motor Vehicles.

Annual Report of the Board of Directors (Contd.)

Furthermore, the Company has spent Rs. 1,848,556 in Capital work in progress (CWIP), the majority of which is incurred for the construction of a garage at the estate.

During the year, the Company disposed of a fully depreciated photocopy machine that had been purchased for Rs. 139,000/-.

The extents, locations, valuations and the number of buildings on the Company's land are as follows.

Place	Location	Extent	Number of Buildings	Value (Rs)
Mahaweli Coconut Plantations PLC - Head Office	Negombo	23.65P (Freehold Land) 1,606.5 sq.ft. (Building)	1	20,095,000 5,663,000
Mahaweli Coconut Plantations PLC - Estate	Aralaganwila	551.38 HA (Lease) 26,872.8 sq.ft (Building)	50	16,541,028 96,999,181

The movement of Property, Plant and Equipment during the year is given in Note 6 to the Financial Statements.

Stated Capital and Reserves

The Stated Capital of the Company as at 31st March 2026 was 384,717,995/- (2024/25 – Rs. 384,717,995/-). The number of shares issued by the Company as at 31st March 2026 is 34,996,115 fully paid ordinary shares. The movement of the Stated Capital & Reserves during the year are given under the Statement of Changes in Equity on page 96.

Capital Commitments and Contingent Liabilities

Details of the Capital Commitments & Contingent Liabilities are disclosed in Note 29 & 28 to the Financial Statements.

Dividend on Ordinary Shares

A final dividend for 2024/25 of Rs. 3/- per share was paid during the year.

The Directors recommended a final dividend of Rs 3/- per ordinary share for the year 2025/26. The final dividend is subject to the approval of shareholders at Annual General Meeting. The dividend is paid out of profits. The Directors are satisfied that the Company would meet the solvency test requirement under Section 56(2) of the Companies Act No. 07 of 2007, immediately after the payment of the final dividend.

Information on the Directors of the Company

The Board of Directors of the Company as at 31st March 2026 consist of ten (10) Directors, with a Broad range of skills, experiences and attributes.

Maximum Number of Directorships

Executive Directors May hold a maximum of five Directorships in the Listed Entities, including their role in the Company. Non-Executive Directors: May hold a maximum of Seven Directorships in the Listed Entities, including their role in the Company.

Board of Directors

The names of Directors who held office during the year under review are as follows.

Mr. S.D.W. Asitha Gunasekara	Chairmen - Non-Executive Non Independent Director
Mr. J.F. Fernandopulle	Managing Director/CEO - Executive Non-Independent Director
Mr. S.J. Watawala	Non-Executive Non-Independent Director
Mr. S.D.S. Gunesekara	Non-Executive Non Independent Director
Mr. G.J.L. Neomal Perera	Non-Executive Non Independent Director
Mr. A.J. Shamendra Jayakody	Non-Executive Non Independent Director
Mr. M.D.J.P. Nilantha Perera	Non-Executive Non Independent Director
Mrs. Gillian Edwards	Non-Executive Independent Director
Mr. M.A.C.H. Munaweera	Non-Executive Independent Director
Mr. W.V.J.T. Fernando	Non-Executive Independent Director

Directors' Responsibilities for Financial Reporting

The Statement of the Directors' Responsibilities is given on page 90.

Register of Directors and Secretaries

As required under Section 223 (1) of the Companies Act No 7 of 2007, the Company maintains a Register of Directors and Secretaries which contains the name, surname, former name (if any), residential address, business occupation, dates of appointment and dates of resignation (if applicable) of each Director and the Secretary.

Annual Report of the Board of Directors (Contd.)

Independence of Directors
The Board has made a determination as to the independence of each Non-Executive Director and confirms that three out of the nine Non-Executive Directors (1/3) meet the criteria of independence as per the listing rules.

Each of the Independent Directors have submitted a signed and dated declaration of his independence against the specified criteria.

Fit and Proper Assessment of Directors
In terms of Rule 9.7.4 of the Listing Rules of the Colombo Stock Exchange, Declarations were obtained from the Directors who confirmed that they have continuously satisfied the Fit and Proper Assessment Criteria set out in the Listing Rules during the financial year under review and as at the date of such Declarations.

Board Sub-Committees

Audit Committee
Mrs. Gillian Edwards (Chairperson)
Mr. W. V. J. T. Fernando
Mr. M. A.C. H. Munaweera
Mr. S. D. S. Gunesekera
Mr. G. J. L. Neomal Perera

Remuneration Committee
Mr. M. A.C. H. Munaweera (Chairperson)
Mrs. Gillian Edwards
Mr. W. V. J. T. Fernando
Mr. S. D. W. Asitha Gunasekera
Mr. A. J. Shamendra Jayakody

Related Party Transactions Review Committee
Mr. W. V. J. T. Fernando (Chairperson)
Mr. S. D. S. Gunesekera
Mr. G. J. L. Neomal Perera
Mrs. Gillian Edwards
Mr. M. A.C. H. Munaweera

Risk Committee
Mrs. Gillian Edwards (Chairperson)
Mr. W. V. J. T. Fernando
Mr. M. A.C. H. Munaweera
Mr. S. D. S. Gunesekera

Nominations and Governance Committee
Mr. M. A.C. H. Munaweera (Chairperson)
Mr. W. V. J. T. Fernando
Mrs. Gillian Edwards
Mr. S. D. S. Gunesekera

The reports of the Audit Committee, Remuneration Committee, Related Party Transactions Review Committee, Nominations and Governance Committee & Risk Committee are given on pages 74-82 respectively.

Re-election/ re-appointment/ resignation of Directors
Mrs. Gillian Edwards, Mr. W. V. J. T. Fernando and Mr. S.D.W. Asitha Gunasekera retire by rotation in terms of Article 77-79 of the Articles of Association of the Company and offers themselves for election at the Annual General Meeting to be held on 30th September 2026.

The Board has recommended that Mr. S. J. Watawala, Mr. J. F. Fernandopulle, Mr. S.D.S. Gunesekera and Mr. M. A. C. H. Munaweera, who are over 70 years of age and vacate office in terms of Section 210 of the Companies Act, be re-appointed as Directors in terms of Section 211 of the Companies Act, specially declaring that the age limit stipulated in Section 210 of the Companies Act shall not apply to the said Directors, and also Mr. M. A. C. H. Munaweera, be re-appointed as Independent Non-Executive Director in terms of Listing Rules 9.8.3.(ix).

Interest Register
The Company maintains an interest register in terms of the Companies Act No. 07 of 2007, which is deemed to form part and partial of this Annual Report and is available for inspection upon request.

All related party transactions which encompass the transactions of Directors who were directly or indirectly interested in a contract or a related party transaction with the Company during the accounting period are recorded in the Interest Register in due compliance with the applicable rules and regulations of the relevant Regulatory Authorities.

The relevant interests of the Directors in the shares of the Company as at 31st March 2026 as recorded in the Interest Register is given in this Report under Directors' Shareholding.

Directors' Interests in Contracts
The Directors' have no direct or indirect interest in any other contract or proposed contract with the Company except for the transactions referred to in Note 31 in pages 122 - 124 of the Financial Statements.

Directors' Interest in Shares
The relevant interests of Directors in the shares of the Company as at 31st March 2026 and 31st March 2025 are as follows:

Directors' Name	No. of Shares as at 31.03.2026	No. of Shares as at 31.03.2025
Mr. S.D.W. Asitha Gunasekera	1,088	1,088
Mr. J.F. Fernandopulle	758,876	758,876
Mr. S.D.S. Gunesekara	11,504	11,504
Mr. S.J. Watawala	881,847	881,847
Mr. G.J.L. Neomal Perera	777,733	777,733
Mr. A.J. Shamendra Jayakody	2,548	2,548
Mr. M.D.J.P. Nilantha Perera	280,504	280,504

Annual Report of the Board of Directors (Contd.)

Directors' Remuneration
Director's remuneration and other benefits in respect of the Company for the Financial year ended 31st March 2026 is given in Note 31.3 to the Financial Statements.

Related Party Transactions
The Directors declare that the Company is in compliance with the section 9 of the Listing Rules of the Colombo Stock Exchange pertaining to Related Party Transactions during the Financial year ended 31st March 2026.

Details of the Related Party Transactions Review Committee and its Report are given on pages 77 -78.

Related party transactions of the Company are disclosed in Note 31 to the Financial Statements. These interests have been duly declared by the Directors.

There were no non-recurrent related party transactions which in aggregate value exceeding lower of 10% of the equity or 5% of the total assets of the Company as per the audited Financial Statements as at 31st March 2026, which required additional disclosures in the annual report under Listing Rule 9.14.8(1).

Events occurring after the date of the Statement of Financial Position
The events occurring after the date of Statement of Financial Position, have been disclosed in Note 30 in the Financial Statements.

Going Concern
The Board of Directors after considering the Financial position, operating conditions, regulatory and other factors have a reasonable expectation that the Company possess adequate resources to continue its operations without any disruption in the foreseeable future. Accordingly, the Financial Statements of the Company is prepared based on the going concern principles.

Auditors
The Financial Statements for the year ended 31st March 2026 were audited by Kreston MNS & Co., Chartered Accountants.

The Auditors have confirmed that they have had no interest in or relationship with the Company than that of Auditors. They confirm that they are independent in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of Sri Lanka.

The Auditors were paid Rs. 1,497,790/- as Audit Fees by the Company.

The Auditors have expressed their willingness to continue in office. A resolution to re-appoint the Auditors and to authorize the Directors to determine their remuneration will be proposed at the Annual General Meeting.

Risk Management
The Board of Directors confirms that there is an ongoing process of identifying, evaluating and managing any significant risk faced by the Company. These are identified and the specific steps adopted by the Company are detailed on page 82 of this Annual Report.

Public Holdings
A percentage of 91% of the issued shares of the Company are held by the public comprising of 1,199 shareholders as at the end of the year.

Major Shareholding
Details of the major shareholders of the Company as at 31st March 2026 are given under largest shareholdings on page 129.

Stock Market Information
Information relating to trading of shares of the Company is given under shareholder information on page 129.

Corporate Governance
The Board of Directors are responsible for the governance of the Company. The Board has placed considerable emphasis on developing rules, structures and process to ensure integrity and transparency in all the dealings of the Company and adopting good governance in managing the affairs of the Company. The Board in the discharge of its responsibilities aforesaid had been guided by the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka and the Listing Rules of the Colombo Stock Exchange.

The Board of Directors confirm that the Company is compliant with Section 9 of the Listing Rules of the Colombo Stock Exchange.

The Corporate Governance practices of the Company are set out on pages 55 - 72.

Internal Controls
The Board of Directors ensures that the Company has an effective internal control system which ensures that the assets of the Company are safeguarded and appropriate systems are in place to minimize and detect fraud, errors and other irregularities. The system ensures that the Company adopts procedures which result in Financial and operational effectiveness and efficiency. The Audit Committee Report set out in this Annual Report provide further information in respect of the above.

Statutory Payments
The Directors to the best of their knowledge and belief are satisfied that all statutory Financial obligations to the Government and to the employees have been either duly paid or adequately provided in the Financial Statements. A confirmation of same is included in the Statement of Directors' Responsibilities of this Annual Report.

Annual Report of the Board of Directors (Contd.)

Policies

The Company has adopted the following policies with effect from 28th October 2024 and has uploaded them to the Company's website.

1. Policy on the matters relating to the Board of Directors.
2. Policy on Board Committees.
3. Policy on Corporate Governance, Nominations and Re-election.
4. Policy on Remuneration.
5. Policy on Internal Code of Business conduct and Ethics for all Directors and employees, including policies on trading in the Entity's listed securities.
6. Policy on Risk management and Internal controls.
7. Policy on Relations with Shareholders and Investors.
8. Policy on Environmental, Social and Governance Sustainability.
9. Policy on Control and Management of Company Assets and Shareholder Investments.
10. Policy on Corporate Disclosures.
11. Policy on Whistle-blowing.
12. Policy on Anti-Bribery and Corruption.

Annual General Meeting

The Notice of the twenty ninth Annual General Meeting is given in Page 138-139. The 29th Annual General Meeting of the Company will be held on 30th September 2026 at 10.30 a.m. at Avenra Garden Hotel, Negombo.

Acknowledgement of the Contents of the Report

As required by Section 168 (1) (k) of the Companies Act No. 07 of 2007 the Board of Directors hereby acknowledge the contents of this Report.

For and on behalf of the Board,



Mr. S. D. W. Asitha Gunasekera
Chairman



Mr. J. F. Fernandopulle
Managing Director/CEO



Kalrupco Management Services (Private) Limited Company
Secretaries

Reg. No. RCS2000144
Colombo.

25th August 2026

Statement of Directors' Responsibility for Financial Reporting

The Companies Act No. 7 of 2007 requires the Directors of the Company to be responsible for the preparation and presentation of the Financial Statements and other statutory reports. The responsibilities of the Directors, in relation to the Financial Statements of MCPPLC are set out in this report.

The Directors confirm that the Financial Statements and other statutory reports of the Company for the year ended 31st March 2026 incorporated in this report have been prepared in accordance with the Companies Act No. 7 of 2007, the Sri Lanka Accounting Standards (SLFRS/LKAS) and the Listing Rules of the Colombo Stock Exchange.

The Directors have taken appropriate steps to ensure that the Company maintains adequate and accurate records which reflect the true Financial Position of the Company. The Directors have taken appropriate and reasonable steps to safeguard the assets of the Company. The Directors have instituted appropriate systems of internal control in order to minimize and detect frauds, errors and other irregularities. The Directors in maintaining a sound system of internal control and in protecting the assets of the Company, have further adopted risk management strategies to identify and evaluate the risks which the Company could be exposed to and its impact to the Company.

The Company has adequate resources to continue in operation. The Directors have adopted the going concern basis in preparing the Financial Statements. The Financial Statements presented in this Annual Report for the year ended 31st March 2026, have been prepared based on the Sri Lanka Accounting Standards (SLFRS/LKAS). The Directors have selected the appropriate accounting policies and such policies adopted by the Company are disclosed and explained in the Financial Statements.

The Board of Directors confirm that the Company's Statements of Financial Position and the Statement of Comprehensive Income, for the Financial year ended 31st March 2026 reflect a true and fair view of the Company.

The Directors have provided the Auditors with every opportunity to carry out any reviews and tests that they consider appropriate and necessary for the performance of their duties. The responsibility of the Independent Auditors in relation to the Financial Statements is set out in the Independent Auditors Report.

The Directors confirm that to the best of their knowledge all payments to employees, regulatory and statutory authorities due and payable by the Company has been either duly paid or adequately provided for in the Financial Statements. The Directors further confirm that they promote the highest ethical, environmental and safety standards within the Company. The Directors also ensure that the relevant national laws and codes of regulatory authorities and professional institutes have been complied with by the Company.

By Order of the Board,
Mahaweli Coconut Plantations PLC

Kalrupco Management Services (Private) Limited
Company Secretaries

Reg. No. RCS2000144
Colombo.

25th August 2026

Managing Director's/CEO's and Financial Controller's Responsibility Statement

The Financial Statements of MCPPLC are prepared in compliance with the Sri Lanka Accounting Standards issued by The Institute of Chartered Accountants of Sri Lanka, Companies Act No.07 of 2007, Sri Lanka Accounting and Auditing Standards Act No.15 of 1995, Code of Ethics issued by CA Sri Lanka and the Listing Rules of the Colombo Stock Exchange. The accounting policies used in the preparation of the Financial Statements are appropriate and are consistently applied by the Company. There are no departures from the prescribed Accounting Standards in their adoption. Comparative information is reclassified wherever necessary to comply with the current presentation.

The significant accounting policies and estimates that involve a high degree of judgment and complexity were discussed with our External Auditors and the Audit Committee.

The Board of Directors and Financial Controller of the Company accept responsibility for the integrity and objectivity of these Financial Statements. The estimates and judgments relating to the Financial Statements were made on a prudent and reasonable basis, in order that the Financial Statements give a true and fair view of the state of affairs, the forms and substance of transactions and that the Company's state of affairs is reasonably presented. To ensure this, the Company has taken proper and sufficient care in installing a system of internal controls and accounting records, for safeguarding assets and for preventing and detecting fraud as well as other irregularities, which is reviewed, evaluated, and updated on an ongoing basis. Our Internal Auditors have conducted Audits to provide reasonable assurance that the established policies and procedures of the Company were consistently followed. However, there are inherent limitations that should be recognized in weighing the assurance provided by any system of internal controls and accounting.

The Financial Statements of the Company were audited by Messrs Kreston MNS & Co Chartered Accountants and their report is given on pages 92-93 to of this Annual Report.

The Audit Committee of the Company meets periodically with the Internal Audit Team and the External Auditors to review their audit plans, assess the manner in which these Auditors are performing their responsibilities and to discuss their reports on, internal controls and Financial reporting issues. To ensure complete independence, the External Auditors and the Internal Auditors have full and free access to the members of the Audit Committee to discuss any matters of substance.

We confirm that the Company has complied with all applicable laws, regulations guidelines and that there are no material litigations that are pending against the Company

Mr. J. F. Fernandopulle
Managing Director/CEO

Mr. J. Kaneshwaran
Financial Controller

25th August 2026

Independent Auditor's Report

KRESTON SRI LANKA

Kreston MNS & Co
Chartered Accountants
Level 1 & 2, Advantage Building
74A, Dharmapala Mawatha
Colombo 07

Tel: + 94 (0) 11 2323571-3
+ 94 (0) 11 2301396-7
Email: audit@kreston.lk
Web: www.kreston.lk

INDEPENDENT AUDITOR'S REPORT
TO THE SHAREHOLDERS OF MAHAWELI COCONUT PLANTATIONS PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the Financial Statements of **MAHAWELI COCONUT PLANTATIONS PLC** (the Company), which comprise the Statement of Financial Position as at 31st March 2026, and the Statement of Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and notes to the Financial Statements, including material accounting policy information exhibited on 94 to 126.

In our opinion, the accompanying Financial Statements of the Company give a true and fair view of the Financial Position of the Company as at 31st March 2026, and of its Financial Performance and its Cash Flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued for professional Accountants issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Financial Statements of the current period. These matters were addressed in the context of our audit of the Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key Audit Matter	How our audit addressed the Key Audit Matter
Consumable biological Asset As at 31st March 2026, 21.81% of the total assets of the Company consisted of consumable biological assets amounting to Rs. 234.08 Mn which are carried at fair value and the fair value Gain of Rs. 7.59 Mn on such valuation has been included in the current year performance of the Company. The valuation of consumable biological assets involves use of significant assumptions, technical expertise, and discounted cash flow model. Due to changes in the key assumptions used such as discount rate and expected timber volume to value, the valuation of Company's consumable biological asset could have a material impact on the Statement of Comprehensive Income and the Statement of Financial Position of the Company. Accordingly, valuation of consumable biological assets has been considered as a Key Audit Matter.	Our audit procedures focused on the valuation performed by the Management's external valuer, which included among others the following procedures; • We evaluated the competence, capability and objectivity of the external valuer engaged by the Company. • We assessed the tree census records maintained by the Company and cross checked whether the number of trees as per valuation report are consistent with that of the census report. • We read the external valuer's report and understood the fair value methodology and inputs used (such as discount rate and expected timber volume) in the valuations. We evaluated the adequacy of the related disclosures given in Note 10 in the Financial Statements

Member of Kreston Global UK
Correspondent firm within Grant Thornton International Ltd. (Grant Thornton International)
Grant Thornton International and the member and correspondent firms are not a worldwide partnership.
Partners
S Rajanathan FCA, FCMA (UK) | Ms. H D S C A Tillekeratne FCA, ACCA (UK), ACMA | K I Skandadasan B.Sc. (Madras), FCA, ACMA I
R L R Balasingham FCA, ACCA (UK), ACMA | N K G V Bandara B.Sc.(Acc) Sp. FCA, ACCA (UK), ACMA | Ms.S. Sawumiya BBA (Acc) Sp. FCA, ACCA (UK) |
P. Dharshan ACA, ACCA (UK), | M.F.M. Mujahid BBA (Col), MBA (PIM-SJP), FCA, CISA, ACCA (UK) | P.Vinoth ACA, MAAT, CTA-SL
Branches
Anuradhapura, Badulla, Batticaloa, Hatton, Jaffna, Kandy, Negombo, Nuwara Eliya, Trincomalee

Independent Auditor's Report (Contd.)

Other Information

Management is responsible for the other information. The other information comprises the information included in the Annual Report, but does not include the Financial Statements and our auditor's report thereon. Our opinion on the Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon. In connection with our audit of the Financial Statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the Financial Statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of Financial Statements in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of Financial Statements that are free from material misstatement, whether due to fraud or error.

In preparing the Financial Statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Financial Statements.

As part of an Audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Financial Statements, including the disclosures, and whether the Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 7393.



CHARTERED ACCOUNTANTS

COLOMBO
25th August 2026

Statement of Financial Position

AS AT	Note	31.03.2026 Rs.	31.03.2025 Rs.
Assets			
Non-Current Assets			
Right of use Assets - Land	5	**3,087,676**	4,029,762
Property, Plant & Equipment	6	**205,350,777**	189,994,493
Electrical Substation	7	**7,046,290**	7,313,376
Intangible Assets	8	**35,951**	71,951
Bearer Biological Assets	9	**65,008,949**	89,977,437
Consumable Biological Assets	10	**234,083,000**	233,040,000
Total Non-Current Assets		**514,612,643**	524,427,019
Current Assets			
Inventories	11	**64,343,751**	72,688,296
Trade & Other Receivables	12	**47,060,912**	64,684,999
Short Term Investments	13	**377,712,142**	365,135,200
Cash at Bank & In Hand	15	**69,575,672**	83,625,770
Total Current Assets		**558,692,477**	586,134,265
Total Assets		**1,073,305,120**	1,110,561,284
Equity and Liabilities			
Capital & Reserves			
Stated Capital	16	**384,717,995**	384,717,995
Retained Earnings		**484,064,556**	470,888,011
Total Equity		**868,782,551**	855,606,006
Advance Received for Allotment of Shares		**16,319,276**	16,319,276
Shareholders Funds		**885,101,827**	871,925,282
Non-current Liabilities			
Obligation under Right of use Assets - Land on Lease	17	**10,631,869**	17,880,522
Retirement Benefit Obligation	18	**21,501,558**	18,024,364
Deferred Tax Liability	19	**89,382,993**	94,429,940
Total Non-Current Liabilities		**121,516,420**	130,334,826
Current Liabilities			
Trade & Other Payables	20	**41,245,797**	45,530,726
Obligation under Right of use Assets - Land on Lease	17	**7,377,871**	7,000,865
Income Tax Payable	14	**8,707,449**	49,998,179
Bank Overdraft	15	**9,355,756**	5,771,406
Total Current Liabilities		**66,686,873**	108,301,176
Total Liabilities		**188,203,293**	238,636,002
Total Equity & Liabilities		**1,073,305,120**	1,110,561,284

Figures in bracket indicate deductions.

The Financial Statements are to be read in conjunction with the related notes, which form a part of the Financial Statements of the Company set out on pages 98 to 126.

I certify that the above Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 07 of 2007.

Financial Controller
Mr. J. Kaneshwaran

The Board of Directors is responsible for the preparation and presentation of these Financial Statements.
Approved and signed for and on behalf of the Board of Directors.

Chairman
Mr. S.D.W Asitha Gunasekara

Managing Director/CEO
Mr. J. F. Fernandopulle

25th August 2026

Statement of Comprehensive Income

FOR THE YEAR ENDED	Note	31.03.2026 Rs.	31.03.2025 Rs.
Revenue	21	**456,884,847**	415,692,479
Cost of Sale		**(291,043,241)**	(213,793,837)
Gross Profit		**165,841,606**	201,898,642
Other Income	22	**28,877,100**	6,728,144
Gain on change in Fair Value of Biological Assets		**7,593,995**	19,740,000
Administration Expenses		**(68,031,590)**	(52,655,983)
Other Expenses		**(1,666,438)**	(171,799)
Results from Operating Activities		**132,614,673**	175,539,004
Finance Costs	23	**(2,391,256)**	(3,769,569)
Finance Income	23	**33,837,888**	29,665,184
Net Finance Income		**31,446,632**	25,895,615
Profit before Taxation	24	**164,061,305**	201,434,619
Taxation	25	**(43,089,880)**	(61,044,411)
Profit for the year		**120,971,425**	140,390,208
Other Comprehensive Income			
Other Comprehensive Income not to be reclassified to profit or loss in the subsequent period (net of tax)			
Actuarial Gain / (Loss) on Retirement Benefit Obligation	18.2	**(4,009,335)**	(2,133,196)
Tax effect on Actuarial Gain / (Loss) on Retirement Benefit Obligation	25	**1,202,800**	639,959
Net Other Comprehensive Income not to be reclassified to profit or loss in the subsequent period (net of tax)		**(2,806,535)**	(1,493,237)
Total Other Comprehensive Income for the year, net of tax		**(2,806,535)**	(1,493,237)
Total Comprehensive Income for the Year (net of tax)		**118,164,890**	138,896,971
Earnings per Share (Rs.) - Basic	26	**3.46**	4.01
- Diluted	26	**3.46**	4.01
Dividend per Share (Rs.)	27	**3.00**	2.00

Figures in bracket indicate deductions.

The Financial Statements are to be read in conjunction with the related notes, which form a part of the Financial Statements of the Company set out on pages 98 to 126.

Statement of Changes in Equity

FOR THE YEAR ENDED 31ST MARCH 2026	Note	Stated Capital Rs.	Retained Earnings Rs.	Total Rs.
Balance as at 1st April 2024		384,717,995	401,983,270	**786,701,265**
Final Dividend for 2023/2024	33	-	(69,992,230)	**(69,992,230)**
Transactions with owners		-	(69,992,230)	**(69,992,230)**
Profit for the year		-	140,390,208	**140,390,208**
Other comprehensive income for the year net of tax		-	(1,493,237)	**(1,493,237)**
Total comprehensive income for the year net of tax		-	138,896,971	**138,896,971**
Balance on 31st March 2025		384,717,995	470,888,011	**855,606,006**
Balance as at 1st April 2025		384,717,995	470,888,011	**855,606,006**
Final Dividend for 2024/2025	33	-	(104,988,345)	**(104,988,345)**
Transactions with owners		-	(104,988,345)	**(104,988,345)**
Profit for the year		-	120,971,425	**120,971,425**
Other comprehensive income for the year net of tax		-	(2,806,535)	**(2,806,535)**
Total comprehensive income for the year net of tax		-	118,165,890	**118,165,890**
Balance on 31st March 2026		384,717,995	484,064,556	**868,782,551**

Figures in bracket indicate deductions.

The Financial Statements are to be read in conjunction with the related notes, which form a part of the Financial Statements of the Company set out on pages 98 to 126.

Statement of Cash Flows

FOR THE YEAR ENDED	Note	31.03.2026 Rs.	31.03.2025 Rs.
CASH FLOW FROM OPERATING ACTIVITIES			
Net Profit before Taxation		**164,061,305**	201,434,619
Adjustments for:			
Finance Income	23	**(33,837,888)**	(29,665,184)
Finance Cost	23	**2,391,256**	3,769,569
Depreciation of Property, Plant & Equipment	6	**21,013,914**	14,834,378
Amortisation of Intangible Assets	8	**36,000**	36,000
Amortisation of Right of use of Land on Lease	5	**942,086**	942,086
Immature Bearer Biological Assets transfer to Statement of Comprehensive Income	9	**783,240**	77,663
Work in Progress transfer to Expenses	6	**-**	1,376,101
Amortisation of Electrical Substation	7	**267,086**	267,086
Depreciation on Bearer Biological Assets	9	**25,244,254**	25,244,254
Provision for Gratuity	18	**4,351,182**	3,367,456
Loss / (Profit) on changes in Fair Valuation of Consumable Biological Assets	10	**(7,593,995)**	(19,740,000)
Loss / (Profit) on Sale of Teak Trees		**1,550,995**	-
Loss / (Profit) on Disposal of Fixed Assets		**(10,000)**	50,668
Unclaimed Dividend Written Back	22	**(9,046,302)**	-
Reversal of Interest Expense on unalloted Shares	22	**(3,263,852)**	-
Fertilizer Written Off		**619,250**	-
Profit from operations before changes in working capital		**167,508,530**	201,994,696
Changes in Working Capital			
(Increase) / Decrease in Inventories	11	**8,344,545**	(13,130,867)
(Increase) / Decrease in Trade & Other Receivables	12	**(1,621,705)**	(2,021,664)
Increase / (Decrease) in Trade & Other Payables	20	**8,025,225**	5,611,350
Cash Generated from Operations		**182,256,595**	192,453,515
Gratuity Paid	18	**(4,883,323)**	(985,970)
Tax Paid	14	**(84,979,976)**	(7,049,429)
WHT	14	**(3,244,780)**	(1,720,044)
Net Cash Generated from Operating Activities		**89,148,516**	182,698,072
CASH FLOW FROM INVESTING ACTIVITIES			
Acquisition of Property, Plant & Equipment	6	**(34,521,641)**	(41,650,414)
Sales Proceed of Property, Plant & Equipment		**10,000**	-
Addition to Bearer Biological Assets - Immature	9	**(1,059,006)**	(866,236)
Expenditure on Capital Work In Progress	6	**(1,848,556)**	(28,177,636)
Net Investment in Fixed Deposits	13	**(11,530,515)**	(99,783,301)
Interest Received		**32,791,461**	34,466,675
Cash Received from Teak Sale Debtors		**23,626,542**	45,072,000
Net Cash used in Investing Activities		**7,468,285**	(90,938,912)
CASH FLOW FROM FINANCING ACTIVITIES			
Payment to Mahaweli Authority of Sri Lanka	17	**(9,262,903)**	(6,586,793)
Dividend Paid	33	**(104,988,345)**	(69,992,230)
Net Cash used in Financing Activities		**(114,251,248)**	(76,579,023)
Net Increase / (Decrease) in Cash and Equivalents		**(17,634,448)**	15,180,137
Cash and Cash Equivalents at the Beginning of the year	15	**77,854,364**	62,674,227
Cash and Cash Equivalents at the End of the year	15	**60,219,916**	77,854,364

Figures in bracket indicate deductions.

The Financial Statements are to be read in conjunction with the related notes, which form a part of the Financial Statements of the Company set out on pages 98 to 126.

NOTES TO THE FINANCIAL STATEMENTS

1. REPORTING ENTITY

1.1 Domicile and Legal Form

Mahaweli Coconut Plantations PLC is a Public Limited Liability Company, incorporated on 29th October 1996 under the Companies Act No. 17 of 1982 and domiciled in Sri Lanka. The Company was re- registered under the Companies Act No. 07 of 2007 on 06th February 2008. (Registration No. (PB) 191). The registered office of the Company is located at No. 1/82, Kimbulapitiya Road, Bolawalana, Negombo. The Coconut Plantation is on lease land obtained from the Mahaweli Authority of Sri Lanka and is situated in Mahaweli System B Pimburettewa. Aralaganvila.

The Ordinary Shares of the Company are listed on the Diri Savi Board of the Colombo Stock Exchange of Sri Lanka from 03.06.2019.

1.2 Principal Business Activities and Nature of Operations

The Company is primarily involved in the Cultivation of Coconuts & manufacturing of Copra, Coco peat and Coir and sale of Coconuts, Copra, Coco peat & Coir.

1.3 Date of authorization of issue.

The Financial Statements for the year ended 31st March 2026 were authorised for issue by the Board of Directors on 25th August 2026.

2. BASIS OF PREPARATION

2.1 Statement of Compliance

The Financial Statements of the Company comprise of Statement of Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity and Statement of Cash Flows together with the significant Accounting Policies and notes to the Financial Statements.

The Financial Statements of the Company have been prepared and presented in accordance with Sri Lanka Accounting Standards, which comprises Sri Lanka Accounting Standards (LKAS / SLFRS) and in compliance with the requirement of the Companies Act No. 07 of 2007.

These Financial Statements except for information on cash flows have been prepared following the accrual basis of accounting.

2.2 Basis of Measurement

The Financial Statements have been prepared on the historical cost basis except for the following material items appearing in the statement of financial position: -

- Retirement benefit obligation has been recognized as the present value of the defined benefit obligation based on actuarial valuation as per LKAS 19 “Employee Benefits” (Note 18)
- Consumable biological assets are measured at fair value as per LKAS 41 “Agriculture”. (Note 10)
- Agriculture produce harvested from bearer biological assets is measured at fair value less cost to sell as per LKAS 41 “Agriculture” (Note 11)

2.3 Directors’ Responsibility for the Financial Statements

The Board of Directors is responsible for the preparation and fair presentation of these Financial Statements in accordance with Sri Lanka Accounting Standards and as per the provisions of the Companies Act No. 07 of 2007. This responsibility includes:

Designing, Implementing and maintaining internal controls relevant to the preparation and fair presentation of Financial Statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

2.4 Comparative Information

Except when a standard permit or requires otherwise, comparative information is disclosed in respect of the previous period. Where the presentation or classification or items in the Financial Statements are amended, comparative amounts are reclassified unless it is impracticable.

2.5 Going Concern

The Board of Directors have made an assessment of the Company’s ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the Board is not aware of any material uncertainties that may cast significant doubt upon the Company’s ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the Company. Therefore, the Financial Statements continue to be prepared on the going concern basis.

2.6 Materiality and Aggregation

Each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or function are presented separately unless they are immaterial as permitted by the Sri Lanka Accounting Standard 01 on “Presentation of Financial Statements”.

2.7 Use of estimates and judgements

The preparation of Financial Statements in conformity with LKAS/SLFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amount of assets, liabilities, income and expenses. Actual results may differ from these estimates.

NOTES TO THE FINANCIAL STATEMENTS (CONTD.)

2.7 Use of estimates and judgements (Contd.)

Estimates and assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances and the results form the basis of making the judgements about the carrying amount of assets and liabilities that are not readily apparent from other sources.

Estimates and assumptions are reviewed on an on going basis. Revision to accounting estimates are recognized in the period in which the estimate is revised and in any future period affected.

Information about critical judgements in applying accounting policies that have the most significant effect on the amounts recognized in the Financial Statements are included in respective note to the Financial Statements.

2.8 Functional & Presentation currency

Items included in the Financial Statements are measured using the currency of the primary economic environment in which the entity operates (the functional currency). The Financial Statements are presented in Sri Lankan Rupees (LKR), which is the Company's functional and presentation currency. All financial information presented in Sri Lankan Rupees has been rounded to the nearest Rupee.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Overall Considerations

The significant accounting policies that have been used in the preparation of these Financial Statements are summarised below.

3.1 Fair Value Measurement

The Company measures non-financial assets at fair value at each statement of financial position date. Fair value related disclosures for non-financial assets that are measured at fair value or where fair values are disclosed, are summarised in the following notes:

- Managed Consumable Biological Assets - Note 10
- Agriculture Produce from Bearer biological assets - Note 11

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability; Or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the Financial Statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities

Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the Financial Statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

External valuers are involved for valuation of significant assets, such as managed biological assets. Involvement of external valuers is decided upon annually by the Management Committee after discussion with and approval by the Company's Audit Committee. Selection criteria include market knowledge, reputation, independence and whether professional standards are maintained. The Management Committee decides, after discussions with the Company's external valuers, which valuation techniques and inputs to use for each case.

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

3.2 Foreign currency transactions

Foreign currency transactions are translated into the

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

3. Summary of Significant Accounting Policies (Contd.)

3.2 Foreign currency transactions (Contd.)

functional currency using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognized in the Statement of Comprehensive Income. Monetary assets and liabilities balances are translated at year end exchange rates.

Non-monetary items measured at historical cost or fair value are translated at the rates prevailing on the date of the transaction.

3.3 Right of Use Land on Lease

The Company recognises right of use assets when the underlying asset is available for use. Right of use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right of use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received.

The right-of-use asset is subsequently amortised using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Company by the end of the lease term or the cost of the right-of use asset reflects that the Company will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

3.4 Property, Plant and Equipment

3.4.1 Cost

Property, Plant and Equipment are recognized if it is probable that future economic benefits associated with the assets will flow to the Company and the cost of the asset can be measured reliably. All Property, Plant and Equipment are measured at cost less accumulated depreciation and accumulated impairment loss. The cost includes expenditure that is directly attributable to the acquisition of assets. The cost of self-constructed assets includes the cost of materials direct labour, any other cost directly attributable to bringing the asset to a working condition for its intended use, and the costs of dismantling, removing and restorating, the site on which they are located.

3.4.2 Subsequent Cost

Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company, the cost of the item can be measured reliably.

All other repairs & maintenance are charged to the Statement of Comprehensive Income as an expense as incurred.

3.4.3 Derecognition

The carrying amount of any component accounted for as a separate asset is derecognised upon replacement, disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset is included in the Statement of Comprehensive Income in the year the assets is derecognised.

3.4.4 Depreciation

Depreciation is charged so as to allocate the cost of assets less their residual values over their estimated useful lives, using the straight-line method. The following useful lives are used for the depreciation of Property, Plant & Equipment:

Freehold Assets	Years
Buildings	30
Motor Vehicles	5
Furniture & Fittings	10
Equipment & Machinery	8 - 13

Depreciation of an asset begins from the month the asset is available for use and ceases at the month in which the asset is disposed

The assets residual values and, useful lives are reviewed and adjusted if appropriate at the end of each financial year.

3.4.5 Impairment of non-financial assets

The carrying amounts of the Company's non-financial assets, other than deferred tax assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

The recoverable amount of an asset or cash generating unit is the greater of its value in use and its fair value less costs to sell.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

3. Summary of Significant Accounting Policies (Contd.)

3.4.5 Impairment of non-financial assets (Contd.)

are largely independent of the cash inflows of other assets or groups of assets (the "cash generating unit, or CGU").

An impairment loss is recognized if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognized in the Statement of Comprehensive Income.

In respect of other assets, impairment losses recognized in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognized.

Financial assets are initially recognized at fair value plus transaction costs for all financial assets not carried at FVTPL. Financial assets carried at FVTPL are initially recognized at fair value and transaction costs are expensed in the Statement of Comprehensive Income.

3.4.6 Capital work-in-progress

Capital work-in-progress is stated at cost less any accumulated impairment losses. These are expenses of a capital nature directly incurred in the construction of buildings, major plant and machinery and system development, awaiting capitalisation. The expenditure incurred in the course of construction of Property, Plant and Equipment during the year is presented in Note 06. Capital work- in-progress would be transferred to the relevant asset when it is available for use.

3.5 Electrical Substation

Electrical Substation is carried at cost less accumulated amortisation and any accumulated impairment losses. Amortisation is calculated on a straight line basis over their estimated useful lives of 30 years. Residual values are assumed to be zero.

3.6 Intangible Assets

Intangible assets include computer software carried at cost less accumulated amortisation and any accumulated impairment losses. Amortisation is calculated on a straight line basis over their estimated useful lives of 5 years. Residual values are assumed to be zero.

All amortisation charges are expensed to the Statement of Comprehensive Income.

3.7 Biological Assets

Biological assets are classified in to mature biological assets and immature biological assets. Mature biological assets are those that have attained harvestable specifications or are able to sustain regular harvests.

Immature biological assets are those that have not yet attained harvestable specifications.

Biological assets are further classified as bearer biological assets and consumable biological assets.

The entity recognizes the biological assets when, and only when, the entity controls the assets as a result of past event, it is probable that future economic benefits associated with the assets will flow to the entity and the fair value or cost of the assets can be measured reliably.

3.7.1 Bearer Biological Asset (Coconut Plantation)

Bearer biological asset includes coconut trees, those that are not intended to be sold or harvested, however used to grow for harvesting agricultural produce from such biological assets. The costs of new planting are classified as immature plantations up to the time of harvesting the Crop. The costs of areas coming into bearing are transferred to mature plantations at the time the Bearer biological asset is ready to harvest and are depreciated over their useful life period, in terms of LKAS16 - Property, Plant and Equipment.

The useful life used for this purpose,

Coconut Plantation	20 Years

3.7.2 Infilling Cost

Where Infilling results in an increase in the economic life of relevant fields beyond its previously assessed standard of performance, the costs are capitalised in accordance with Sri Lanka Accounting Standard LKAS 16 Property, Plant & Equipment and depreciated over useful life applicable to mature plantations.

Infilling costs that are not capitalised are charged to the Statement of Comprehensive Income in the year in which they are incurred.

3.7.3 Consumable Biological Asset (Teak Plantation)

Consumable biological assets include managed teak trees those that are to be harvested as agricultural produce or sold as biological assets. The managed teak trees are measured on initial recognition and at the end of each reporting period at its fair value less cost to sell in terms of LKAS 41. Cost to sell include all cost that would be necessary to sell assets, including transportation cost if any. The Fair Value of consumable biological assets is determined based on a valuation carried out by a qualified valuer. When determining the fair value of biological assets, the number of trees in the plantations are physically verified together with their height and girth.

The gain or loss arising on recognition of consumer biological assets at fair value less cost to sell and from the change in fair

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

3. Summary of Significant Accounting Policies (Contd.)

3.7.3 Consumable Biological Asset (Teak Plantation) (Contd.)

value less cost to sell of biological assets are included in the Statement of Comprehensive Income for the period in which it arises.

The fair value of timber trees is measured using DCF method taking in to consideration the current market prices of timber, applied to expected timber content of a tree at the maturity by an independent professional valuer. All other assumptions and sensitivity analysis are given in Note 10.

The main variables in DCF model are as follows.

Variable	Comment
Currency valuation	Sri Lankan Rupees – Rs.
Timber content	Estimated based on physical verification of girth & height of the trees.
Economic useful life	Estimated based on the normal life span of each tree
Selling price	Estimated based on prevailing Sri Lankan market price. Factor all the conditions to be fulfilled in bringing the trees in to saleable condition
Discount Rate	Future cash flows are discounted at following discount rates: Timber trees 11.25%.

3.7.4 Nursery Cost

Nursery cost includes the cost of direct material, direct labour and an appropriate proportion of directly attributable overheads of other inter plants. Nurseries are measured at cost less accumulated impairments.

3.8 Inventories

3.8.1 Agricultural Produce harvested from Biological Assets

Agricultural produce harvested from the Company's biological assets are measured at its fair value less cost to sell at the point of harvest.

3.8.2 Finished goods manufactured from agricultural produce of biological assets (Copra, Coco Peat, Coco Chips & Coir)

These are valued at the lower of cost and estimated net realizable value. Net realisable value is the estimated selling price at which stock can be sold in the ordinary course of business after allocating for cost of realisation and / or cost of conversion from their existing stock to saleable conditions, after making due allowance for obsolete and slow-moving items.

3.8.3 Consumable Stock

At actual cost on weighted average basis.

3.8.4 Nursery Stock

At the cost of direct materials, direct labour and an appropriate proportion of directly attributable overheads of other inter plant.

3.9 Trade & Other Receivables

Trade & Other receivables are amounts due from customers for commodities sold or services performed in the ordinary course of business. If collection is expected in one year or less (or in the normal operating cycle of the business if longer), they are classified as current assets. If not, they are presented as non-current assets.

3.10 Cash and Cash Equivalents

Cash and Cash Equivalents comprise cash balances and short-term deposits. Bank overdrafts that are repayable on demand from an integral part of the Company's cash management and are included as a component of Cash and Cash Equivalents for the purpose of the Statement of Cash Flows.

3.11 Stated Capital

The total amount received by the Company or due and payable to the Company in respect of the issue of shares are referred to as "Stated Capital".

The holders of Ordinary Shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company. All shares rank equally with regard to the Company's residual assets.

3.12 Liabilities and Provisions

Liabilities classified as current liabilities on the Statement of Financial Position are those which fall due for payment on demand or within one year from the reporting date.

Non-current liabilities are those balances that fall due for payment after one year from the reporting date.

3.12.1 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be measured reliably. Provisions are not recognised for future operating losses.

Provisions are measured at the Directors' best estimate of the cost of settling these liabilities and are discounted to present value where the effect is material. All known liabilities and provisions have been accounted for in preparing the Financial Statements.

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

3. Summary of Significant Accounting Policies (Contd.)

3.13 Leases

Upon adoption of SLFRS 16, which have been applied from the date of initial application, the Company has applied SLFRS 16 using the modified retrospective approach and therefore the comparative information has not been restated and continues to be reported under LKAS 17 and IFRIC 4.

Accounting policy applicable from 1 April 2019

At the inception of a contract, the Company assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Company uses the definition of a lease in SLFRS 16.

At the commencement date of the lease, the Company recognises lease liabilities measured at the present value of lease payments to be made over the lease term. In calculating the present value of lease payments, the Company uses the incremental borrowing rate at the lease commencement date if the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

Short-term leases and leases of low-value assets

The Company applies the short-term lease recognition exemption to leases that have a lease term of 12 months or less from the commencement date. It also applies the lease of low-value assets recognition exemption to leases that are considered of low value. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

Accounting policy applicable prior to 1 April 2019

For contracts entered into before 1 April 2019, the Company determined whether the arrangement was or contained a lease based on the assessment of whether:

(a) fulfilment of the arrangement was dependent on the use of a specific asset or assets; and

(b) the arrangement had conveyed a right to use the asset.

An arrangement conveyed the right to use the asset if one of the following was met:

The purchaser had the ability or right to operate the assets while obtaining or controlling more than an insignificant amount of the output;

The purchaser has the ability or right to control physical access to the assets while obtaining or controlling more than an insignificant amount of the output; or

Facts and circumstances indicated that it was remote that other parties would take more than an insignificant amount of the output, and the price per unit was neither fixed per unit of output nor equal to the current market price per unit of output.

In the comparative period, as a lessee the Company classified leases that transferred substantially all of the risks and rewards of ownership as finance leases. When this was the case, the leased assets were measured initially at an amount equal to the lower of their fair value and the present value of the minimum lease payments. Minimum lease payments were the payments over the lease term that the lessee was required to make, excluding any contingent rent. Subsequent to initial recognition, the assets were accounted for in accordance with the accounting policy applicable to that asset.

Assets held under other leases were classified as operating leases and were not recognised in the Company's Statement of Financial Position. Payments made under operating leases were recognised in profit or loss on a straight-line basis over the term of the lease. Lease incentives received were recognised as an integral part of the total lease expense, over the term of the lease.

3.14 Employee Benefits

The Company provides post-employment benefits through various defined contribution plans and defined benefit plans.

3.14.1 Defined Contribution Plans

A defined contribution plan is a post – employment benefit plan under which the Company pays fixed contribution into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contribution to Employee Provident Fund or Estate Staff Provident Society, Ceylon Planters Provident Society and Employee Trust Funds covering all employees are recognised as an expense in profit or loss as incurred. The Company contributes 12% and 3% of gross emoluments of employees as Employee Provident Fund or Estate Staff Provident Society and Trust Fund contribution respectively.

3.14.2 Retirement Benefit Obligations

The retirement benefit plan adopted is as required under the Payment of Gratuity Act No.12 of 1983 to eligible employees. This item is grouped under Employee Benefits in the Statement of Financial Position. The liability recognised in the Statement of Financial Position in respect of defined benefit plan is the present value of defined benefit obligation at the reporting date. Provision for Gratuity on the Employees

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

3. Summary of Significant Accounting Policies (Contd.)

3.14 Employee Benefits (Contd.)

3.14.2 Retirement Benefit Obligations (Contd.)

of the Company is based on an actuarial valuation, using the Projected Unit Credit (PUC) method as recommended by Sri Lanka Accounting Standards 19 - "Employee Benefits". Remeasurements, comprising actuarial gains and losses, are recognised immediately in the Statement of Financial Position with a corresponding debit or credit to retained earnings through OCI in the period in which they occur. Remeasurements are not reclassified to profit or loss in subsequent periods. The Company recognises the changes in the defined benefit liability attributable to the service costs (current service costs and any past service costs) and interest expense in the profit or loss. Key assumptions used in determining the defined benefit obligation are given in Note 18.3

The actuarial valuation was carried out by a professionally qualified firm of actuaries, Messrs Actuarial and Management Consultants (Private) Limited as at 31 March 2026.

However, according to the Payment of Gratuity Act No.12 of 1983, the liability for payment to an employee arises only after the completion of five (5) years continued services.

The liability is not externally funded.

3.15 Trade & Other Payables

Trade & other payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less (or in the normal operating cycle of the business if longer). If not, they are presented as non-current liabilities.

Trade & Other Payables are stated at their cost.

3.16 Taxes

Tax expense recognised in Statement of Comprehensive Income comprises the sum of deferred tax and current income tax not recognised in other comprehensive income or directly in equity.

3.16.1 Current Income Tax

Current income tax assets and/or liabilities comprise those obligations to or claims from the Department of Inland Revenue relating to current or prior reporting periods that are unpaid at the reporting date. Current income tax is payable on taxable profit, which differs from profit or loss in the Financial Statements.

Current Income Tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Comprehensive Income. Management periodically evaluates position taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provision where appropriate.

Current income tax assets and liabilities, or deferred tax assets and liabilities, are offset only when the Company has a legally enforceable right to offset the amounts and intends to settle on a net basis or realise the asset and settle the liability simultaneously.

3.16.2 Deferred Tax

Deferred tax is calculated on temporary differences between the carrying amounts of Assets and liabilities and their tax bases that are expected to increase or reduce taxable profit in the future and on unused tax losses and unused tax credits.

Deferred tax assets and liabilities are calculated, without discounting, at tax rates that are expected to apply to their respective period of realization provided that they are enacted or substantively enacted at the reporting date, taking into consideration all possible outcomes of a review by the tax authorities.

The carrying amount of deferred tax assets is reviewed at each reporting date and adjusted as necessary to reflect the current assessment of future taxable profit.

Deferred tax for the year has been computed at 30% as per the Inland Revenue Act No. 24 of 2017.

3.17 Financial Instruments

3.17.1 Recognition, initial measurement and derecognition

Financial assets and financial liabilities are recognised when the Company becomes a party to the contractual provisions of the financial instrument and are measured initially at fair value adjusted by transactions costs, except for those carried at fair value through profit or loss which are measured initially at fair value. Subsequent measurement of financial assets and financial liabilities are described below.

3.17.2 Classification and subsequent measurement of financial assets

For the purpose of subsequent measurement, financial assets are classified into the following categories upon initial recognition:

- debt instruments at amortised cost
- debt instruments at fair value through other comprehensive income (FVTOCI)
- debt instruments, derivatives and equity instruments at fair value through profit and loss (FVTPL)
- equity instruments at fair value through other comprehensive income (FVTOCI)

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

3. Summary of Significant Accounting Policies (Contd.)

3.17 Financial Instruments (Contd.)

3.17.2 Classification and subsequent measurement of financial assets (Contd.)

Debt instruments at amortised cost

A financial asset is measured at amortised cost if both the following conditions are met.

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

After initial measurement, such financial assets are subsequently measured at amortised cost using the effective interest rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in finance income in the profit and loss. The losses arising from impairment are recognised in the profit and loss. This category generally applies to trade and other receivables, loans and other financial assets.

Debt instruments at FVTOCI

A financial asset is measured at FVTOCI if both the following conditions are met.

- the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Debt instruments included within the FVTOCI category are measured initially as well as at each reporting date at fair value. Fair value movements are recognized in the Other Comprehensive Income (OCI). On derecognition of the asset, cumulative gain or loss previously recognised in OCI is reclassified from the equity to Statement of Comprehensive Income. Interest earned whilst holding FVTOCI debt instrument is reported as interest income using the EIR method.

Debt instruments, derivatives and equity instruments at FVTPL

Debt instrument at FVTPL

FVTPL is a residual category for debt instruments. Any debt instrument, which does not meet the criteria for categorization as at amortized cost or as FVTOCI, is classified as at FVTPL.

In addition, the Company may elect to designate a debt instrument, which otherwise meets amortized cost or FVTOCI criteria, as at FVTPL. However, such election is allowed only if doing so reduces or eliminates a measurement or recognition inconsistency (referred to as 'accounting mismatch'). The Company has not designated any debt instrument as at FVTPL.

Debt instruments included within the FVTPL category are measured at fair value with all changes recognized in the statement of profit and loss.

3.17.3 Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised when the rights to receive cash flows from the asset expires or the Company transfers the rights to receive the contractual cash flows in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred or the Company neither transfers nor retains substantially all the risks and rewards of the asset, but transfers control of the asset.

When the Company transfers a financial asset, it evaluates if and to what extent it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Company continues to recognise the transferred asset to the extent of the Company's continuing involvement. In that case, the Company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

3.17.4 Impairment of financial assets

The Company follows 'simplified approach' for recognition of impairment loss allowance on Trade Receivables.

The application of simplified approach does not require the Company to track changes in credit risk. Rather, it recognises impairment loss allowance based on lifetime expected credit losses (ECLs) at each reporting date, right from its initial recognition.

Lifetime ECL are the expected credit losses resulting from all possible default events over the expected life of a financial instrument.

3.17.5 Classification and subsequent measurement of financial liabilities

The Company classifies financial liabilities as described below:

- Financial liabilities at fair value through profit or loss (FVTPL)
- Financial liabilities at amortised cost

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

3. Summary of Significant Accounting Policies (Contd.)

3.17 Financial Instruments (Contd.)

3.17.5 Classification and subsequent measurement of financial liabilities (Contd.)

The subsequent measurement of financial liabilities depends on their classification.

Financial liabilities at FVTPL

Financial liabilities at fair value through profit and loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit and loss.

Gains or losses on liabilities held for trading are recognised in the profit and loss.

The Company has not designated any financial liability as at fair value through profit and loss.

Financial liabilities at amortised cost

The financial liabilities which are not designated at FVTPL are classified as financial liabilities at amortised cost.

After initial recognition, such financial liabilities are subsequently measured at amortised cost using the EIR method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR.

The EIR amortisation is included as finance costs in the statement of profit and loss. Gains and losses are recognised in profit and loss when the liabilities are derecognised as well as through the EIR amortisation process.

3.17.6 Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the Statement of Comprehensive Income.

3.17.7 Reclassification of financial assets and liabilities

Financial assets are not reclassified subsequent to their initial recognition, except and only in those rare circumstances when the Company changes its objective of the business model for managing such financial assets which may include the acquisition, disposal or termination of a business line.

Financial liabilities are not reclassified as such reclassifications are not permitted by SLFRS 9.

3.17.8 Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the Statement of Financial Position if there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, to realize the assets and settle the liabilities simultaneously.

3.18 Revenue from contracts with customers

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duty. Under SLFRS 15, revenue is recognised upon satisfaction of performance obligation.

The Company is in the business of cultivation of coconut, manufacture of copra, Coco Peat, Coir and other crops (Plantation Produce). Revenue from contracts with customers is recognized when control of the goods are transferred to the customer at an amount that reflects the consideration to which the Company expects to be entitled in exchange for those goods. The Company has generally concluded that it is the principle in its revenue arrangements, because it typically controls the goods before transferring them to customer.

3.18.1 Sale of plantation produce

Revenue from sale of plantation produce is recognized at the point in time when the control of the goods is transferred to the customer. Generally upon delivery of the goods to the location specified by the customer and the acceptance of the goods by the customer.

3.18.2 Other Income

Revenue recognition criteria for the other income earned by the Company are as follows;

Interest Income

Interest income is recognized on an accrual basis, using the effective interest method.

Gains and Losses on disposal

Gains and losses on disposal of an item of Property, Plant and Equipment are determined by comparing the net sales proceeds with the carrying amounts of Property, Plant and Equipment and are recognized within ‘other income’ in the Statement of Comprehensive Income.

Other income

Other income is recognized on an accrual basis.

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

3. Summary of Significant Accounting Policies (Contd.)

3.18 Revenue from contracts with customers (Contd.)

3.18.2 Other Income (Contd.)

Gain arising from changes in fair value of Biological Assets.

Gains or Losses arising on initial recognition of biological assets and agricultural produce at fair value less estimated point of sale costs are recognised in profit or loss.

Gains or Losses arising on change in fair value due to subsequent measurements are recognised in profit or loss in the period in which they arise.

3.19 Expenditure Recognition

All expenditure incurred in running the business and in maintaining the Property, Plant and Equipment in a state of efficiency is charged to revenue in arriving at the profit / (loss) for the year.

For the purpose of presentation of Statement of Comprehensive Income, the Directors are of the opinion that function of expenses method present fairly the elements of the Company's performance, hence such presentation method is adopted.

3.20 Finance Income and Finance Costs

Finance income which are recognised in Statement of Comprehensive Income comprises interest income on funds invested.

Finance costs which are recognised in Statement of Comprehensive Income comprise interest expense on borrowings.

Borrowing Costs

Borrowing costs that are directly attributable to acquisition, construction or production of a qualifying asset, which takes a substantial period of time to get ready for its intended use or sale, are capitalized as a part of the asset.

Borrowing costs that are not capitalized are recognized as expenses in the period in which they are incurred and charged to the Statement of Comprehensive Income.

The amounts of the borrowing costs which are eligible for capitalization are determined in accordance with LKAS 23 - 'Borrowing Costs'.

3.21 Statement of Cash Flows

The Statement of Cash Flows has been prepared using the "Indirect Method" of preparing Cash Flows in accordance with the Sri Lanka Accounting Standard 07 "Statement of Cash Flows". Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value. The cash and cash equivalent include cash in hand and balances with banks.

Interest paid is classified as operating cash flow while Interest received is classified as investing cash flows.

3.22 Commitments and contingencies

Provisions are made for all obligations existing as at the reporting date when it is probable that such obligation will result in an outflow of resources and reliable estimate can be made of the quantum of the outflow.

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured.

Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote. Capital commitments and contingent liabilities of the Company have been disclosed in the respective Notes to the Financial Statements.

3.23 Events occurring after the reporting period

All material events after the Statement of Financial Position date have been considered where appropriate; either adjustments have been made or adequately disclosed in the Financial Statements.

3.24 Earnings per share

The Company presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period, Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding, adjusted for the effects of all convertible securities.

3.25 Critical Accounting Estimates and Judgements

Critical accounting estimates and assumptions

The Company makes estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, seldom equal the related actual results. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are addressed below:

Estimated useful lives of Property, Plant and Equipment

The Company reviews annually the estimated useful lives of Property, Plant and Equipment based on factors such as business plan and strategies, expected level of usage and future technological developments. Future results of operations could be materially affected by changes in

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

3. Summary of Significant Accounting Policies (Contd.)

3.25 Critical Accounting Estimates and Judgements (Contd.)

Estimated useful lives of Property, Plant and Equipment (Contd.)

these estimates brought about by changes in the factors mentioned. A reduction in the estimated useful lives of Property, Plant and Equipment would increase the recorded depreciation charge and decrease the Property, Plant and Equipment carrying value.

Taxation

Deferred tax

Deferred tax assets are recognized to the extent that it is probable that future taxable profit will be available against which temporary differences can be utilised. This involves judgement regarding future financial performance of the Company in which the deferred tax asset has been recognized.

Impairment of non-current assets

The Company test annually the indicators to ascertain whether non-current assets (including intangibles) have suffered any impairment, in accordance with the accounting policy stated in notes. These calculations require the use of estimates.

Defined benefit plan - Gratuity

The present value of the defined benefit plan depends on a number of factors that are determined on an actuarial basis using a number of assumptions. The assumptions used in determining the net cost (income) for defined benefit plan include the discount rate, future salary increase rate, mortality rate, withdrawal and disability rates and retirement age. Any changes in these assumptions will impact the carrying amount of defined benefit plan. The Company determines the appropriate discount rate at the end of each year. This is the interest rate that should be used to determine the present value of estimated future cash outflows, expected to be required to settle the defined benefit plan. In determining the appropriate discount rate, the Company considers the interest yield of long term government bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating the terms of the related defined benefit plan. Other key assumptions for defined benefit plan are based in part on current market conditions.

Provisions

The Company recognises provisions when they have a present legal or constructive obligation arising as a result of a past event, and it is probable that an outflow of economic benefits will be required to settle the obligation and a reliable estimate can be made. The recording of provisions requires the application of judgements about the ultimate resolution of these obligations. As a result, provisions are reviewed at each Statement of Financial Position date and adjusted to reflect the Company's current best estimate.

Fair Valuation of Consumable Biological Assets

The fair valuation of Teak Plantation depends on a number of factors that are determined on a discounted method using various financial and non-financial assumptions. The growth rate of the trees is determined by various biological factors that are highly unpredictable. Any change to the assumptions will impact to the fair value of biological assets.

The following factors are also taken into consideration in valuing the Teak Plantation

1) Maturity age of the species and the particular tree
2) Annual marginal increase in growth in the timber content of a tree
3) Number of years to harvest in case of matured trees - harvesting program
4) Current Price of sawn timber per cubic foot

3.26 New and Amended Standards issued but not effective as at the Reporting Date

Following amendments to Sri Lanka Accounting Standards issued not yet effective as at the reporting date have not been applied in preparing the Financial Statements. The Company plans to apply these amendments to the standards from their effective dates.

The following amended standards and interpretations are not expected to have a significant impact on the Company's Financial Statements.

3.26.1 SLFRS 18 Presentation and Disclosure in Financial Statement

SLFRS 18 will replace LKAS 1 Presentation of Financial Statements and applies for annual reporting periods beginning on or after 1 January 2027. The new accounting standard introduces the following key new requirements.

1. Entities are required to classify all income and expenses into five categories in the statement of profit or loss, namely the operating, investing, financing, discontinued operations, and income tax categories. Entities are also required to present a newly defined operating profit subtotal. Entities' net profit will not change.
2. Management-defined performance measures (MPMs) are disclosed in a single note in the financial statements.
3. Enhanced guidance is provided on how to the Company information in the financial statements.

In addition, all entities are required to use the operating profit subtotal as the starting point for the statement of cash flows when presenting operating cash flows under the indirect method.

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

NOTE 4 - ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

In accordance with SLFRS 09 on "Financial Instruments" financial assets & liabilities have been classified as follows:

	Note	Fair value through OCI Rs.	Fair value through Profit & Loss Rs.	Amortised cost Rs.	Total Rs.
Balance on 31st March 2026					
Financial Assets					
Trade & Other Receivables	12	-	-	40,686,018	**40,686,018**
Short Term Investments	13	-	-	377,712,142	**377,712,142**
Cash at Bank & in Hand	15	-	-	69,575,672	**69,575,672**
	-	-	-	487,973,831	**487,973,831**

		Financial Liabilities at fair value through Profit or loss Rs.	Financial Liabilities at amortised cost Rs.	Total Rs.
Financial Liabilities				
Trade & Other Payables	20	-	39,177,534	**39,177,534**
Obligation under Right of use Assets - Land	17	-	18,009,740	**18,009,740**
Bank Overdraft	15	-	9,355,756	**9,355,756**
		-	66,543,031	**66,543,031**

A description of the Company's Financial Instrument risks, including risk management objectives and policies is given in Note 32.

	Note	Fair value through OCI Rs.	Fair value through Profit & Loss Rs.	Amortised cost Rs.	Total Rs.
Balance on 31st March 2025					
Financial Assets					
Trade & Other Receivables	12	-	-	63,944,787	**63,944,787**
Short Term Investments	13	-	-	365,135,200	**365,135,200**
Cash at Bank & in Hand	15	-	-	83,625,770	**83,625,770**
		-	-	512,705,757	**512,705,757**

		Financial Liabilities at fair value through Profit or loss Rs.	Financial Liabilities at amortised cost Rs.	Total Rs.
Financial Liabilities				
Trade & Other Payables	20	-	44,084,443	**44,084,443**
Obligation under Right of use Assets - Land	17	-	24,881,387	**24,881,387**
Bank Overdraft	15	-	5,771,406	**5,771,406**
		-	74,737,236	**74,737,236**

A description of the Company's Financial Instrument risks, including risk management objectives and policies is given in Note 32.

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

NOTE 5 - RIGHT OF USE ASSETS - LAND

	As at 31.03.2026 Rs.	As at 31.03.2025 Rs.
Capitalized Value		
Balance on 1st April	**16,541,028**	16,541,028
Balance on 31st March	**16,541,028**	16,541,028
Amortisation		
Balance on 1st April	**12,511,266**	11,569,180
Amortisation during the year	**942,086**	942,086
Balance on 31st March	**13,453,352**	12,511,266
Net Balance	**3,087,676**	4,029,762

The lease agreements for 292.0283 HA which were effected from 01.12.1998 for 30 years (Lease will be expired on 30.11.2028) were signed on 28.07.2004 and 7 more lease agreements for 130.1717 HA effected from 01.09.1999 for 30 years (Lease will be expired on 31.08.2029) were signed on 24.06.2019 with Mahaweli Authority of Sri Lanka.

The total extent of Land area cultivated as at the year end is 551.387 HA out of which 422.20 HA is covered by lease agreements & the lease agreement for the remaining Land of 129.187 HA has been signed by the Company and pending the signature of the Counter Party. (as the agreement was executed only by the Company, the agreement is deemed to commence on 01.04.1998 and will be expired on 31.03.2028.)

292.0283 H A of Land was previously accounted under Statement of Alternative Treatment (SoAT) issued by the Institute of Chartered Accountants of Sri Lanka dated 21 August 2013. This Right-of-use asset-land is amortised over the remaining lease term or useful life of the Right whichever is shorter and is disclosed under non-current assets. An adjustment to the Right-of-use asset-land could be made to the extent that the change relate to the future period on the reassessment of lease liability. SLFRS 16 - Leases became applicable to Financial Statements period covering beginning 01 January 2019 and therefore, the balance 259.3587 H A of Right of-use asset-Land has now been accounted in accordance with the said standard with effect from 01 April 2019.

The lease liability as at 1 April 2019 was reassessed under the provisions of SLFRS 16 and both Right-of-use asset-land and Lease Liability have been enhanced.

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

NOTE 6 - PROPERTY, PLANT & EQUIPMENT

The details of the Company's Property, Plant & Equipment and their carrying amounts are as follows.

	Land Rs.	Buildings Rs.	Motor Vehicles Rs.	Furniture & Fittings Rs.	Machinery & Equipment Rs.	Work in Progress Rs.	Total Rs.
Gross carrying amount-at cost							
Balance on 1st April 2025	20,095,000	102,142,005	31,918,038	2,434,803	156,850,939	-	**313,440,785**
Additions during the year	-	520,176	29,190,219	201,950	4,609,297	1,848,556	**36,370,198**
Written off during the year	-	-	-	-	(155,250)	-	**(155,250)**
Disposal made during the year	-	-	-	-	(139,000)	-	**(139,000)**
Balance on 31st March 2026	20,095,000	102,662,181	61,108,257	2,636,753	161,165,986	1,848,556	**349,516,733**
Depreciation and Impairment							
Balance on 1st April 2025	-	8,656,966	25,476,251	1,712,133	87,600,942	-	**123,446,292**
Charge for the year	-	3,404,376	6,410,149	128,030	11,071,359	-	**21,013,914**
Written off during the year	-	-	-	-	(155,250)	-	**(155,250)**
Disposal made during the year	-	-	-	-	(139,000)	-	**(139,000)**
Balance on 31st March 2026	-	12,061,342	31,886,400	1,840,163	98,378,051	-	**144,165,956**
Net Book Value							
As at 31st March 2026	20,095,000	90,600,839	29,221,857	796,590	62,787,935	1,848,556	**205,350,777**
As at 31st March 2025	20,095,000	93,485,039	6,441,787	722,670	69,249,997	-	**189,994,493**

Cost of fully depreciated assets still in use as at 31 March 2026 amounts to Rs. 92,189,469.66/-.

Work in Progress includes the following :-

	Rs.
CCTV Camera System	**240,000**
New Work Shop Building	**1,608,556**
	1,848,556

NOTE 7 - ELECTRICAL SUBSTATION

	As at 31.03.2026 Rs.	As at 31.03.2025 Rs.
Gross Carrying Amount		
Balance as at 1st April	**8,026,093**	8,026,093
Balance as at 31st March - Note 7(a)	**8,026,093**	8,026,093
Amortisation		
Balance as at 1st April	**712,717**	445,631
Amortisation for the year	**267,086**	267,086
Balance as at 31st March	**979,803**	712,717
Carrying Amount on 31st March	**7,046,290**	7,313,376

NOTE 7(a) - REPRESENTED BY:-

Capital Contribution for Construction of high voltage line, transformer, breaker and metering equipments	**8,026,093**	8,026,093

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

NOTE 8 - INTANGIBLE ASSETS

	As at 31.03.2026 Rs.	As at 31.03.2025 Rs.
Cost		
Balance on 1st April	**552,075**	552,075
Balance on 31st March	**552,075**	552,075
Amortisation		
Balance on 1st April	**480,124**	444,124
Amortisation during the year	**36,000**	36,000
Balance on 31st March	**516,124**	480,124
Net carrying value	**35,951**	71,951

The brought forward sum of Rs. 552,075 represents the Cost of Accounting Software amounting to Rs.372,075/- and cost of Fixed Assets module amounting to Rs. 180,000/-.

NOTE 9 - BEARER BIOLOGICAL ASSETS

	Immature Plantation			Mature Plantation			As at 31.03.2026 Rs.	As at 31.03.2025 Rs.
	Coconut Rs.	Others Rs.	Total Rs.	Coconut Rs.	Others Rs.	Total Rs.		
Cost								
Balance on 1st April	-	2,871,038	2,871,038	504,885,076	-	504,885,076	**507,756,114**	506,967,541
Additions during the year	-	1,059,006	1,059,006	-	-	-	**1,059,006**	866,236
Transfer (to) / from	-	(783,240)	(783,240)	-	783,240	783,240	**-**	-
Transfer (to)/ from Statement of Comprehensive Income	-	-	-	-	(783,240)	(783,240)	**(783,240)**	(77,663)
Balance on 31st March	-	3,146,804	3,146,804	504,885,076	-	504,885,076	**508,031,880**	507,756,114
Depreciation & Impairment								
Balance on 1st April	-	-	-	417,778,677	-	417,778,677	**417,778,677**	392,534,423
Charge for the year	-	-	-	25,244,254	-	25,244,254	**25,244,254**	25,244,254
Balance on 31st March	-	-	-	443,022,931	-	443,022,931	**443,022,931**	417,778,677
Net Carrying Value	-	3,146,804	3,146,804	61,862,145	-	61,862,145	**65,008,949**	89,977,437

(i) Mature Bearer Biological Assets include coconut trees. Bearer plants are stated at cost less accumulated depreciation and impairment in accordance with Sri Lanka Accounting Standard - LKAS 16 - Property, Plant & Equipment.

(ii) The transfer of immature plantation to mature plantation commences at the time the plantation is ready for the commercial harvesting.

(iii) Immature Plants include Cinnamon, Pepper, Arrecanut etc.

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

NOTE 10 - CONSUMABLE BIOLOGICAL ASSETS

	As at 31.03.2026 Rs.	As at 31.03.2025 Rs.
Balance on 1st April	**233,040,000**	213,300,000
Cost of Sold Trees during the year	**(6,550,995)**	-
Gain on change in Fair value	**7,593,995**	19,740,000
Balance on 31st March	**234,083,000**	233,040,000
Valuation :		
Estimated Value	**234,083,000**	233,040,000
	234,083,000	233,040,000

As at 31st March	Date of Valuation	Level 1	Level 2	Level 3
Assets measured at fair value				
Consumable Biological Assets - Teak	31st March 2026	-	-	234,083,000

The fair value of matured managed trees were ascertained in accordance with SLFRS 13 and IFRS 13. The valuation was carried out by Messrs KPMG Real Estate & Valuation Services (Pvt) Ltd. In ascertaining the fair value of teak trees, physical inspection and measurement of the standing timber were undertaken this year on sample basis by the valuer covering 14 fields.

Key Assumptions and Considerations

1) The timber valuation was carried out based on the timber census carried out by the management in the year 2025/26.
2) KPMG Real Estate & Valuation Services (Private) Limited provided the valuation for the tree species of Teak blocks which were planted in 14 fields. Valuer has considered 18,316 Teak trees in this valuation and excluded 4,112 of immature trees (trees within the girth range of 0" - 5" and 6" - 15") from this valuation.
3) The prices adopted are net of potential expenditures such as felling, clearing and transportation, i.e. the stumpage prices, as per the State Timber Corporation.
4) Though replanting is a pre-condition for harvesting, the costs are not taken into consideration for the valuation.
5) The discount rate has been derived using the Capital Asset Pricing Model (CAPM) adjusted with an additional risk factor. A discount rate of 11.25% has been applied.
6) According to the site inspection conducted in previous year and provided timber census, valuer has identified discrepancies in the provided tree height details. Therefore, an adjustment to the tree height has been done based on the sample analysis which collected in the site inspection.

a) Methodology

- The standing timber in all the estates can be categorized into three main groups: Matured Standing Timber, Over-Matured Standing Timber, and Young or Immature Standing Timber. Considering the above, the approach has been identified as the most suitable and appropriate approaches for the fair valuation of standing timber based on the given situation.

Market Approach

- To value matured and over-matured standing timber, the most appropriate valuation method is the Sales Comparison Method under the market approach. For this comparison, valuer considered the timber sales prices of the State Timber Corporation (STC) and adjusted these market prices accordingly for the standing timber valuation.
- In the process of valuation, all the managed standing timber trees are valued at their "as is" basis, based on their Stumpage value, which reflects the current market in which a willing buyer and seller would enter into a transaction.

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

NOTE 10 - CONSUMABLE BIOLOGICAL ASSETS (CONTD.)

Income Approach

- The young and immature standing timber, which has several years remaining to reach maturity and has not yet reached a harvestable age, has been valued using the Discounted Cash Flow (DCF) analysis method under the Income Approach
- The value of young standing timber has been assessed by, estimating the future cash flow of income, and applying an appropriate discount rate to determine its present value.
- The discount rate has been derived using the Expected Rate of Return (ERR) from Capital Asset Pricing Model (CAPM) plus an additional risk factor of 1%. The following are the components, and a breakdown of the factors used in CAPM calculation:-

  $ERR = R f + \beta (R m - R f)$

  - Risk-Free Rate (Rf): 8.41%
  - Beta of the Industry (β): 0.09
  - Market Return (Rm): 29.31%

b) Sensitivity Analysis

Sensitivity variation on sales price

Net present value of the biological assets as appearing in the Statement of Financial Position are very sensitive to the changes into the average sales prices applied. Simulations made for timber show that an increase or decrease by 10% of the estimated future selling price when other variables are remained unchanged, has the following effect on the net present value of biological assets :

	+10% Rs.	0% Rs.	-10% Rs.
Total value of Stumpage	257,491,000	234,083,000	210,674,000

Sensitivity variation on discount rate

Net present value of the biological assets are as appearing in the statement of financial position are very sensitive to changes of the discount rate applied. Simulations made for timber show that an increase or decrease by 1% of the estimated future discount rate has the following effect on the net present value of biological assets :

	+1% Rs.	Base DCF Rs.	-1% Rs.
Total value of Stumpage	233,768,000	234,083,000	234,403,000

c) Information about Fair Value Measurements using Significant unobservable Inputs (Level 3)

Non-Financial Asset	Valuation Techniques	Unobservable Inputs	Range of Unobservable Inputs	Relationship of Unobservable inputs to Fair Value
Consumable Biological Assets - Teak	DCF Method	Discounting factor	Refer Key Assumption & Consideration para (5)	The higher the discount rate,the lower the fair value
	The valuation model considers present value of future net cash flows expected to be generated by the plantation from the teak content of managed teak plantation on a tree-per-tree basis.	Optimum rotation (Maturity)	25 years	Lower the rotation period, the higher the fair value.
	The expected net cash flow are discounted using a risk adjusted discount rate.	Volume (Timber Content)	3,389.01 to 239,437.93 Cu. DCM.	The higher the volume higher the fair value
		Price per Cu. DCM.	Rs. 24.46 to Rs.73.05 per Cu. DCM.	The higher the price the higher the fair value

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

NOTE 11 - INVENTORIES

	As at 31.03.2026 Rs.	As at 31.03.2025 Rs.
Harvested Crop	**41,387,401**	49,683,640
Produce Stock	**13,537,238**	4,169,856
Rejected Nuts	**-**	1,625,400
Nurseries	**74,903**	206,377
Consumables & Others	**9,344,209**	17,003,023
	64,343,751	72,688,296

NOTE 12 - TRADE & OTHER RECEIVABLES

	As at 31.03.2026 Rs.	As at 31.03.2025 Rs.
Trade Receivables	**39,781,660**	44,334,506
Deposits	**413,150**	413,150
Prepayments	**608,200**	589,013
Employee Advance	**122,600**	151,200
Advances	**5,644,093**	-
Other Receivables	**1,250,513**	1,329,892
Receivable on Teak Sales	**-**	18,626,542
	47,820,216	65,444,303
Less : Allowance for Impairment	**(759,304)**	(759,304)
	47,060,912	64,684,999

NOTE 13 - SHORT TERM INVESTMENTS

	As at 31.03.2026 Rs.	As at 31.03.2025 Rs.
Fixed Deposits		
Balance on 01st April	**365,135,200**	270,153,388
Amount Invested during the year	**95,000,000**	125,696,000
Interest Received & re-investment	**11,646,467**	12,138,848
Withdrawals made during the year	**(107,914,970)**	(55,652,054)
Interest Receivable at the end of year	**13,845,445**	12,799,018
Balance on 31st March	**377,712,142**	365,135,200

The average interest yield on short term deposits was 7.9%.

NOTE 14 - INCOME TAX REFUND DUE/(LIABILITY)

	As at 31.03.2026 Rs.	As at 31.03.2025 Rs.
Balance on 01st April	**(49,998,179)**	551,409
Provision for the year	**(47,210,045)**	(59,319,061)
Income Tax Over Provision from prior year	**276,019**	-
	(96,932,205)	(58,767,652)
Payments made during the year	**84,979,976**	7,049,429
WHT	**3,244,780**	1,720,044
Balance on 31st March	**(8,707,449)**	(49,998,179)

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

NOTE 15 - CASH AT BANK & IN HAND

	As at 31.03.2026 Rs.	As at 31.03.2025 Rs.
Cash at Bank	**68,278,239**	83,589,679
Cash in Hand	**101,498**	36,091
Cheque in Hand	**1,195,935**	-
	69,575,672	83,625,770
Bank Overdraft *	**(9,355,756)**	(5,771,406)
Cash and Cash Equivalents for the purpose of Cash Flow Statement	**60,219,915**	77,854,364

* The above balance represent a temporary book overdraft which will be subsequently cleared on transfer from Money Market A/c. No Finance Cost has been incurred for the entire year.

NOTE 16 - STATED CAPITAL

	As at 31.03.2026	As at 31.03.2025
Number of Ordinary Shares issued & fully paid		
Balance on 01st April	**34,996,115**	34,996,115
Balance on 31st March	**34,996,115**	34,996,115

NOTE 16 - STATED CAPITAL

	Rs.	Rs.
Stated Capital on 01st April	**384,717,995**	384,717,995
Stated Capital on 31st March	**384,717,995**	384,717,995

The Stated Capital of the Company consists only of fully paid ordinary shares

All Ordinary Shares are equally eligible to receive dividends and the repayment of capital and represent one vote at the shareholder meetings of the Company. All Shares rank equally with regard to the Company's residual assets.

NOTE 17 - OBLIGATION UNDER RIGHT OF USE ASSETS - LAND ON LEASE

	As at 31.03.2026 Rs.	As at 31.03.2025 Rs.
Mahaweli Authority of Sri Lanka		
Balance on 01st April	**24,881,387**	28,351,382
Interest Expense	**2,391,256**	3,116,798
	27,272,643	31,468,180
Payments made during the year	**(9,262,903)**	(6,586,793)
Balance on 31st March	**18,009,740**	24,881,387
Not later than one year	**7,377,871**	7,000,865
Later than one year not later than five years	**10,631,869**	17,880,522
	18,009,740	24,881,387

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

NOTE 18 - RETIREMENT BENEFIT OBLIGATION

	As at 31.03.2026 Rs.	As at 31.03.2025 Rs.
Balance on 1st April	**18,024,364**	13,509,682
Current Service Cost	**2,458,624**	1,678,746
Interest Cost	**1,892,558**	1,688,710
Actuarial (gain) / loss due to change in assumption	**4,009,335**	2,133,196
Payments during the year	**(4,883,323)**	(985,970)
Balance on 31st March	**21,501,558**	18,024,364

18.1 The expenses are recognised in the income statement in the following line items;

	As at 31.03.2026 Rs.	As at 31.03.2025 Rs.
Cost of Sales	**4,098,415**	2,666,494
Administration Cost	**252,767**	700,962
	4,351,182	3,367,456

18.2 Actuarial gain / (loss) on defined benefit plan has been recognized in Statement of Other Comprehensive Income in terms of provisions in LKAS 19.	**4,009,335**	2,133,196

18.3 The principal assumptions used in determining the retirement benefit obligation were;	Salary increments rate	Retirement age	Discount rate	Staff Turnover Ratio
2025/2026				
Workers	14% per annum	60 years	10.00%	**11% up to age 54 and thereafter zero**
Backhoe Operators	11% per annum	60 years	10.00%	
Staff	13% per annum	60 years	10.00%	
2024/2025				
Workers	10% per annum	60 years	10.50%	
Staff	10% per annum	60 years	10.50%	

Mortality

For Workers	- In Service	A 1949/52 Mortality Table issued by the Institute of Actuaries, London
For Staff	- In Service	A 1967/70 Mortality Table issued by the Institute of Actuaries

Disability Rates used in this valuation is 10% of Mortality Table.

18.4 The following payment are expected from defined benefit obligation in future years.	Staff Rs.	Worker Rs.	Total Rs.
Within the next 12 Months	2,979,316	4,027,552	**7,006,868**
Between 1-2 years	1,605,269	2,006,511	**3,611,780**
Between 2-5 years	1,269,322	2,786,920	**4,056,242**
Between 5-10 years	1,215,241	2,704,998	**3,920,240**
Beyond 10 years	1,721,985	1,184,442	**2,906,428**
Total	8,791,134	12,710,424	**21,501,558**

The weighted Average duration of Defined Benefit Obligation for the year 2025/26 is,

Staff 5.5 years
Workers 4.7 Years

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

NOTE 18 - RETIREMENT BENEFIT OBLIGATION (CONTD.)

18.5 Sensitivity analysis

Values appearing in the Financial Statements are very sensitive to the changes of financial and non-financial assumptions used. The sensitivity was carried out for the rate of wage increment and discount rate, as it is the key contributor to the entire obligation. Simulations made for retirement benefit obligation show that a rise or decrease by 1% of the rate of wage, and discount rate have following effect on the retirement benefit obligation:

LKAS 19 requires the use of actuarial techniques to make a reliable estimate of the amount of retirement benefit that employees have earned in return for their service in the current and prior periods using the Projected Unit Credit Method and discount that benefit in order to determine the present value of the retirement benefit obligation and the current service cost. This require an entity to determine how much benefit is attributable to the current and prior periods and to make estimates about demographic variables and financial variables that will influence the cost of the benefit.

The retirement benefit obligation as at 31 March 2026 of the Company is based on the actuarial valuation carried out by Messers Actuarial & Management Consultants (Pvt) Ltd. According to the actuarial valuation report issued by the actuarial valuer as at 31 March 2026, the actuarial present value of promised retirement benefits obligation amounted to Rs. 21,501,558/-.

Percentage increase / (decrease) in discount rate	Impact on Retirement benefit obligations	
	+ 1% Rs.	- 1% Rs.
As at 31 March 2026	(939,756)	1,045,533
As at 31 March 2025	(1,202,595)	1,392,249

Percentage increase / (decrease) in salary / wages increment rate	Impact on Retirement benefit obligations	
	+ 1% Rs.	- 1% Rs.
As at 31 March 2026	1,117,104	(1,022,100)
As at 31 March 2025	1,456,203	(1,278,829)

NOTE 19 - DEFERRED TAX LIABILITY

	As at 31.03.2026 Rs.	As at 31.03.2025 Rs.
Balance on 01st April	**94,429,940**	93,344,549
Originating / (reversal) during the year recognised in the Statement of Comprehensive Income	**(3,844,147)**	1,725,350
Originating / (reversal) during the year recognised in Other Comprehensive Income	**(1,202,800)**	(639,959)
Balance on 31st March	**89,382,993**	94,429,940

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

NOTE 19 - DEFERRED TAX LIABILITY (CONTD.)

NOTE 19.1 - DEFERRED TAX RECONCILIATION

	31.03.2026		31.03.2025	
	Temporary Difference Rs.	Tax Effect Rs.	Temporary Difference Rs.	Tax Effect Rs.
Balance on 01st April	**314,766,463**	**94,429,940**	311,148,498	93,344,549
Amount originate / (reversal) during the year	**(16,823,152)**	**(5,046,947)**	3,617,965	1,085,391
Balance on 31st March	**297,943,311**	**89,382,993**	314,766,463	94,429,940
Deferred Tax Liability				
Temporary difference on Right of use Asset	**3,087,676**	**926,303**	4,029,762	1,208,929
Temporary difference on Property, Plant & Equipment	**35,597,277**	**10,679,183**	30,938,912	9,281,674
Temporary difference on Intangible Assets	**(322,294)**	**(96,688)**	(313,897)	(94,169)
Temporary difference on Bearer Biological Assets	**65,008,949**	**19,502,685**	89,977,437	26,993,231
Temporary difference on Consumable Biological Assets	**234,083,000**	**70,224,900**	233,040,000	69,912,000
	337,454,609	**101,236,383**	357,672,214	107,301,665
Deferred Tax Assets				
Temporary difference on Obligation under Right of use Asset	**18,009,740**	**5,402,922**	24,881,387	7,464,416
Temporary difference on Defined Benefit Obligation	**21,501,558**	**6,450,467**	18,024,364	5,407,309
	39,511,298	**11,853,389**	42,905,751	12,871,725
Balance on 31st March	**297,943,311**	**89,382,993**	314,766,463	94,429,940

Deferred Tax Assets & Liabilities are measured based on the tax rates that have been enacted or substantially enacted by the end of the reporting period in accordance with the Inland revenue Act No. 24 of 2017 (IR Act) & subsequent amendments made to IR Act.

The effective tax rate used to calculate deferred tax assets & liabilities for all the Temporary Differences as at 31st March 2026 is 30% (2024/2025-30%).

NOTE 20 - TRADE & OTHER PAYABLES

	As at 31.03.2026 Rs.	As at 31.03.2025 Rs.
Accrued Expenses & Other Payables	**17,137,884**	19,443,789
Sundry Creditors	**2,765,858**	1,709,194
Dividend Payable	**21,342,055**	24,377,743
	41,245,797	45,530,726

NOTE 21 - REVENUE

	Year ended 31.03.2026 Rs.	Year ended 31.03.2025 Rs.
Coconut	**418,085,944**	394,453,385
Copra	**16,420,025**	6,831,150
Coco peat	**18,993,350**	11,489,385
Coir	**2,545,335**	1,749,169
Coco Chips	**840,193**	1,169,390
	456,884,847	415,692,479

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

NOTE 22 - OTHER INCOME

	Year ended 31.03.2026 Rs.	Year ended 31.03.2025 Rs.
Sale of Husks	**13,112,760**	5,766,562
Sundry Income *	**3,444,186**	961,582
Unclaimed Dividend Written Back	**9,046,302**	-
Reversal of Interest Expense on unalloted Shares	**3,263,852**	-
Gain on Disposal of Fixed Assets	**10,000**	-
	28,877,100	6,728,144

* Sundry income includes sale of coconut related by products such as, coconut shells and other crop sales.

NOTE 23 - FINANCE COSTS AND FINANCE INCOME

	Year ended 31.03.2026 Rs.	Year ended 31.03.2025 Rs.
23.1 Finance Costs		
Interest expenses on		
Obligation under Right of use Assets - Land on Lease	**2,391,256**	3,116,798
Advance received for Allotment of Shares	**-**	652,771
Total Finance Cost	**2,391,256**	3,769,569

23.2 Finance Income		
Interest income on		
Fixed Deposits	**28,208,077**	26,503,096
Debtor collection delays	**343,665**	65,784
Interest Money Market Account	**5,286,146**	3,096,304
Total Finance Income	**33,837,888**	29,665,184

NOTE 24 - PROFIT BEFORE TAXATION

Profit before income tax is stated after charging all expenses including the following	Year ended 31.03.2026 Rs.	Year ended 31.03.2025 Rs.
Depreciation & Amortisation		
- Bearer Biological Asset	**25,244,254**	25,244,254
- Property, Plant & Equipment	**21,013,915**	14,834,378
- Intangible Asset & Electrical Substation	**303,086**	303,086
- Right of use Land on Lease	**942,086**	942,086
Auditors' Remuneration		
- Statutory Audit - Current	**1,497,790**	1,363,844
- Other than Audit Related Services	**263,638**	194,175
Directors Remuneration	**14,220,000**	8,230,000
Donations	**161,059**	135,793
Staff Costs		
- Staff Salaries	**93,625,414**	72,634,929
- Defined contribution Plan Cost - EPF, ETF, CPPS & ESPS	**10,631,519**	10,878,576
- Defined Benefit Plan Cost - Provision for Retiring Gratuity	**4,351,182**	3,367,456

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

NOTE 25 - TAXATION

25.1 INCOME TAX

The Income of the Company is liable to Income Tax at the rate of 30% for the Y/A 2025/26.

	Year ended 31.03.2026 Rs.	Year ended 31.03.2025 Rs.
Income Tax on Profit for the year	**47,210,045**	59,319,061
Income Tax Over Provision from prior year	**(276,019)**	-
Deferred Tax Provision / (Reversal)	**(3,844,147)**	1,725,350
Tax Expenses on Profit & Loss	**43,089,880**	61,044,411
Deferred Tax on Other Comprehensive Income	**(1,202,800)**	(639,959)
Tax on Total Comprehensive Income	**41,887,080**	60,404,452

25.2 Reconciliation of Accounting Profit and Tax for Current year

Profit before Taxation	**164,061,305**	201,434,619
Tax at the Applicable Rate	**49,218,391**	60,430,385
Tax effect on Expenses that are not deductible in determinining taxable profit	**16,895,084**	614,026
Tax effect on Expenses that are deductible in determinining taxable profit	**(22,747,576)**	-
Tax effect on OCI	**(1,202,800)**	(639,959)
Prior year over provision of Tax	**(276,019)**	-
Tax Expenses	**41,887,080**	60,404,452

25.3 Deferred Tax

Deferred tax arising from		
Liabilities		
Property, Plant & Equipment	**1,397,509**	3,098,645
Intangible Assets	**(2,519)**	(2,519)
Bearer Biological Assets	**(7,490,546)**	(7,336,704)
Right of use Assets - Land	**(282,626)**	(282,625)
Consumable Biological Assets	**312,900**	5,922,000
Assets		
Defined Benefit Obligations	**(1,043,158)**	(1,354,405)
Obligation under Right of use Asset	**2,061,494**	1,040,999
Total deferred tax Charge / (Reversal)	**(5,046,946)**	1,085,391

Deferred tax has been computed at the rate of 30% in line with the tax rates substantively enacted as at 31.03.2026 (30% - 2024/25).

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

NOTE 26 - EARNINGS PER SHARE

26.1 Basic earnings per ordinary share

The calculation of basic earnings per ordinary share has been done based on net profit attributable to ordinary shareholders divided by weighted average number of ordinary shares in issue as at the reporting date and calculated as follows:

	As at 31.03.2026	As at 31.03.2025
Net profit attributable to ordinary shareholders (Rs.)	**120,971,425**	140,390,208
Weighted average number of ordinary shares in issue (Nos)	**34,996,115**	34,996,115
Basic earnings per ordinary share (Rs.)	**3.46**	4.01

26.2 Diluted earnings per ordinary share

The calculation of diluted earnings per ordinary share is based on net profit attributable to ordinary shareholders and weighted average number of ordinary shares outstanding after adjustment for the effect of all dilutive potential ordinary shares. There were no potentially dilutive shares outstanding at any time during the year/previous year.

NOTE 27 - DIVIDEND PER SHARE

	As at 31.03.2026	As at 31.03.2025
Dividend Paid (Rs.)	**104,988,345**	69,992,230
No. of Ordinary Shares in Issue (Nos.)	**34,996,115**	34,996,115
Dividend per Ordinary Share (Rs.)	**3.00**	2.00

NOTE 28 - CONTINGENT LIABILITIES

There are no contingent liabilities as at 31st March 2026, which would require adjustments to or disclosure in the Financial Statements.

NOTE 29 - CAPITAL COMMITMENTS

There are no Capital commitments as at 31st March 2026. (2024/25 - Nil).

NOTE 30 - EVENTS OCCURING AFTER THE REPORTING DATE

Final Dividend - 2025/2026

The Board of Directors of the Company has recommended the payment of a final dividend of Rs. 3/- per share. This final dividend is to be approved at the Annual General Meeting to be held on 30th September 2026. In accordance with the Sri Lanka Accounting Standard - LKAS 10 on "Events after reporting period", this proposed final dividend has not been recognised as a liability as at 31st March 2026. According to the Sec 84A (IA) of the IR Act, after 01.01.2023 15% Advance Income Tax (AIT) should be deducted on dividends paid by a resident Company out of profits and income of the Company.

The Directors are satisfied that the Company would meet the solvency test requirement under Section 56(2) of the Companies Act No. 07 of 2007, immediately after the payment of the final dividend.

There are no other events other than above have arisen since the reporting date which require adjustments to or disclosure in the Financial Statements.

NOTE 31 - RELATED PARTY DISCLOSURES

31.1 Terms and conditions of Transactions with Related Parties

The Company carried out transactions in the ordinary course of business with its Related Parties. Outstanding balances at the year-end are unsecured and interest free and settlement occurs in cash. There have been no guarantees provided or received for any Related Party receivables or payables. For the year ended 31 March 2026, the Company has not recorded an impairment of receivables relating to amounts owed by Related Parties.

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

NOTE 31 - RELATED PARTY DISCLOSURES (CONTD.)

31.2 Parent and Ultimate Controlling Party

The Company does not have an identifiable parent of its own

31.3 Key management personnel information

The Directors of the Company have interest in the transactions detailed below and some Directors held the post of Director of such Related Companies during the year.

Mr. S.D.W. Asitha Gunasekera, Mr. J.F. Fernandopulle, Mr. S.D.S. Gunasekera, Mr. S.J. Watawala, Mr. G.J.L. Neomal Perera, Mr. A.J. Shamendra Jayakody, Mr. M.D.J.P. Nilantha Perera, Mr. M.A.C.H. Munaweera, Mrs. Gillian Edwards and Mr. W.V.J.T. Fernando were Directors of the Company during the year.

	Year ended 31.03.2026 Rs.	Year ended 31.03.2025 Rs.
Directors Remuneration - Executive Directors	**8,700,000**	5,700,000
- Non Executive Directors	**5,520,000**	2,530,000
Ex Gratia	**500,000**	617,500

31.4 Related Party Transactions

The Company has a Related Party Relationship with its Related Companies as disclosed below. The following transactions have been carried out with Related Parties during the year ended 31st March, 2026 under normal commercial terms.

Transactions with Companies in which Directors of the Company hold other Directorships

The Company has carried out transactions with entities where a Director of the Company is a Director of such entities as detailed below:

Transaction with Other Related Companies

Name of the Company	Name of Director	Relationship	Nature of Transaction	31.03.2026 Rs.	31.03.2025 Rs.
St. Anne's Factory (Pvt) Ltd	Mr. G.J.L. Neomal Perera	Chairman/ Managing Director	Sale of Coconuts	**84,524,095**	143,406,438
			Trade Receivables	**1,848,299**	7,857,337
			Penal Interest Charge	**36,908**	39,226
Transactions with Shareholders					
S.A Silva & Sons Lanka (Pvt) Ltd		Shareholder with 2.49% holding	Sale of Coconuts	**2,492,000**	59,626,120
			Trade Receivables	**(5,338)**	2,973,862
Katana Oil Mills (Pvt) Ltd.		Mr.P.P.Suresh Fernando with 3.83% holding of MCPPLC is the Managing Director of Katana Oil Mills (Pvt) Ltd.	Sale of Copra	**16,379,025**	6,732,150
			Trade Receivables	**(1,952,025)**	-
Asian Agro Products (Pvt) Ltd		Shareholder with 0.003% holding	Sale of Coconuts	**95,356,407**	89,249,665
			Trade Receivables	**(2,118,622)**	15,962,403
			Penal Interest Charge	**2,577**	13,698

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

NOTE 31 - RELATED PARTY DISCLOSURES (CONTD.)

31.5 There are no other transaction with Key Management Personnel and their close family members other than above.

31.6 Non-recurrent Related Party Transactions

There were no non-recurrent Related Party Transactions which in aggregate value exceeds 10% of the equity or 5% of the total assets whichever is lower of the Company as per 31st March 2026 audited Financial Statements, which required additional disclosures in the 2025/26 Annual Report under Colombo Stock Exchange listing Rule 9.14.8(i) and Code of Best Practices on Related Party Transactions under the Securities and Exchange Commission Directive issued under Section 13(c) of the Securities and Exchange Commission Act.

31.7 Recurrent Related Party Transactions

Name of the Related Party	Relationship	Nature of the Transaction	Value of the Related Party Transaction entered during the year Rs.	Value of the Related Party Transaction as a % of Net Revenue	Terms and Conditions
St. Anne's Factory (Pvt) Ltd	Common Directorship	Sale of Coconut	84,524,095	18.50%	Normal Commercial Terms
S.A Silva & Sons Lanka (Pvt) Ltd	Shareholder with 2.49% shareholding	Sale of Coconut	2,492,000	0.55%	Normal Commercial Terms
Katana Oil Mills (Pvt) Ltd.	Entity controlled by a shareholder with 3.83% shareholding at MCPPLC	Sale of Copra	16,379,025	3.58%	Normal Commercial Terms
Asian Agro Products (Pvt) Ltd	Shareholder with 0.003% shareholding	Sale of Coconut	95,356,407	20.87%	Normal Commercial Terms

NOTE 32 - FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The Company's principal financial liabilities comprise, Accrued and other payables, and obligation under Right of use Land on Lease. The main purpose of these financial liabilities is to finance the Company's operations. The Company has trade and other receivables, short-term investments and Cash at Bank and in hand that arrive directly from its operations. Accordingly the Company has exposure to namely Market Risk, Credit Risk and Liquidity Risk from its use of financial instruments.

Market Risk

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. Market prices comprise of below risks:

- Interest rate risk
- Commodity price risk

Financial instruments affected by market risk include, short term investments in Deposits & Right of use Land on Lease. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return.

(i) Interest Rate Risk

Interest rate risk is the risk that fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company has investment in Deposits at varying terms and conditions. The finance function negotiates with banks to get the best interest rates.

(ii) Commodity Price Risk

The Company is affected by the volatility of certain commodities. The volatility in prices of coconut etc. would trigger greater uncertainty in the contribution towards Company turnover. Due to the significantly increased volatility of the price of the underlying, the Company's Board of Directors has developed and enacted a risk management strategy regarding commodity price risk and its mitigation.

Credit Risk

Credit risk is the risk that counterparty will not meet its obligations under a financial instrument or customer contract, leading towards negative effect towards Company profitability. The Company is exposed to credit risk from its operating activities (primarily for trade receivables) and from its financing activities, including deposits with banks and financial institutions.

Company has continuously monitored the receivables through segregating the duty of controlling the receivables. It is the responsibility of the Management to continuously monitor the receivables and the receipts & recoveries are done promptly according to the credit period. Furthermore, age analysis is carried out along with provisioning to smooth out the irrecoverable debtor balances across the period.

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

NOTE 32 - FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTD.)

The following table shows the credit quality of the financial instruments by class of financial assets.

	As at 31.03.2026 Rs.	As at 31.03.2025 Rs.
Financial Assets		
Trade and Other Receivables		
Neither Past-due nor Impaired	**40,708,905**	45,341,134
Total	**40,708,905**	45,341,134
Past-due but not Impaired		
<30 days	**-**	-
30-60 Days	**-**	-
61-90 Days	**-**	-
91-120 Days	**-**	-
>120 Days	**(22,887)**	18,603,653
Total	**(22,887)**	18,603,653
Individually Impaired	**759,304**	759,304
Total	**759,304**	759,304
Total Trade and Other Receivable Exposed to Credit Risk	**41,445,322**	64,704,091
Short Term Investments		
Neither Past-due nor Impaired		
Fitch Rating		
AA- (lka) Stable (2024/25 - AA- (lka) Stable)	**99,846,957**	133,223,583
A+ (lka) Stable (2024/25 - A+ (lka) Stable)	**277,865,185**	231,911,617
Total Short Term Invesmtents Exposed to Credit Risk	**377,712,142**	365,135,200
Cash and Cash Equivalents		
Neither Past-due nor Impaired		
Fitch Rating		
AA- (lka) Stable (2024/25 - AA- (lka) Stable)	**51,449,604**	73,330,570
A+ (lka) Stable (2024/25 - A+ (lka) Stable)	**7,472,879**	4,487,702
Total	**58,922,483**	77,818,273
Cash in hand	**101,498**	36,091
Cheque in Hand	**1,195,935**	-
Total Cash and Cash Equivalents Exposed to Credit Risk	**1,297,432**	36,091
Total Financial Assets Exposed to Credit Risk	**479,377,379**	507,693,655

Neither past-due nor Impaired
Trade Receivable balances not exceeding the credit period of 35 days at the reporting date and the impairment is very remote.

Past-due but not Impaired
Trade Receivables balances exceeding the credit period of 35 days and not likely to become impaired at the reporting date.

Individually Impaired
Trade Receivables balance exceeding the credit period of 35 days and considered as impaired at reporting date.

Liquidity Risk
Cash flow forecasting is performed by the finance division. The finance division monitors rolling forecasts of the Company's liquidity requirements to ensure it has sufficient cash to meet operational needs. Such forecasting takes into consideration the Company's covenant compliance and compliance with internal Statement of Financial Positions ratio targets.

NOTES TO THE FINANCIAL STATEMENTS (Contd.)

NOTE 32 - FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTD.)

Liquidity Risk (Contd.)

The below analysis summarizes the maturity profile of the financial liabilities based on contractual undiscounted payments.

Year ended 31st March 2026	Note	On demand Rs.	Less than 3 Months Rs.	3 to 12 Months Rs.	1 to 5 Years Rs.	More than 5 Years Rs.	Total Rs.
Trade & Other Payables	20	23,899,852	12,592,948	2,495,179	189,555	-	**39,177,534**
Obligation under Right of use Assets - Land on Lease	17	-	7,377,871	-	19,502,213	-	**26,880,084**
		23,899,852	19,970,819	2,495,179	19,691,768	-	66,057,618
Year ended 31st March 2025							
Trade & Other Payables	20	30,400,697	9,421,393	1,871,668	2,390,685	-	**44,084,443**
Obligation under Right of use Assets - Land on Lease	17	-	7,000,865	-	26,880,085	-	**33,880,950**
		30,400,697	16,422,258	1,871,668	29,270,770	-	**77,965,393**

NOTE 33 - DIVIDENDS

	31.03.2026 Rs.	31.03.2025 Rs.
Ordinary Share Dividends		
Final Dividend - 2023/24	-	69,992,230
Final Dividend - 2024/25	**104,988,345**	-
Gross Dividend	**104,988,345**	69,992,230

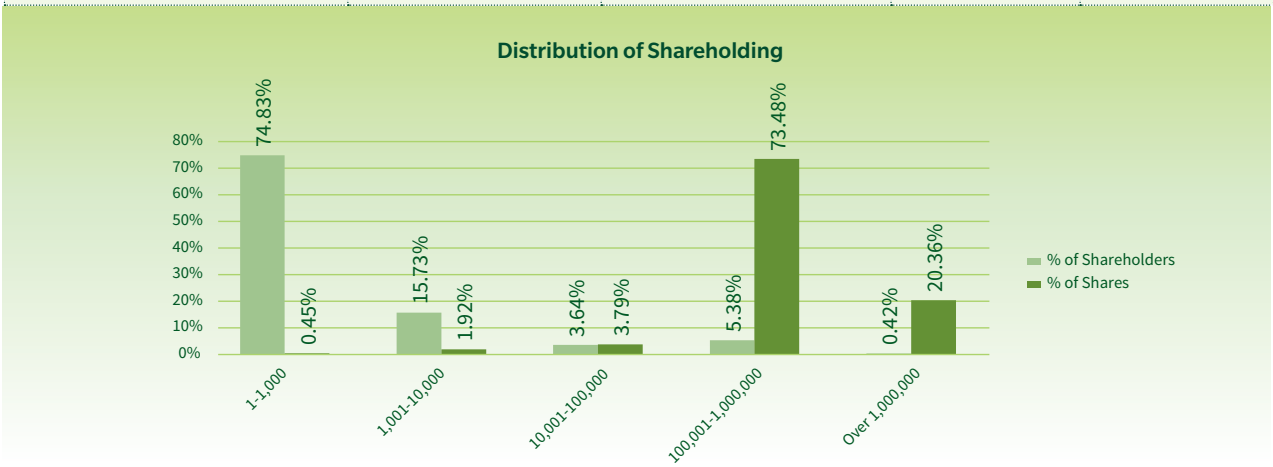


Supplementary Information

Shareholders Information

1.Distribution of Shareholding as at 31.03.2026

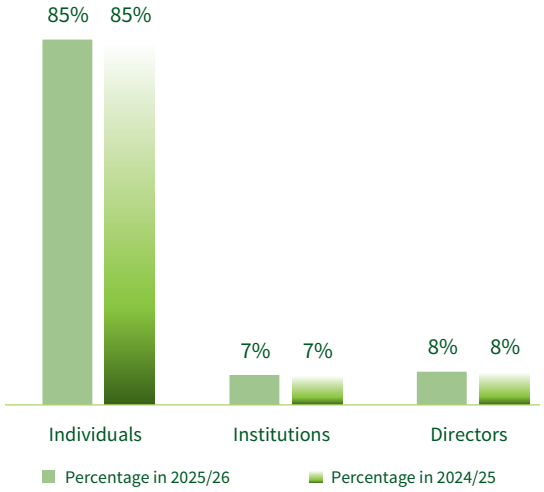
Category	No. of Shareholders	% No. of Shareholders	No. of Shares	% No. of Shares
1 -1,000	904	74.83%	157,374	0.45%
1,001 -10,000	190	15.73%	671,035	1.92%
10,001 -100,000	44	3.64%	1,325,465	3.79%
100,001 -1,000,000	65	5.38%	25,715,385	73.48%
Over 1,000,000	5	0.42%	7,126,856	20.36%
Total	**1,208**	**100.00%**	**34,996,115**	**100.00%**



1.1. Composition of Shareholders as at 31.03.2026

Category	No. of Share Holders	Total No. of Shares	%
Individuals	1,197	29,851,934	85%
Institutions	4	2,430,081	7%
Directors	7	2,714,100	8%
Total	**1,208**	**34,996,115**	**100%**

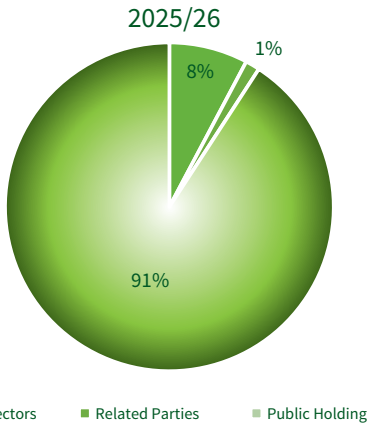
Composition of Shareholders



2. Public Holding

	No. of Shares 2025/26	%	No. of Shares 2024/25	%
Total Shares	**34,996,115**	**100%**	34,996,115	100%
Less: Directors	**2,714,100**	**8%**	2,714,100	8%
Less: Related Parties	**494,481**	**1%**	1,057,160	3%
Public Holding	**31,787,534**	**91%**	31,224,855	89%

Public Holding Excludes:
i. Directors
ii. Close Family Members of the Directors
iii. Related Companies



SHAREHOLDERS INFORMATION (Contd.)

3. Share Trading During the Year

	2025/26	2024/25
Highest Price Traded	**63.00**	45.50
Lowest Price Traded	**32.00**	25.10
Last Traded Price	**49.30**	37.20
Total Number of Share Transactions	**8,753**	3,217
Total Number of Shares Traded	**4,059,356**	1,222,853
Total Value of Shares traded	**197,997,429**	43,213,315
Market Capitalization as at 31st March	**1,725,308,470**	1,301,855,478
Float Adjusted Market Capitalization as 31st March	**1,567,125,426**	1,161,564,606

The float adjusted Market Capitalization as at 31st March 2026 was Rs. 1,567,125,426. Since the float adjusted market capitalization is higher than Rs. 1 Bn where the public holding is more than 7.5% and the number of public shareholders exceeds 200, MCPPLC complies under option 1 in terms of rule 7.13.1 (i) (b) (for Diri Savi Board Companies) of the Listing Rules of the Colombo Stock Exchange.

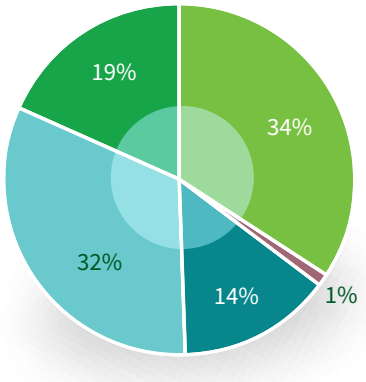
4. 20 Largest Shareholders as at 31st March 2026 and 31st March 2025

Name of Shareholders	As at 31.03.2026		Name of Shareholders	As at 31.03.2025	
	No. of Shares	%		No. of Shares	%
Dunagaha Coconut Producers Co-op Society Ltd	**1,631,862**	**4.66%**	Dunagaha Coconut Producers Co-op Society Ltd	1,631,862	4.66%
Silvermill Holdings Ltd	**1,541,596**	**4.41%**	Silvermill Holdings Ltd	1,541,596	4.41%
Sanhinda Mills (Pvt) Ltd	**1,492,881**	**4.27%**	Sanhinda Mills (Pvt) Ltd	1,492,881	4.27%
Paththage Pio Suresh Fernando	**1,339,641**	**3.83%**	Paththage Pio Suresh Fernando	1,339,641	3.83%
J.A.D.K.R. Jayasuriya	**1,120,876**	**3.20%**	J.A.D.K.R. Jayasuriya	1,057,087	3.02%
H.D.F.D.S. Samaranayake	**974,202**	**2.78%**	H.D.F.D.S. Samaranayake	974,202	2.78%
S.J. Watawala	**881,847**	**2.52%**	S.J. Watawala	881,847	2.52%
D.M.S.W. Gunawardena	**881,001**	**2.52%**	S.K. Wickramarachchi	872,291	2.49%
S.K. Wickramarachchi	**872,291**	**2.49%**	S A Silva & Sons Lanka (Pvt) Ltd	870,623	2.49%
S A Silva & Sons Lanka (Pvt) Ltd	**870,623**	**2.49%**	D.M.S.W. Gunawardena	862,563	2.46%
G.J.L. Neomal Perera	**777,733**	**2.22%**	G.J.L. Neomal Perera	777,733	2.22%
J.A.S.N. Jayasinghe	**770,553**	**2.20%**	J.A.S.N. Jayasinghe	770,553	2.20%
J.F. Fernandopulle	**758,876**	**2.17%**	J.F. Fernandopulle	758,876	2.17%
Swanee Mills Ltd	**758,333**	**2.17%**	Swanee Mills Ltd	758,333	2.17%
P.K. Kumarasiri Panduwawela	**742,476**	**2.12%**	P.K. Kumarasiri Panduwawela	742,476	2.12%
T.S. Jayalath	**695,312**	**1.99%**	T.S. Jayalath	695,312	1.99%
St. Joseph D C Manufactures (Pvt) Ltd	**650,634**	**1.86%**	St. Joseph D C Manufactures (Pvt) Ltd	650,634	1.86%
D.Y.& D.U.Rajapaksa (Pvt) Ltd	**623,282**	**1.79%**	D.Y.& D.U.Rajapaksa (Pvt) Ltd	626,384	1.79%
S.A.D.U. Shehan Silva	**609,081**	**1.74%**	S.A.D.U. Shehan Silva	609,081	1.74%
P.K.G. Panduwala	**597,931**	**1.71%**	P.K.G. Panduwala	597,931	1.71%
Sub Total	**18,591,031**	**53.12%**	Sub Total	18,511,906	52.90%
Others	**16,405,084**	**46.88%**	Others	16,484,209	47.10%
Total	**34,996,115**	**100.00%**	**Total**	34,996,115	100.00%

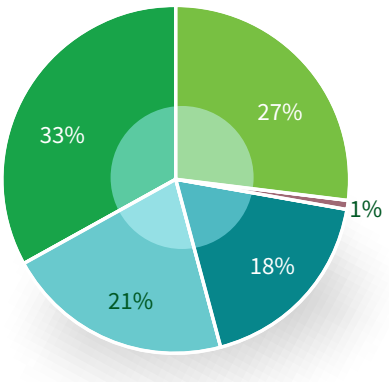
Value Added Statement

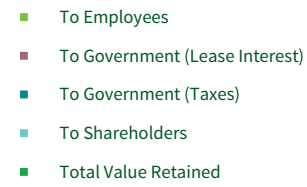
Economic Value Added	2025/26 Rs.	%	2024/25 Rs.	%
Turnover	**456,884,847**		415,692,479	
Less: Cost of Goods Sold (Excluding Depreciation and Employee Benefits)	**(193,191,672)**		(121,054,975)	
Value Added from Operations	**263,693,175**		294,637,504	
Other Income	**28,877,100**		6,728,144	
Finance Income	**33,837,888**		29,665,184	
Total Value Created	**326,408,163**	**100%**	331,030,832	100%
Distributed as Follows				
To Employees, as Remuneration and other Benefits	**111,414,650**	**34%**	88,374,198	27%
To Government, as Lease Interest	**2,391,256**	**1%**	3,116,798	1%
To Government, as Taxes	**46,934,026**	**14%**	59,319,062	18%
To Shareholders	**104,988,345**	**32%**	69,992,230	21%
Total Value Distributed	**265,728,277**	**81%**	220,802,228	67%
Total Value Retained	**60,679,886**	**19%**	110,228,544	33%
Total Value Distributed and Retained	**326,408,163**	**100%**	331,030,832	100%
Value Retained				
Profit Retained	**13,176,545**		68,904,741	
Depreciation and Amortization	**47,503,341**		41,323,803	
Total Value Retained	**60,679,886**		110,228,544	

Value Distribution 2025/26



Value Distribution 2024/25





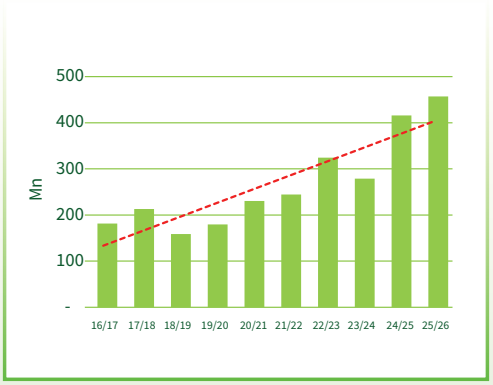
Ten Year Summary

	2016/17	2017/18	2018/19	2019/20	2020/21	2021/22	2022/23	2023/24	2024/25	2025/26
Revenue	181,675,017	212,930,998	158,697,141	179,757,448	230,192,004	244,417,086	324,501,506	278,950,900	415,692,479	**456,884,847**
Gross Profit	70,683,137	106,458,551	71,535,554	46,953,392	138,716,974	191,636,585	62,833,774	87,454,469	201,898,642	**165,841,606**
Net Finance Income	2,658,463	12,338,494	16,016,973	9,514,155	9,051,983	8,130,855	34,435,210	38,973,704	25,895,615	**31,446,632**
Profit After tax	65,477,749	117,390,219	102,822,446	35,889,611	129,904,263	191,277,098	69,616,932	135,980,011	140,390,208	**120,971,425**
Other Comprehensive Income	-	(315,620)	467,905	493,225	345,240	2,982,303	1,719,785	(2,205,080)	(1,493,237)	**(2,806,535)**
Total Comprehensive Income for the Year	65,477,749	117,074,599	103,290,351	36,382,836	129,559,023	194,259,401	71,336,717	133,774,931	138,896,971	**118,164,890**
Assets and Liabilities										
Property Plant and Equipment	16,470,222	42,671,120	39,824,112	38,246,308	39,513,008	67,180,433	116,891,943	136,427,590	189,994,493	**205,350,777**
Right of Use Asset Land	3,661,901	3,346,220	3,030,539	7,237,350	7,798,106	6,856,020	5,913,934	4,971,848	4,029,762	**3,087,676**
Immature Plantation	-	-	-	292,276	557,421	948,521	1,244,628	2,082,465	2,871,038	**3,146,804**
Intangible Asset	-	-	316,264	241,852	167,440	273,028	162,690	107,951	71,951	**35,951**
Consumable Biological Asset	65,000,000	103,800,000	144,952,743	145,173,600	146,900,000	162,800,000	244,480,000	213,300,000	233,040,000	**234,083,000**
Bearer Biological Assets	289,060,428	263,816,176	238,571,922	213,327,668	188,640,835	163,787,681	138,839,534	114,433,118	89,977,437	**65,008,949**
Short-term Investments	91,967,639	131,654,689	187,233,042	163,583,070	231,606,507	242,301,188	269,148,804	270,153,388	365,135,200	**377,712,142**
Working Capital	140,354,167	176,519,054	190,794,330	227,674,627	295,686,424	379,837,910	349,496,004	454,818,393	477,833,089	**492,005,603**
Non Current Liabilities	27,982,054	52,875,482	70,276,946	84,746,090	82,577,689	77,837,833	141,892,058	128,618,821	130,334,826	**121,516,420**
Cash Flows										
Cash Generated from / (used in) Operations	83,856,231	147,470,992	92,459,880	46,346,160	163,387,135	141,174,708	103,737,868	61,291,477	192,453,515	**182,256,595**
Net Cash from / (used in) Operating Activities	81,608,746	138,214,395	86,880,622	41,590,799	159,683,568	136,451,511	95,026,305	54,352,825	182,698,072	**89,148,516**
Net Cash from / (used in) Investing Activities	(55,206,565)	(57,720,808)	(43,170,782)	35,196,920	(58,491,297)	(30,013,426)	(47,094,027)	19,840,336	(90,938,912)	**7,468,285**
Net Cash from / (used in) Financing Activities	(17,310,590)	(72,299,022)	(36,017,960)	(80,986,889)	(87,026,716)	(99,629,995)	(58,642,397)	(52,494,173)	(76,579,023)	**(114,251,248)**
Cash and Cash Equivalents at the end of the year	19,024,437	27,219,002	34,910,882	30,711,712	43,877,267	51,685,358	40,975,239	62,674,227	77,854,364	**60,219,916**
Operating Ratios										
Turnover Growth (%)	117%	17%	-25%	13%	28%	6%	33%	-14%	49%	**10%**
Operating Profit Margin (%)	38%	66%	65%	13%	53%	76%	34%	32%	42%	**29%**
Fixed Asset Turn Over Ratio (%)	49%	51%	37%	44%	60%	61%	63%	59%	79%	**89%**
Financial Ratios										
Return on Equity (%)	13%	22%	19%	7%	22%	27%	10%	17%	16%	**14%**
Current Ratio (times)	7.95	8.97	3.14	9.74	6.24	6.80	8.88	10.59	5.41	**8.38**
Debt/Equity(%)	4%	3%	3%	6%	6%	4%	3%	4%	3%	**2%**
Interest Cover (times)	34.47	5,590.17	63.51	5	24	40	25	21	47	**55**
Investor Ratios										
EPS (Rs)	2.16	3.76	3.04	1.04	3.71	5.46	1.99	3.88	4.01	**3.46**
DPS (Rs)	0.2	4	2.75	1.5	2.25	2.5	1.50	1.50	2.00	**3.00**
Dividend Cover (times)	10.8	0.94	1.11	0.69	1.65	2.19	1.33	2.59	2.01	**1.15**
Net Asset Value Per Share(Rs)	16.03	15.87	16.17	15.64	17.03	20.09	20.62	22.95	24.91	**25.29**

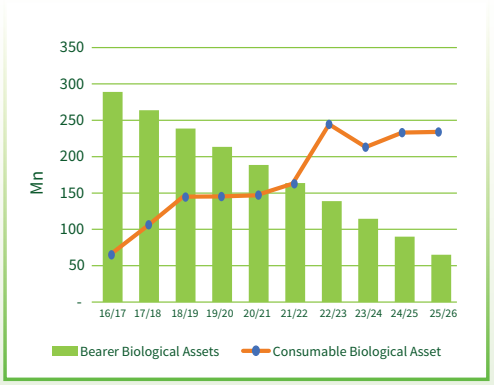
TEN YEAR SUMMARY (Contd.)

Key Highlights from Ten Year Summary

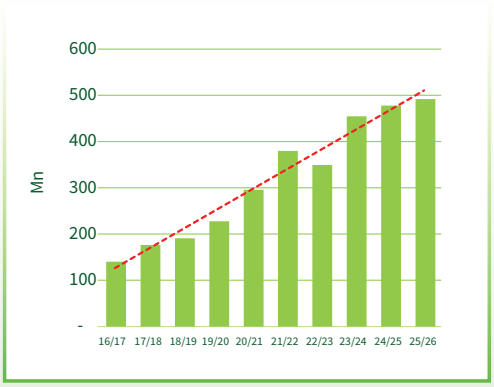
Revenue



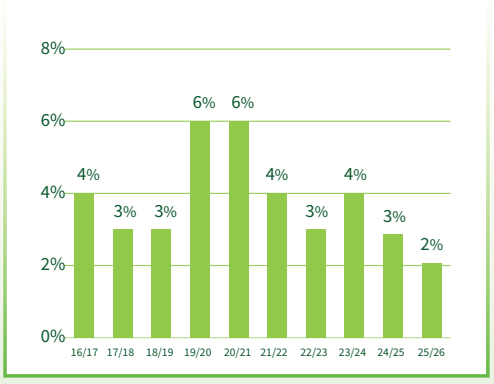
Consumable & Bearer Biological Assets



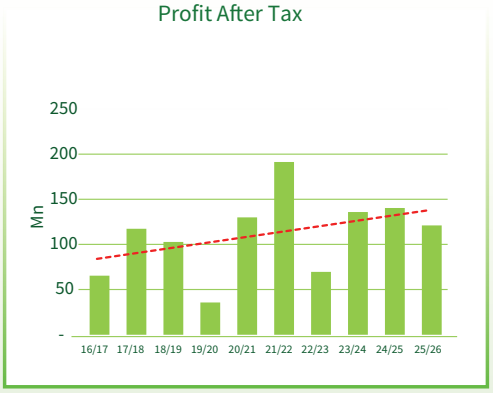
Working Capital



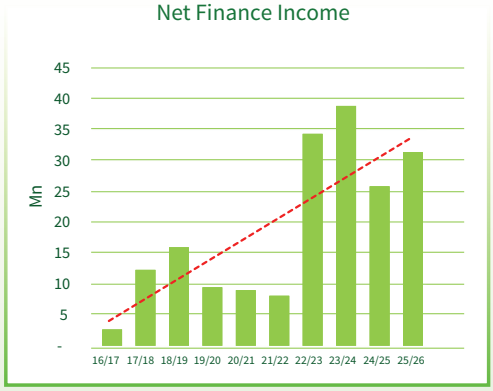
Debt/Equity



Profit After Tax



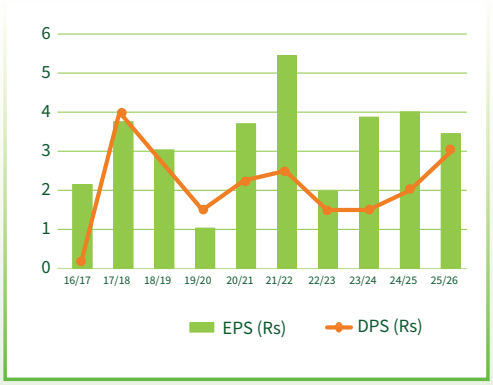
Net Finance Income



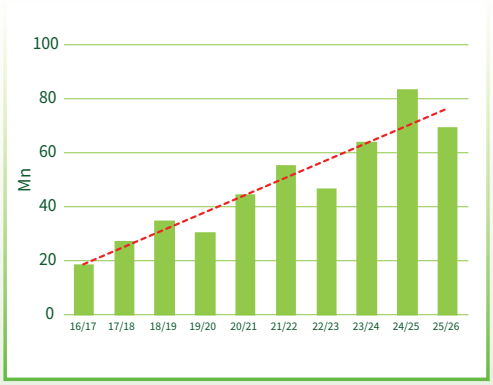
TEN YEAR SUMMARY (Contd.)

Key Highlights from Ten Year Summary (Contd.)

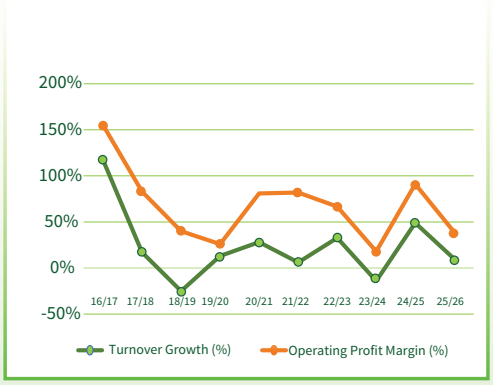
EPS & DPS



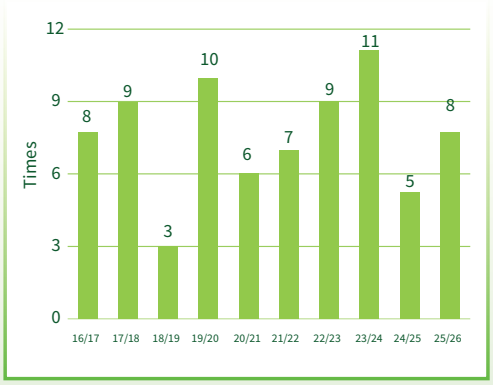
Cash at Bank & In Hand



Turnover Growth & Operating Profit Margin



Current Ratio



Vertical & Horizontal Analysis

HORIZONTAL ANALYSIS - STATEMENT OF FINANCIAL POSITION

As at	31.03.2026		31.03.2025		31.03.2024		31.03.2023		31.03.2022	
	Rs.	%	Rs.	%	Rs.	%	Rs.	%	Rs.	%
Assets										
Non-Current Assets										
Right of use Assets - Land	**3,087,676**	**-23%**	4,029,762	-19%	4,971,848	-16%	5,913,934	-14%	6,856,020	-12%
Property, Plant & Equipment	**205,350,777**	**8%**	189,994,493	39%	136,427,590	17%	116,891,943	74%	67,180,433	70%
Electrical Substation	**7,046,290**	**-4%**	7,313,376	-4%	7,580,462	-3%	7,847,736	-	-	-
Intangible Assets	**35,951**	**-50%**	71,951	-33%	107,951	-34%	162,690	-40%	273,028	63%
Bearer Biological Assets	**65,008,949**	**-28%**	89,977,437	-21%	114,433,118	-18%	138,839,534	-15%	163,787,681	-13%
Consumable Biological Assets	**234,083,000**	**-**	233,040,000	9%	213,300,000	-13%	244,480,000	50%	162,800,000	11%
Total Non-Current Assets	**514,612,643**	**-2%**	524,427,019	10%	476,820,969	-7%	514,135,837	28%	400,897,162	5%
Current Assets										
Inventories	**64,343,751**	**-11%**	72,688,296	22%	59,557,429	15%	51,720,090	-55%	115,249,610	213%
Trade & Other Receivables	**47,060,912**	**-27%**	64,684,999	-40%	107,735,335	371%	22,877,399	-33%	34,354,163	-8%
Short Term Investments	**377,712,142**	**3%**	365,135,200	35%	270,153,388	-	269,148,804	11%	242,301,188	5%
Income Tax Refund due	**-**	**-**	-	-100%	551,409	-83%	3,223,301	73%	1,859,969	17%
Cash at Bank & In Hand	**69,575,672**	**-17%**	83,625,770	30%	64,266,005	37%	46,863,874	-9%	51,685,358	15%
Total Current Assets	**558,692,477**	**-5%**	586,134,265	17%	502,263,566	28%	393,833,468	-12%	445,450,288	27%
Total Assets	**1,073,305,120**	**-3%**	1,110,561,284	13%	979,084,535	8%	907,969,305	7%	846,347,450	15%
Equity & Liabilities										
Stated Capital	**384,717,995**	**-**	384,717,995	-	384,717,995	-	384,717,995	-	384,717,995	-
Retained Earnings	**484,064,556**	**3%**	470,888,011	17%	401,983,270	25%	320,702,512	6%	301,859,968	55%
Total Equity	**868,782,551**	**2%**	855,606,006	9%	786,701,265	12%	705,420,507	3%	686,577,963	18%
Advance Received for Allotment of Shares	**16,319,276**	**-**	16,319,276	-	16,319,276	-	16,319,276	-	16,319,276	-
Shareholders Funds	**885,101,827**	**2%**	871,925,282	9%	803,020,541	11%	721,739,783	3%	702,897,239	18%
Non-Current Liabilities										
Obligation under Right of use Assets	**10,631,869**	**-41%**	17,880,522	-18%	21,764,590	-	21,764,592	-13%	24,878,736	-9%
Retirement Benefit Obligation	**21,501,558**	**19%**	18,024,364	33%	13,509,682	52%	8,880,344	-12%	10,055,170	-21%
Deferred Tax Liability	**89,382,993**	**-5%**	94,429,940	1%	93,344,549	-16%	111,247,122	159%	42,903,927	1%
Total Non-Current Liabilities	**121,516,420**	**-7%**	130,334,826	1%	128,618,821	-9%	141,892,058	82%	77,837,833	-6%
Current Liabilities										
Trade & Other Payables	**41,245,797**	**-9%**	45,530,726	16%	39,266,603	11%	35,334,681	-44%	63,240,460	33%
Income Tax Payable	**7,377,871**	**-85%**	49,998,179	100%	-	-	-	-	-	-
Obligation under Right of use Assets - Land on Lease	**8,707,449**	**24%**	7,000,865	6%	6,586,792	112%	3,114,148	31%	2,371,918	-73%
Bank Overdraft	**9,355,756**	**62%**	5,771,406	263%	1,591,778	-73%	5,888,635	-	-	-
Total Current Liabilities	**66,686,873**	**-38%**	108,301,176	128%	47,445,173	7%	44,337,464	-32%	65,612,378	16%
Total Liabilities	**188,203,293**	**-21%**	238,636,002	36%	176,063,994	-5%	186,229,522	30%	143,450,211	3%
Total Equity & Liabilities	**1,073,305,120**	**-3%**	1,110,561,284	13%	979,084,535	8%	907,969,305	7%	846,347,450	15%

VERTICAL & HORIZONTAL ANALYSIS (Contd.)

VERTICAL ANALYSIS - STATEMENT OF FINANCIAL POSITION

As at	31.03.2026		31.03.2025		31.03.2024		31.03.2023		31.03.2022	
	Rs.	%	Rs.	%	Rs.	%	Rs.	%	Rs.	%
Assets										
Non-Current Assets										
Right of use Assets - Land	**3,087,676**	**-**	4,029,762	-	4,971,848	1%	5,913,934	1%	6,856,020	1%
Property, Plant & Equipment	**205,350,777**	**19%**	189,994,493	17%	136,427,590	14%	116,891,943	13%	67,180,433	8%
Electrical Substation	**7,046,290**	**1%**	7,313,376	1%	7,580,462	1%	7,847,736	1%	-	-
Intangible Assets	**35,951**	**-**	71,951	-	107,951	-	162,690	-	273,028	-
Bearer Biological Assets	**65,008,949**	**6%**	89,977,437	8%	114,433,118	12%	138,839,534	15%	163,787,681	19%
Consumable Biological Assets	**234,083,000**	**22%**	233,040,000	21%	213,300,000	22%	244,480,000	27%	162,800,000	19%
Total Non-Current Assets	**514,612,643**	**48%**	524,427,019	47%	476,820,969	49%	514,135,837	57%	400,897,162	47%
Current Assets										
Inventories	**64,343,751**	**6%**	72,688,296	7%	59,557,429	6%	51,720,090	6%	115,249,610	14%
Trade & Other Receivables	**47,060,912**	**4%**	64,684,999	6%	107,735,335	11%	22,877,399	3%	34,354,163	4%
Short Term Investments	**377,712,142**	**35%**	365,135,200	33%	270,153,388	28%	269,148,804	30%	242,301,188	29%
Income Tax Refund due	**-**	**-**	-	-	551,409	-	3,223,301	-	1,859,969	-
Cash at Bank & In Hand	**69,575,672**	**7%**	83,625,770	8%	64,266,005	7%	46,863,874	5%	51,685,358	6%
Total Current Assets	**558,692,477**	**52%**	586,134,265	53%	502,263,566	51%	393,833,468	43%	445,450,288	53%
Total Assets	**1,073,305,120**	**100%**	1,110,561,284	100%	979,084,535	100%	907,969,305	100%	846,347,450	100%
Equity & Liabilities										
Stated Capital	**384,717,995**	**36%**	384,717,995	35%	384,717,995	39%	384,717,995	42%	384,717,995	45%
Retained Earnings	**484,064,556**	**45%**	470,888,011	42%	401,983,270	41%	320,702,512	35%	301,859,968	36%
Total Equity	**868,782,551**	**81%**	855,606,006	77%	786,701,265	80%	705,420,507	78%	686,577,963	81%
Advance Received for Allotment of Shares	**16,319,276**	**2%**	16,319,276	1%	16,319,276	2%	16,319,276	2%	16,319,276	2%
Shareholders Funds	**885,101,827**	**83%**	871,925,282	79%	803,020,541	82%	721,739,783	79%	702,897,239	83%
Non-Current Liabilities										
Obligation under Right of use Assets	**10,631,869**	**1%**	17,880,522	2%	21,764,590	2%	21,764,592	2%	24,878,736	3%
Retirement Benefit Obligation	**21,501,558**	**2%**	18,024,364	2%	13,509,682	1%	8,880,344	1%	10,055,170	1%
Deferred Tax Liability	**89,382,993**	**8%**	94,429,940	9%	93,344,549	10%	111,247,122	12%	42,903,927	5%
Total Non-Current Liabilities	**121,516,420**	**11%**	130,334,826	12%	128,618,821	13%	141,892,058	16%	77,837,833	9%
Current Liabilities										
Trade & Other Payables	**41,245,797**	**3%**	45,530,726	4%	39,266,603	4%	35,334,681	4%	63,240,460	7%
Income Tax Payable	**7,377,871**	**1%**	49,998,179	5%	-	-	-	-	-	-
Obligation under Right of use Assets - Land on Lease	**8,707,449**	**1%**	7,000,865	1%	6,586,792	1%	3,114,148	-	2,371,918	-
Bank Overdraft	**9,355,756**	**1%**	5,771,406	1%	1,591,778	-	5,888,635	1%	-	-
Total Current Liabilities	**66,686,873**	**6%**	108,301,176	10%	47,445,173	5%	44,337,464	5%	65,612,378	8%
Total Liabilities	**188,203,293**	**17%**	238,636,002	21%	176,063,994	18%	186,229,522	21%	143,450,211	17%
Total Equity & Liabilities	**1,073,305,120**	**100%**	1,110,561,284	100%	979,084,535	100%	907,969,305	100%	846,347,450	100%

VERTICAL & HORIZONTAL ANALYSIS (Contd.)

HORIZONTAL ANALYSIS - STATEMENT OF PROFIT AND LOSS

For the Year Ended	31.03.2026		31.03.2025		31.03.2024		31.03.2023		31.03.2022	
	Rs.	%	Rs.	%	Rs.	%	Rs.	%	Rs.	%
Revenue	**456,884,847**	**10%**	415,692,479	49%	278,950,900	-14%	324,501,506	33%	244,417,086	6%
Cost of Sale	**(291,043,241)**	**36%**	(213,793,837)	12%	(191,496,431)	-27%	(261,667,732)	396%	(52,780,501)	-42%
Gross Profit	**165,841,606**	**-18%**	201,898,642	131%	87,454,469	39%	62,833,774	-67%	191,636,585	38%
Other Income	**28,877,100**	**329%**	6,728,144	-55%	15,047,072	509%	2,470,808	-72%	8,702,432	-18%
Gain on change in Fair Value of Biological Assets	**7,593,995**	**-62%**	19,740,000	-34%	30,098,751	-63%	81,680,000	392%	16,586,000	861%
Administration Expenses	**(68,031,590)**	**29%**	(52,655,983)	19%	(44,112,501)	15%	(38,210,447)	26%	(30,364,860)	3%
Other Expenses	**(1,666,438)**	**870%**	(171,799)	141%	(71,429)	17%	(61,053)	23%	(49,722)	32%
Results from Operating Activities	**132,614,673**	**-24%**	175,539,004	99%	88,416,362	-19%	108,713,082	-42%	186,510,435	53%
Finance Costs	**(2,391,256)**	**-37%**	(3,769,569)	-9%	(4,125,413)	-7%	(4,429,080)	-6%	(4,698,170)	-6%
Finance Income	**33,837,888**	**14%**	29,665,184	-31%	43,099,117	11%	38,864,290	203%	12,829,025	-9%
Net Finance Income	**31,446,632**	**21%**	25,895,615	-34%	38,973,704	13%	34,435,210	324%	8,130,855	-10%
Profit before Taxation	**164,061,305**	**-19%**	201,434,619	58%	127,390,066	-11%	143,148,292	-26%	194,641,290	49%
Taxation	**(43,089,880)**	**29%**	(61,044,411)	811%	8,589,945	-112%	(73,531,360)	2086%	(3,364,192)	355%
Profit for the year	**120,971,425**	**-14%**	140,390,208	3%	135,980,011	95%	69,616,932	-64%	191,277,098	47%

VERTICAL & HORIZONTAL ANALYSIS (Contd.)

VERTICAL ANALYSIS - STATEMENT OF PROFIT AND LOSS

For the Year Ended	31.03.2026		31.03.2025		31.03.2024		31.03.2023		31.03.2022	
	Rs.	%	Rs.	%	Rs.	%	Rs.	%	Rs.	%
Revenue	**456,884,847**	**100%**	415,692,479	100%	278,950,900	100%	324,501,506	100%	244,417,086	100%
Cost of Sale	**(291,043,241)**	**(64%)**	(213,793,837)	-51%	(191,496,431)	-69%	(261,667,732)	-81%	-52,780,501	-22%
Gross Profit	**165,841,606**	**36%**	201,898,642	49%	87,454,469	31%	62,833,774	19%	191,636,585	78%
Other Income	**28,877,100**	**6%**	6,728,144	2%	15,047,072	5%	2,470,808	1%	8,702,432	4%
Gain on change in Fair Value of Biological Assets	**7,593,995**	**2%**	19,740,000	5%	30,098,751	11%	81,680,000	25%	16,586,000	7%
Administration Expenses	**(68,031,590)**	**-15%**	(52,655,983)	-13%	(44,112,501)	-16%	(38,210,447)	-12%	-30,364,860	-12%
Other Expenses	**(1,666,438)**	**-**	(171,799)	-	(71,429)	-	(61,053)	-	-49,722	-
Results from Operating Activities	**132,614,673**	**29%**	175,539,004	42%	88,416,362	32%	108,713,082	34%	186,510,435	76%
Finance Costs	**(2,391,256)**	**-1%**	(3,769,569)	-1%	(4,125,413)	-1%	(4,429,080)	-1%	-4,698,170	-2%
Finance Income	**33,837,888**	**7%**	29,665,184	7%	43,099,117	15%	38,864,290	12%	12,829,025	5%
Net Finance Income	**31,446,632**	**6%**	25,895,615	6%	38,973,704	14%	34,435,210	11%	8,130,855	3%
Profit before Taxation	**164,061,305**	**35%**	201,434,619	48%	127,390,066	46%	143,148,292	44%	194,641,290	80%
Taxation	**(43,089,880)**	**-9%**	(61,044,411)	-15%	8,589,945	3%	(73,531,360)	-23%	-3,364,192	-1%
Profit for the year	**120,971,425**	**26%**	140,390,208	34%	135,980,011	49%	69,616,932	21%	191,277,098	78%

Notice of Meeting

NOTICE IS HEREBY GIVEN, that the Twenty Ninth (29th) ANNUAL GENERAL MEETING of Mahaweli Coconut Plantations PLC, will be held at Avenra Garden Hotel, No. 22, Negombo - Giriulla Road on 30th September 2026 at 10.30am for the following purposes:

AGENDA

1. Welcome and introductory remarks
2. To receive and consider the Annual Report of the Board of Directors together with the Audited Financial Statements of the Company for the financial year ended 31st March 2026 and the Report of the Auditors thereon.
3. To declare a Final Dividend of 3/- (Three Rupees only) per Ordinary Share, as recommended by the Board of Directors and to pass the following by way of an Ordinary Resolution;

   Ordinary Resolution;

   We, the Shareholders of Mahaweli Coconut Plantations PLC resolved to declare a final cash dividend of Rs. 3/- (Three Rupees only) per share out of the Profits of the Company, for the year ended 31st March 2026 to the Ordinary shareholders as per the Directors' recommendation. The Ex-Dividend (XD) date is fixed as 01st October 2026, record date is 02nd October 2026 and the dividend dispatch date fixed for 20th October 2026.
4. To announce the retirement of the 3 oldest serving Directors Mr. Senarath Dias Widhanaralalage Asitha Gunasekera, Mrs. Gillian Auril Mary Edwards and Mr. Wickramarathne Vidhanalage Jude Tiller Fernando who retire in terms of Articles 77-79 of the Articles of Association of the Company.
5. To re-elect Mr. Senarath Dias Widhanaralalage Asitha Gunasekera, who retired by rotation and who has consented to be re-appointed for the position of Director.
6. To re-elect Mrs. Gillian Auril Mary Edwards, who retired by rotation and who has consented to be re-appointed for the position of Director.
7. To re-elect Mr. Wickramarathne Vidhanalage Jude Tiller Fernando, who retired by rotation and who has consented to be re-appointed for the position of Director.

   Ordinary Resolution
8. To consider and if thought fit, to pass the following Ordinary Resolutions declaring that the provisions of Section 210 of the Companies Act No. 7 of 2007 (as amended) is not applicable:

"IT IS HEREBY RESOLVED THAT:

1) the age limit (70 years) referred to in Section 210 of the Companies Act No.07 of 2007 (as amended) ("Companies Act") shall not apply to Mr. Sunil Jayalath Watawala who has declared that he is 82 years of age in 2026 and accordingly, that Mr. Sunil Jayalath Watawala be and is hereby appointed a Director of the Company in terms of Section 211 of the Companies Act for another year.

2) the age limit (70 years) referred to in Section 210 of the Companies Act shall not apply to Mr. Joseph Felix Fernandopulle who has declared that he is 72 years of age in 2026 and accordingly, that Mr. Joseph Felix Fernandopulle be and is hereby appointed a Director of the Company in terms of Section 211 of the Companies Act for another year.

3) the age limit (70 years) referred to in Section 210 of the Companies Act No.07 of 2007 (as amended) ("Companies Act") shall not apply to Mr. Samankumara Dias Senarath Gunesekera who has declared that he is 70 years of age in 2026 and accordingly, that Mr. Samankumara Dias Senarath Gunesekera be and is hereby appointed a Director of the Company in terms of Section 211 of the Companies Act for another year.

9. To consider and if thought fit, to pass the following Ordinary Resolutions declaring that the provisions of Section 210 of the Companies Act No. 7 of 2007 (as amended) is not applicable and that the appropriate procedure required under Rule 9.8.3 (ix) of the CSE Listing Rules has been adhered to and the re-appointment of Mr. Munaweera Aratchige Chithral Hilarian Munaweera as an independent director, as recommended by the Nominations and Governance Committee and confirmed by the Board of Directors, be approved:

NOTICE OF MEETING (Contd.)

"IT IS HEREBY RESOLVED THAT:

1) The age limit (70 years) referred to in Section 210 of the Companies Act No.07 of 2007 (as amended) ("Companies Act") shall not apply to Mr. Munaweera Aratchige Chithral Hilarian Munaweera who has declared that he is 71 years of age in 2026 and accordingly, that Mr. Munaweera Aratchige Chithral Hilarian Munaweera be and is hereby appointed a Director of the Company in terms of Section 211 of the Companies Act for another year.

2) Mr. Munaweera Aratchige Chithral Hilarian Munaweera be and is hereby re-appointed as an independent director of the Company, as recommended by the Nominations and Governance Committee and confirmed by the Board of Directors, in terms of the requirements under Rule 9.8.3 (ix) of the CSE Listing Rules.

10. To re-appoint the existing auditors, M/s. Kreston MNS (Chartered Accountants) as the Auditors for the ensuing year and to authorize the Directors to determine their remuneration.

11. To authorize the Directors to determine the contribution to charity for the ensuing financial year.

12. To transact any other business of which due notice has been given.

By order of the Board of Mahaweli Coconut Plantations PLC



KALRUPCO MANAGEMENT SERVICES (PRIVATE) LIMITED
(Company Secretaries)
Reg. No. RCS2000144
Colombo.

25th August 2026

Notes:

1. A shareholder who is unable to attend the meeting is entitled to appoint a proxy in his / her place. A proxy so appointed need not be a member of the company. A form of proxy accompanies this Notice.

2. If the shareholder is a body corporate (i.e. A Limited Liability Company) the person attending the meeting on behalf of such company, should file a proxy (indicating the name and NIC number of the nominee) signed and stamped by 2 directors of the company.

3. Admission to the meeting will be allowed only on production of a valid identity.

Corporate Information

Name of the Company
Mahaweli Coconut Plantations PLC

Legal Form
Public Limited Liability Company up to 02.06.2019 & a Listed Public Company from 03.06.2019

Date of Incorporation
29th October 1996

Registered Office
No. 1/82, Kimbulapitiya Road, Bolawalana, Negombo.

Contact Nos.
Tel: 031-4924553/031-4936163,
Fax: 031-2233304,
E mail: mcpl@sltnet.lk
Website: https://www.mahawelicoconut.com

Company Registration Number
P B 191 PQ

Date, Place and Authority of Incorporation
A Listed Public Limited Liability Company incorporated in Sri Lanka on 29th October 1996 under the Companies Act No.17 of 1982 and re-registered on 6th February 2008 under the Companies Act No. 7 of 2007

Directors
Mr. S . D. W. A. Gunasekera
Mr. J. F. Fernandopulle
Mr. M. A. C.H. Munaweera
Mr. S. D. S. Gunesekera
Mr. A.J. S. Jayakody
Mr. G. J. N. Perera
Mr. M.D.J.P. N. Perera
Mr. S.J. Watawala
Mrs. G.A.M Edwards
Mr. W.V.J.T. Fernando

Secretary
Kalrupco Management Services (Private) Limited
No. 5, Castle Avenue
Colombo 08.

Internal Auditors
KPMG Sri Lanka
32A, Sir Mohamed Macan Marker Mawatha,
P.O. Box 186
Colombo 03,

External Auditors
Kreston MNS & Co
Chartered Accountants
1st & 2nd Floors Advantage Building,
74 A, Dharmapala Mawatha,
Colombo 07.

Lawyers
Paul Ratnayake Associates
International Legal Consultants, Solicitors and Attorneys-at-Law,
No.59, Gregory's Road,
Colombo 07.

Bankers
Commercial Bank of Ceylon PLC
Seylan Bank PLC
Peoples Bank
Hatton National Bank PLC

Form of Proxy

I/We *.....of

.....

.....being a member /s * of Mahaweli Coconut Plantations PLC, hereby appoint Mr/Mrs/Miss *

. .....

(Holding of N.I.C. No.....) of.....

.....whom failing.

S.D.W. Asitha Gunasekera	of Nugegoda, failing him*
J.F. Fernandopulle	of Colombo, failing him*
S.J. Watawala	of Negombo, failing him*
S.D.S. Gunasekera	of Battaramulla, failing him*
G.J.L. Neomal Perera	of Colombo, failing him*
A.J. Shamendra Jayakody	of Dankotuwa, failing him*
M.D.J.P. Nilantha Perera	of Colombo, failing him*
M.A.C.H. Munaweera	of Colombo, failing him*
G.A.M. Edwards	of Dehiwala, failing her*
W.V.J.T. Fernando	of Negombo.

as my/our * Proxy to represent me/us * and vote on/our * behalf at the Twenty Ninth Annual General Meeting of the Company to be held at Avenra Garden Hotel, No. 22, Negombo – Giriulla Road on 30th September 2026 at 10.30am or any adjournment thereof and at every poll which may be taken in consequence thereof.

Please indicate your preference by placing a ✓ in the box of your choice against and each Resolution

		For	Against
(i)	To receive and consider the Annual Report of the Board of Directors together with the Financial Statements of the Company for the financial year ended 31st March 2026 and the Report of the Auditors thereon.		
(ii)	Passing an ordinary resolution to declare a final dividend of Rs. 3/- (Rupees Three only) per Ordinary Share to the existing shareholders in the form of Cash for the financial year ended 31st March 2026.		
(iii)	To re-elect Mr. Senarath Dias Widhanaralalage Asitha Gunasekera as a Director, who retires in terms of Articles 77-79 of the Articles of Association of the Company.		
(iv)	To re-elect Mrs. Gillian Auril Mary Edwards as a Director, who retires in terms of Articles 77-79 of the Articles of Association of the Company.		
(v)	To re-elect Mr. Wickramarathne Vidhanalage Jude Tiller Fernando as a Director, who retire in terms of Articles 77-79 of the Articles of Association of the Company		
(vi)	Passing an Ordinary Resolution declaring the re-election of the Directors who have attained the age of 70 years and that the provisions of Section 210 of the Companies Act No. 7 of 2007 (as amended) is not applicable.		

Ordinary Resolution

"IT IS HEREBY RESOLVED THAT:

1) the age limit (70 years) referred to in Section 210 of the Companies Act No.07 of 2007 (as amended) ("Companies Act") shall not apply to Mr. Sunil Jayalath Watawala who has declared that he is 82 years of age in 2026 and accordingly, that Mr. Sunil Jayalath Watawala be and is hereby appointed a Director of the Company in terms of Section 211 of the Companies Act for another year.

2) the age limit (70 years) referred to in Section 210 of the Companies Act shall not apply to Mr. Joseph Felix Fernandopulle who has declared that he is 72 years of age in 2026 and accordingly, that Mr. Joseph Felix Fernandopulle be and is hereby appointed a Director of the Company in terms of Section 211 of the Companies Act for another year.

FORM OF PROXY (Contd.)

		For	Against
	3) the age limit (70 years) referred to in Section 210 of the Companies Act No.07 of 2007 (as amended) ("Companies Act") shall not apply to Mr. Samankumara Dias Senarath Gunesekera who has declared that he is 70 years of age in 2026 and accordingly, that Mr. Samankumara Dias Senarath Gunesekera be and is hereby appointed a Director of the Company in terms of Section 211 of the Companies Act for another year.		
(vii)	To consider and if thought fit, to pass the following Ordinary Resolutions declaring that the provisions of Section 210 of the Companies Act No. 7 of 2007 (as amended) is not applicable and that the appropriate procedure required under Rule 9.8.3 (ix) of the CSE Listing Rules has been adhered to and the re-appointment of Mr. Munaweera Aratchige Chithral Hilarian Munaweera as an independent director, as recommended by the Nominations and Governance Committee and confirmed by the Board of Directors, be approved: **"IT IS HEREBY RESOLVED THAT:** 1) The age limit (70 years) referred to in Section 210 of the Companies Act No.07 of 2007 (as amended) ("Companies Act") shall not apply to Mr. Munaweera Aratchige Chithral Hilarian Munaweera who has declared that he is 71 years of age in 2026 and accordingly, that Mr. Munaweera Aratchige Chithral Hilarian Munaweera be and is hereby appointed a Director of the Company in terms of Section 211 of the Companies Act for another year. 2) Mr. Munaweera Aratchige Chithral Hilarian Munaweera be and is hereby re-appointed as an independent director of the Company, as recommended by the Nominations and Governance Committee and confirmed by the Board of Directors, in terms of the requirements under Rule 9.8.3 (ix) of the CSE Listing Rules.		
(viii)	To re-appoint the existing auditors, M/s. Kreston MNS (Chartered Accountants) as the Auditors for the ensuing year and to authorize the Directors to determine their remuneration.		
(ix)	To authorize the Directors to determine the contribution to charity.		

Signed on this ……..……. day of……..……..2026.

……
Signature

……
Shareholder's NIC/PP/Co. Reg. No.

*** Please delete the inappropriate words**

FORM OF PROXY (Contd.)

INSTRUCTIONS AS TO COMPLETION

i) The full name and the address of the proxy and of the shareholder appointing the proxy should be entered legibly in the form of proxy.

ii) In the case of a Corporation/Company this proxy shall be under its Common Seal duly signed.

iii) The complete form of proxy should be deposited at the Office of the Secretary, Kalrupco Management Services (Private) Limited, No. 5, Castle Avenue, Colombo 08, not less than 48 hours before the time appointed for the holding of the Meeting.

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